

Power Finance Corporation Ltd. (PFC)

Conference call transcripts, oldest-first. 10 call(s). Generated 2026-06-08.

Call: Jun 2023

PFC MANISH KUMAR AGARWAL
General Manager & Company Secretary
National Stock Exchange of India Limited,
Listing Department, Exchange Plaza,
Bandra -Kurla Complex, Bandra (E)
MUMBAI 400 051. G20

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Madam/Sir, POWER FINANCE CORPORATION LTD.

Thanking you, (3TÉ TH A. 45001.2018 gHTTa)

Encl: As above (A Govt. of India Undertaking)
(50 45001:2018 Certified)

No: 1:05:138:II:CS

Date: 2nd June, 2023

Subject: Transcripts of Conference Call held with Investors/Analyst on Monday, May
29, 2023 Bombay Stock Exchange Limited, Department of Corporate Services, Floor-25.

PJ Towers, Dalal Street,

MUMBAI 400 001.

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With reference to the captioned subject and in continuation to our intimation dated 26th May.
2023, please find enclosed herewith the transcript of the Investor Conference Call held on
Monday, 29th May, 2023, to discuss PFC's performance for the quarter and financial year ended
31st March, 2023.

The audio recording and transcript of the conference call is also available on company's
website at <https://www.pfcindia.com/Home/VS/109>.

M Yours faithfully,

For Power Finance Corporation Ltd.

(Manish Kumar Agarwal)

GM & Company Secretary

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CIN : L65910DL1986GO1024862

Call: Nov 2023

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MANISH KUMAR AGARWAL

General Manager & Company Secretary

National Stock Exchange of India Ltd,

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POWER FINANCE CORPORATION LTD.

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BSE Limited, No: 1:05:138: l: CS

Dated: 14.11.2023

Department of Corporate Services, Floor -25,

PJ Towers, Dalal Street,

MUMBAI -400 001.

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SUB: Transcript of analyst/investor meet held on November 9, 2023

Madam/Sir,

In continuation of our earlier letter dated November 3, 2023 and November 9, 2023 and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith transcript of Earning call with Investors/Analyst of PFC held on November 9, 2023. This is submitted for your information, record and further dissemination.

Thanking you,

Yours faithfully,

For Power Finance Corporation Ltd.

1(M,,1■ (Manish Kumar Agarwal)

Company Secretary & Compliance Officer

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CIN : L65910DL1986GOI024862

Call: Feb 2024

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POWER FINANCE CORPORATION LTD.

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(3llt.l;fll.3TT 45001 2018 ■) (ISO 45001:2018 Certified)

BSE Limited, No: 1:05:138: I: CS

Dated : 14.02.2024

Department of Corporate Services, Floor-25,

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MUMBAI-400 001.

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SUB: Transcript of analyst/investor meet held on February 08, 2024.

Madam/Sir,

In continuation of our earlier letter dated February 02, 2024 and February 08, 2024 and

pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and

Disclosure Requirements) Regulations, 2015, please find attached herewith transcript of

Earning call with Investors/ Analyst of PFC held on February 08, 2024. This is submitted for

your information, record and further dissemination.

Transcript of the above-mentioned conference call is attached herewith and can also be accessed at

<https://pfcindia.com/ensite/Home/VS/109>

Thanking you,

Yours faithfully,

For Power Finance Corporation Ltd.

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Company Secretary & Compliance Officer

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CIN : L65910DL1986GOI024862

Power Finance Corporation

February 08, 2024

Page 1 of 28

Power Finance Corporation Ltd

Q3/9M FY2024 Results

Conference Call

February 08 , 2024

MANAGEMENT OF POWER FINANCE CORPORATION: -

- Ms. Parminder Chopra - Chairman and Managing Director
with additional charge of Director (Finance)

MODERATOR : MS. SHWETA DAPTARDAR – ELARA SECURITIES

Page 2 of 28 Moderator : Ladies and gentlemen, good day and welcome to Power Finance Corporation Q3 FY2024 Earnings Conference Call hosted by Elara Securities Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Shweta Daptardar from Elara Securities Private Limited . Thank you and over to you Madam !
Shweta Daptardar : Thank you Manav . Good evening everyone. On behalf of Elara Capital, we welcome you all to the earnings conference call of Power Finance Corporation to discuss the Q3 and nine months FY2024 earnings performance. From the esteemed management team today, we have with us Ms. Parminder Chopra, Chairman and Managing Director with additional charge of Director Finance. Without much further adieu, I now hand over the call to Ms. Chopra for her opening comments post which we can open the floor for Q&A. Thank you and over to you Madam .
Parminder Chopra : Thank you Shweta . A very good evening and a warm welcome to all of you. I would like to start this call by sharing an update on a very important milestone for PFC. In January 2024 PFC has received RBI approval to establish a wholly owned subsidiary in IFSC Gift City Gujarat. As you might be knowing that IFSC Gift City is India's first financial services centre. The government's vision is to make IFSC Gift City as a global financial hub which

will provide services not only to India , but to the entire world. IFSC provides host of regulatory advantages like 100% tax exemption on income for 10 consecutive years, no GST on service , benefits on withholding tax and many others. At PFC we are proud to be part of this
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Page 3 of 28 vision. I would like to share that PFC will be the first government NBFC to foray into IFSC. PFC's IFSC subsidiary will unlock avenues for us in international lending space and help in taking PFC's brand global.
Now I will discuss PFC's financial and operational performance for Q3 and nine months for FY2024 . On the consolidated front we continue to see strong performance. The consolidated PAT for current financial year and nine months is at Rs.18,900 Crores an increase of 26% from the corresponding previous year. The profit after tax for the Q3 is at Rs.6294 Crores , a 20% jump from the corresponding quarter previous year. The group's loan asset book registered a 19% year on year growth in the first nine months of FY2024. As on December 31, 2023 the consolidated loan asset book stands at Rs.9,54,483 Crores . On the asset quality front owing to our concentrated resolution efforts the consolidated net NPA ratio is now below 1% and is at 0.86% as compared to 1.15% in December 2022. If we talk about the standalone performance for nine months 2024, PFC's profits saw a 26% increase from Rs. 8113 Crores in nine months 2023 to Rs.10,232 Crores in nine months 2024. The rise in profit is mainly due to increase in the interest income on the increased asset base , movement in INR being range bound and stable provisioning due to no additions in the NPA assets. The profit after tax for the quarter is at Rs.3377 Crores which is a 27% increase from the corresponding previous year. Continuing with the endeavour to share our success with the shareholders this quarter also our board has declared an interim dividend of Rs.3.5 per share. With this the cumulative interim dividend for FY2024 stands at Rs.8 per share on the enhanced capital base .
Now coming onto our key financial indicators. If we look at the yield for nine months 2024, it is at 10.02% which is 10 bps increase from first half year 2024 yield. As we have been sharing in our earlier communication ,
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Page 4 of 28 the impact of interest rate increase has now started reflecting in our yield .

The cost of funds for nine months is within the expected range of 7.47 % and if you remember , we have always been talking about the spread and NIM to be within our guided range and accordingly our spread for nine months 2024 is at 2.55% and NIM is at 3.42%. On the capital front our capital adequacy ratio as on December 31, 2023 is at 26.86% with tier one capital of 24.28%.

Now I will discuss our progress on the asset quality. This quarter we have successfully reached resolution in Dans energy loan of Rs. 413 Crores . This is in line with the guidance shared earlier. The resolution involved restructuring of the existing debt outside NCLT . After the resolution the asset has moved out of stage three that is the NPA category . I am happy to share that there are no new slippages for the last more than one year in our non performing asset. With this our net NPA ratio is below the 1% mark at 0.9%. This is the lowest net NPA in the last six years. Further our gross NPA has also declined significantly by 69 basis point from 4.21% in the nine months 2023 to 3.52% in the nine months of FY2024. Now after the Dans energy resolution we have 21 stress project of Rs.16,000 Crores approximately under stage three. Of these projects eight projects worth Rs.2174 Crores are being resolved . 13 projects worth Rs.13,899 Crores are being resolved under NCLT ,out of which seven projects worth of Rs.2620 Crores are under liquidation process and six projects

worth Rs.11,200

Crores approximately are at various stages of resolution in NCLT. Out of the 21 projects , Lanco Amarkantak project of Rs.2376 Crores is in advanced stage of resolution. It is a 1920 megawatt thermal generation project and the resolution is being pursued under NCLT . As you might be aware that the lenders backed resolution plan was submitted to NCLT as a successful resolution plan. Subsequent to the submission of lenders Power Finance Corporation
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Page 5 of 28 backed resolution plan in NCLT , multiple parties expressed interest in submitting a better resolution plan for the project. On this NCLT has allowed the lenders to again conduct the Swiss challenge process. The Swiss challenge process has been done on February 6, 2024 and based on the evaluation and after approval of COC the successful resolution plan shall be submitted to NCLT for approval. If we talk about the provisioning , we have maintained 74% provision coverage on stage three assets which we believe is adequate. This quarter we have also increased provisioning on stage three assets considering the current resolution status of the project. This has resulted in an overall increase in the provisions despite positive development like the resolution of the Dans energy project which lead to provision reversal.

Now coming over to PFCs loan book . In the first nine months of the current financial year we have disbursed around Rs. 79,000 Crores . Our disbursements have risen by around 1.7 times on a year on year basis. The rise in disbursement is mainly driven by lending to distribution sector under government schemes and lending to the renewable energy sector. The uptake in the disbursements has led to 16% year on year growth in our loan asset book. Our loan asset book as on December 31, 2023 stands at Rs.4,57,000 Crores. For FY2024, we expect to maintain loan asset growth at similar levels as that of FY2023 . Regarding the future loan growth outlook for FY2025 there are two areas which we feel will complement. One the PFC traditional lending business in conventional and renewable energy, this will be supported by the Pradhan Mantri Suryodaya Yojana which presents a tremendous business opportunity. As you know that the scheme was announced by our Honorable Prime Minister on January 22, 2024. Under the Suryodaya Yojana , 1 Crore household across the nation will get solar roof top. The Suryodaya Yojana Power Finance Corporation
February 08, 2024

Page 6 of 28 has been launched to accelerate the implementation of 40 gigawatt of solar roof tops vision. The scheme will help the country to become self reliant in the energy sector. The scheme will be implemented through the state DISCOM and through SPVs set up by eight central public sector

undertakings under the Ministry of Power. Our subsidiary REC Limited has been appointed as the nodal agency to oversee the overall coordination and implementation of the Suryoday Yojana. To achieve the target of 40 gigawatt the total financial layout is approximately to the tune of Rs.2.4 lakh Crores based on the tentative implementation cost of Rs.60,000 per kilowatt. Out of this around 50% on an average funding is expected to come through government subsidiary. This translates to a potential funding opportunity of Rs.1.2 lakh Crores in the coming years. Further the scheme will also create additional lending opportunities for PFC across the entire solar value chain like equipment manufacturing, etc. To leverage these funding opportunities our board has today approved funding to the tune of Rs.1.70 lakh Crores. We believe that the scheme will add to our growth prospects in the coming year. Another potential funding area we see is the continued lending opportunities in distribution sector under the government scheme. In 2022, the Government of India has launched LPS that is the late payment surcharge scheme to provide fi

nancial assistance

to DISCOMs for clearing their legacy dues as on June 3, 2022. The scheme has been a great success resulting in more than 60% reduction in the legacy dues. Till December 31, 2023 PFC has cumulatively disbursed Rs.33,312 Crores under LPS. Also the approach adopted under LPS has improved the fiscal discipline among the DISCOM by regulating the open access of DISCOMs on nonpayment of dues. To support this numbers, from FY2023 till present, an amount of around Rs.8 lakh Crores has billed to DISCOM. Out of this only less than 10% is currently overdue. To manage these dues PFC is extending up to one year revolving bill payment Power Finance Corporation
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Page 7 of 28 facility to DISCOM. Till December 31, 2023 PFC has cumulatively disbursed Rs.51,000 Crores under the scheme. Next year also we expect funding to continue in the scheme. Additionally we also see pocket of opportunities to emerge around the revamped distribution sector scheme depending on the pace of capex work implementation under the scheme. Leveraging on these promising avenues we see a positive loan asset outlook for the next financial year.

Before I close I want to address two regulatory events. One is that PFC has declared on the exchange about the LCR penalty yesterday. The recent penalty of Rs.8.80 lakh is imposed by RBI. The penalty has been imposed for non compliance with certain provisions of RBI, liquidity risk management frame of NBFC. On this let me assure everyone that this penalty does not reflect PFC overall liquidity position. Maintaining liquidity coverage ratio is a means to have readily realizable liquid assets for potential liquidity. It is not reflective of company's day to day liquidity position. PFC is comfortably placed on liquidity front and is meeting all its obligation without any issue.

Now coming on to why this penalty has been imposed, the penalty arose due to difference in interpretation regarding eligible high quality liquid assets. PFC considered fixed deposits as HQLA while RBI did not consider this as eligible HQLA for LCR computation. This resulted in a gap in LCR for March 2022 leading to the penalty. Now we are aligning our approach with the RBI interpretation to ensure compliance. I want to emphasize that this does not impact our business operation or financial strength. PFC remains committed to the highest standards of regulatory compliance. Now coming on to the draft circular issued by RBI on January 15, 2024. This circular brings government NBFC like PFC under the purview of RBIs Power Finance Corporation
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Page 8 of 28 credit concentration norms. Now there have been concerns amongst investors that this will impact our lending abilities especially for our government book. Let me assure you that PFC has been proactively managing credit concentration for years. We have been complying with these norms on our private sectors loan book since 2010 and in 2022 we have adopted them for our government borrowers in line with RBIs specific direction. Currently we have ample headroom for lending for our

government book also. We have around Rs.12.8 lakh Crores of available exposure on our total government book. For our top 10 borrowers constituting around 40% of our outstanding book, we have over Rs.90,000 Crores of exposure available. Additionally exclusion of state government guaranteed loans from exposure limit provides even more flexibility. Thus PFC is well positioned to support the government lending business and contribute to the power sector growth.

To conclude Q3 has been a stable one demonstrating our commitment to consistent performance and we look forward to building upon this momentum. Thank you for joining the call. Now we are open to the Q&A.

Moderator : Thank you very much. We will now begin with the question and answer session. We have our first question from the line of Shreya Shivani from CLSA . Please go ahead Sir.

Shreya Shivani: Thank you for the opportunity. Madam I have two questions and it is mostly regarding the loan book and disbursements so particularly coming to the disbursements for the LPS scheme? Till September 2023 you had mentioned that for the standalone book the sanctions under LPS has been Rs.705 billion of which disbursements were Rs.315 billion and right now you updated that the disbursements till December is at Rs.333 billion right so what was the reason that the disbursement in this quarter under this LPS scheme

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Page 9 of 28 was lower and effectively half of the disbursements are less right of the amount that you have sanctioned so what is the reason? Should I expect a slower disbursement under the DISCOMs for the next quarter also because that is the only way we can get to the loan growth for FY2024 that you are mentioning that you will repeat FY2023 loan book in FY2024 that is 13% loan book which means we will slow down in the Q4 , I want to understand the dynamics of this and madam on FY2025 given that we still have growth drivers with many of the segments probably infra segment also which the disbursements have started happening now can we get any guidance in FY2025 that will it be much better than FY2023 or FY2024 which you are indicating will be at 13% growth so largely my questions are around these?

Parminder Chopra : Yes. Shivani you have asked two questions. Let me address the first question about the LPS scheme. As you might be aware that LPS scheme based on the outstanding amount of the dues has a provision of opting for installments between 12 monthly installments to 48 monthly installments . So wherever the amount of the installment was less there 100% disbursement has already been made so there are a few cases where the option was to go ahead with the installments may be for 36 or 48 installments so accordingly only in those cases the installments are being paid right now and accordingly that LPS disbursement so as and when it is maturing so it is going to be discontinued further and accordingly our disbursements may be lower step by step going forward so that is on the LPS. On the infra sector the total sanctions by PFC till date was Rs.31,222 Crores so there are certain other major sanctions in pipeline and apart from that as you are aware that it always takes some time between the sanction and the disbursements because the borrower has to comply with certain precommitment conditions, then the document which happen and

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February 08, 2024

Page 10 of 28 then certain pre-disbursement conditions are required and only then the disbursement starts in infrastructure so till now the disbursement in the infra space has been to the tune of around Rs.2726 Crores and we see gradually growing in the current financial year and in the next financial year.

Shreya Shivani: Got it madam and any guidance for FY2025 because as you were saying that LPS scheme disbursements will slowdown so FY2024 we should only expect 13% growth anything on FY2025?

Parminder Chopra : See as I told you there are two more schemes , one the Suryodaya scheme which has been announced for the rooftop solar and you might be aware that PFC has been proactively sanctioning even loans for the equipment

manufacturing so we are there to promote the Honorable Prime Minister's vision of rooftop solar as well as Make in India concept so we have funded to the top manufacturers or the top companies for the solar equipment plant. One is that and otherwise also we are looking for the opportunity of funding for installation of the rooftop solar also going forward. The other thing is the RDSS scheme. I agree there has been till now there has been the slower pace for the progress under the RDSS but now in most of the cases the award of the contract has already been made

de Rs.1,28,000 Crores award has already been made under the loss reduction and otherwise also the prepaid meters have also been ordered so once the order are placed, actually execution of the contract starts so eventually whatever are the disbursements under RDSS that we will be going forward and doing so I think that gives us apart from the normal generation be it conventional generation, be it renewable generation, transmission or capex under distribution these two schemes will give us the added advantage and R BPS we already said it is there for the current dues and that we will continue to fund in the short term.

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Page 11 of 28 Shreya Shivani: Got it madam. Just last question how much disbursement in the LPS scheme for the remaining installments is left versus the sanction because this quarter you have not given the sanctions number for LPS scheme?

Parminder Chopra : PFC has cumulatively sanctioned around Rs.61,000 Crores and disbursement of approximately Rs.33,000 Crores has been made so we are expecting that the balance will be over a period from 22 to maximum installment is for 48 months so over a period of next two to three years the balance will be paid.

Shreya Shivani: Got it madam understood. Useful. Thank you so much.

Moderator : Thank you very much . We have our next question from line of Shreepal Doshi from Equirus Capital . Please go ahead.

Shreepal Doshi: Thank you madam for giving me the opportunity and congrats on a good set of numbers. Madam the first question was pertaining to the NCTL resolutions. In case of Lanco Amarkantak you said that there has been a revision in the resolution plan because earlier if we recall like REC and PFC were supposed to form a third party and run the Lanco Amarkantak franchise so what is the change in the resolution plan now?

Parminder Chopra : See as I told you that there has been better offers for the resolution under the resolution plan and you know that PFC and REC as a lender resolution plan has submitted the plan for the value maximization because we were thinking that what the actual realizable value we are not able to receive so we have bided the projected on the estimation that we will do some value accretion and will be able to fetch a better price so based on the tentative quotes which were received the lenders have approach NCLT to allow for the fresh bidding process so that is how that as I informed you that the process has been run on February 6, 2024 and evaluation is being Power Finance Corporation
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Page 12 of 28 done so once the evaluations are over then we will be submitting the successful resolution plan to the NCLT for approval.

Shreepal Doshi: Okay so we will wait for new bidders now for this project?

Parminder Chopra : Yes we will wait for the successful resolution plan evaluation and then we will go.

Shreepal Doshi: Got it and any other account which is in advance stages of resolution apart from this Lanco Amarkantak ?

Parminder Chopra : We are also looking for resolving another asset in the current financial year that is the hydro asset that is outside NCLT and we hope to finalize the resolution plan soon.

Shreepal Doshi: Do you mind sharing the name madam like what is the quantum of exposure that we have?

Parminder Chopra : It is similar to the Dans . It is Shiga hydro project where approximately Rs.500 Crores is the PFC outstanding.

Shreepal Doshi: Okay got it and madam the last question was pertaining to growth side so as the earlier participant was also alluding so we are guiding for 13% to

14% for FY2024 or like is there a disconnect there?

Parminder Chopra : See as of now what I can say is for the current financial year it is going to be between this range only which we are expecting is expected for the previous year may be somewhere around 12% to 15%.

Shreepal Doshi: Okay and for FY

2025 since there are very largely assessed we should see better momentum so in FY2025 will the growth momentum be better?

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Page 13 of 28 Parminder Chopra : Yes we are expecting it to be in the similar range for the next financial year also.

Shreepal Doshi: Okay that is all. Thank you so much.

Moderator : Thank you. We have our next question from line of Jigar K Jani from B&K Securities . Please go ahead.

Jigar K Jani: Thank you for taking my question. I just wanted to know what was the sanctions that we have done till nine months FY2024 for this year?

Parminder Chopra : Till now the sanctions laid are to the tune of Rs.1,44,000 Crores.

Jigar K Jani: Understood and would it be possible to share what would be our provision cover on Lanco that we are carrying on the books?

Parminder Chopra : May be it is around 50%.

Jigar K Jani: 50% okay and madam just on the growth front again coming back growth we have seen REC our subsidiary grow at a much faster pace and they also are capitalizing on the similar runway that we have on the REC side infra as well as the government projects any particular reason why there has been such a sharp difference in between growth for us and REC and secondly if I have to look at last quarter you had said medium to long term growth would be around 15% to 20% so would now there be a little bit downgrade on the lower side we are looking at the growth for a year more medium to long term somewhere around 15% overall?

Parminder Chopra : See on the growth front I just do not want to compare it with REC because every company has its own policy but we want to have a sustainable growth over a longer period of time that is what I can say and if you see that we have been talking of and you rightly said in the last call I said 15%

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Page 14 of 28 to 20% growth so till Q3 we have already have a growth of around 16% and you may be surprised that why I am saying 12% to 15% growth but that under Q4 otherwise also our disbursements in the previous years are on a higher side as compared to earlier three quarters so this year as a matter of strategy we have taken care and if you would have seen that even in the Q1 we have very good growth numbers as compared to the previous years so we want to have our disbursements also spread equally over the full year and on each of the quarters so this is the change in the strategy we have done in the current financial year and that is why I am saying that our growth is going to remain within these numbers and I can assure you that it is going to be there on a sustainable basis for quite a longer term.

Jigar K Jani: Understood madam and just lastly we would maintain our NIM and spread guidance right 3.5% approximately NIMs and 2.5% spreads is what we would be looking at ?

Parminder Chopra : Yes that we hope to maintain and our guidance are for those numbers.

Jigar K Jani: Sure thank you so much. I will come back in the queue for any follow-up. Thank you.

Moderator : Thank you. We have our next question from line of Nishant Shah from MLP . Please go ahead.

Nishant Shah: Congrats for the quarter and in part my question has been answered like, the question is around like growth? We are kind of like a little well capitalized right now ? You mentioned about like mobilizing more than 1 lakh Crores of fresh kind of funding for the next year? How should we read this? Is it like your anticipating better growth next year some more infrastructure projects getting operationalized and you are preserving

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Page 15 of 28 your capacity for that or how should we kind of let us think about like growth for the next year? This year it is well taken as probably some base effect but for the next year how should we think about growth?

Parminder Chopra : See as I

told you that the growth next year also we are looking at the similar numbers. The growth is finally going to come on one renewable. Lot of work is being done on the renewable side on the energy transition and on the equipment manufacturing there is a lot of scope for the equipment manufacturing in India and on the other hand we are expecting that RDSS disbursement and the RDSS sanction is going to pick up from the next financial year so these are the two front. There is another factor if you have heard the Honorable Minister of Power statement that to meet the power requirement of the country to focus on the conventional energy generation also so by that we mean that we will be adding certain new thermal power projects or wherever the thermal power projects were stalled, work will be restarted which gives an opportunity to fund that because historically we have been the major lender in all such projects. Hydro again the government has a lot of focus on the hydro projects. Everybody is talking about the huge capacities coming out in the Arunachal Pradesh and north east so we are working on that and we will be having I think a good share in those activities also. Wherever there is a long term requirement of the funds is there and that too with a longer gestation period and the quantum is higher, I think we are well equipped to fund all those projects. This is on the energy side and now if we talk of the infrastructure slowly as I told you that whatever sanctions we have already done we are expecting it to materialize into disbursement in the next financial year. Further there are a number of proposals in the pipeline be it funding of the metros, we are funding for the ports. Earlier also we have shared that the data that we are funding Power Finance Corporation
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Page 16 of 28 for the waste to energy projects. A lot of energy transition, EV vehicle and that all fronts we are working on and we hope to capture our share in all these areas.

Nishant Shah: Thank you madam. A couple of follow-up questions there? Firstly you mentioned on probably preserving some capacity for thermal and hydro and other conventional like nonrenewable traditional kind of like power financing? Would you be able to kind of like quantify how much should that be and the second part of that question is the renewable we understand is a lower margin or lower kind of yield business? Should we then read this as okay if you do more thermal projects will it come at higher loan spreads because there is added risk over there and therefore how should we think about margins in that context and secondly just more a qualitative question like it is both PFC and REC are now diversifying away from being power sector financiers in to more infra broader infra kind of financiers so could you talk about like what kind of capacity addition you have done in terms of human capital, hiring people from outside for kind of like assessing these non power related projects? Power has been our forte but what about the other projects like could you talk about that a little bit so those are the two kind of follow-up questions to that?

Parminder Chopra : Okay you talked about the capacities to be added, so as of December 31, 2023 the total installed capacity is around 400 gigawatt which is expected to be doubled in the next five to six years. We are expected to reach to around 800 gigawatt and of which around as per the Honorable Prime Minister's statement around 50% is going to be the renewable capacity. If we see the national electricity plan the total capital investment of approximately Rs.33 lakh Crores is required for if we talk of the 500 gigawatt capacity addition and the battery storage and the capital Power Finance Corporation
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Page 17 of 28 investment for non fossil fuel basis and 19% we are expecting for the investment in the fossil fuel so if we

see these numbers and if you see our current market share, we have been funding to the tune of 20% to 25% of the total lending for the power sector on standalone basis so going by these numbers, you can very well work it out. It does not talk of the energy transition. It is basically only funding for the capacity addition which we are talking. If we are talking of the energy that equipment manufacturing, energy transition then the requirement of funds would be much more in the power sector. Apart from this the distribution sector and accordingly the transmission sector is further requiring the capital infusion. With regard to the infrastructure sectors, I think I have shared earlier also initially we are looking at the projects being funded by the banks and taking a share of that. We know that till now we have capabilities only in the power sector but slowly, slowly we are building our capabilities in the other infrastructure sectors may be the road, refineries, metros and ports, etc., so we are building capacity of our existing employees as well as we are looking for sector specific experts also to strengthen our selves.

Nishant Shah: Understood. Could you talk about like margins on the conventional projects like I am to interpret that if we do more traditional financing does that improve our margins going ahead?

Parminder Chopra : See you know that you rightly said in the renewable space there is always a pressure on the margins because we are facing tough competition and still we are one of the largest financer for the renewable sector and it is being compensated by the existing generation transmission and the distribution sector portfolio and going forward also I agree that conventional generation gives a bit higher margin but now the companies have a lot of avenues for funding so the competitive pressure is always on
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Page 18 of 28 us so that is why we have always been giving that guidance that we will be able to maintain our spread better around 2.5%.

Nishant Shah: That is it from me. Thank you so much.

Moderator : Thank you. We have our next question from line of Sonaal from Bowhead Investment Advisors Private Limited . Please go ahead.

Sonaal: Thank you so much for this opportunity. Madam my question was pertaining to growth and let me give a background why everybody is trying to clarify that? Since the long term guidance is 15% to 20% and we are expecting 13% growth this year and almost similar growth of 13% next year what people were trying to understand is that are we being conservative and this is a generic number we are giving being a conservative management or is it that the growth is going to be significantly back ended and therefore while growth is only 13% this year and next year, the cumulative growth rate is 15% to 20% from a long term perspective and therefore for future years after 2025 the growth rate will be significantly higher? Thank you?

Parminder Chopra : See just to throw a number we can throw any number that is a different thing but we are wanting to be a bit realistic. I have not given any number of 13% for the current financial year. I told that it is going to be around 15% for the current financial year as well as we are looking for the similar number for the next financial year also but you should appreciate the fact that on the growing base so if 15% has already increased this year and on the growing base we are assuring you 15% growth so that there will be repayments also so on an average we have an asset book of average life of the asset as six years so on an average you can work out that if we have funded Rs.4,60,000 Crores is our outstanding book. What would be the
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Page 19 of 28 average repayment and on the expanded base how much we have to disburse you can very well work out the numbers so I think we would

like

to give realistic targets of around 15%.

Sonaal: Thank you madam for clarifying? Just a counter question to that? Since you mentioned the long term is 15% to 20% and your base will continue to increase in the long term so you talked about between 15% to 20% are we expecting that despite higher base of 15% to 20% growth over the

long term because the capacity addition of thermal which happens the growth on account of that will come to us with a lag because that is a long process of the projects being started and then you disbursing as the capex happen?

Parminder Chopra : I think your concern is right that whatever capacities we are expecting right now to be at but this is not a too longer target. We are looking for next three to five years only. Whatever sanctions as of now we have it is going to mature in the next two to three years and whatever additional sanctions we are doing. I agree that for a new hydro project it is going to take time but there are certain thermal capacities for which only expansion has to be done so it is not going to take time like in case of the Greenfield projects so there is a scope of expansion in the existing projects. There we are looking at adding the new capacities so it is not going to take for the long term and it will be I think can soon be coming , Ministry of Power is expecting that this required capacity will be added in the next two to three years so based on that we think that there is enough opportunity with the energy transition and looking at the new avenues. Everybody knows. You have seen in the budget VGF is given for the offshore wind and there is a new area coming up. There is progress on the hydrogen front so all these taken together we think that it is a sustainable level.

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Page 20 of 28 Sonaal: Thank you so much madam for clarifying.

Moderator : Thank you. We have our next question from line of Kaitav from Anand Rathie . Please go ahead.

Kaitav: Congratulations madam. I had two questions. Number one was if you can highlight what is the competitive intensity right now given that the sector macro has improved so are banks now looking more at this area? What are you seeing on the ground?

Parminder Chopra : See you know that under the renewable we are already facing a competitive pressures from the banks and other FIs but if we see that for the thermal or the hydro you know that the cost of project is huge so it will not be possible for any of the lenders to fund it on standalone basis so there has to be consortium and the type of exposures we can take none of the other financiers are able to take so we as a group I think have an upper hand in funding of the thermal project or be it the hydro project so there may be smaller portions which can be taken up by the banks but they have sectoral limits, they have exposure limits, individual company exposure limit so we are I think well positioned to take higher exposure in all such projects.

Kaitav: Got it. Madam secondly in terms of cost of funds during this quarter given that several banks have been complaining about tight liquidity conditions what are you seeing on the ground and does that change any guidance in the near term at least? I know long term outlook we still maintain the same but short term does it in any way change here?

Parminder Chopra : See you have rightly said that there is a tight liquidity in the market and interest rates are hardening even though there has not been any change in the RBI rates , but if you see that in the current financial year based on Power Finance Corporation
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Page 21 of 28 our increased cost of funds we have reviewed our lending interest rate and we have increased them in line with our increase in the cost of funds.

That is why eventually you are seeing that we are able to maintain the spreads over the periods and we hope to maintain

in those because we are reviewing our interest rates on quarterly basis.

Kaitav: Got it okay. Thank you madam. This is very helpful.

Moderator : Thank you. We have our next question from line of Niharika from Aequitas Investment . Please go ahead.

Niharika: Thank you for the opportunity. So my first question is a follow-up of last participant ? You said that our lending rates now we are increasing in line with the increase in cost of funds for us but I believe that our reset period is a bit longer so can you just elaborate on that fact that how much time

will it take to actually pass on the rates and will we see some contraction in the margins?

Parminder Chopra : See our reset period in some cases it is one year , it is three years or five years so we have different reset date depending on the option which has been chosen by the borrower so even if it is at one year so whatever is the card rate as on date that will be applicable on the reset so automatically if our cost of borrowing is increasing so all reset will be happening on the revised rates. So apart from the new disbursements which are being done at the revised rates so I hope that will not impact our churns or spreads efforts.

Niharika: Okay that was helpful and my second question is on Dans energy so did we have any write back on the provisions or basically how much was the provision and how much was the recovery on that?

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Page 22 of 28 Parminder Chopra : See there has been a provision reversal of around Rs.79 Crores during the current quarter. So in this case I think 90% recovery rate was there.

Niharika: My other question is on Lanco so I just want to understand management's view on it so if we are getting better bid for it are we still bidding from our side and still I we are okay to take it again on our books? Are we basically submitting another bid not as a lender but as takeover of Lanco Amarkantak in our books?

Parminder Chopra : I think till the time evaluation is done I would not like to share this information and I think earlier I would like to correct myself. Earlier we said that we are maintaining a provision of 50% in case of Lanco but actually it is 76% we are maintaining the provisioning in case of Lanco Amarkantak and we are expecting reversals in case this new plan is accepted by the NCLT.

Niharika: Okay and I am not sure if this was answered or not? What is our sanction book as on date as on December 31, 2023?

Parminder Chopra : See current year sanctions are approximately Rs.1,44,000 Crores and I think from the previous year we are continuing may be around I do not have the figure right now but it may be somewhere between around Rs.1.5 lakh Crores .

Niharika: Okay and basically again on the interest side how are we planning to basically manage the cost of funds? Basically are we planning to take more foreign loans because the interest costs are hardening particularly in India?

Parminder Chopra : See if interest rates are hardening in India and I think there is similar situation if we borrow it from the international market also so if we see as Power Finance Corporation
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Page 23 of 28 on date we have 18% borrowing in the foreign currency. 19% is the RTL from the banks FIs and the domestic bond constitutes 58% so major are these sources but we always try to optimize the mix to ensure that our overall cost of borrowing remains within the range so it all depends on the market whether the bond market gives us that opportunity and we as earlier said we have always told that we wanted to maintain around 20% of our borrowing in the foreign currency market. Last year we have raised funds in the JPY. This year we have raised funds through the syndicated loans in dollars also so it is around 12.42% borrowing in these nine months which has been done in the foreign currency. Bonds constitute approx

imately 44%. You know that we have also launched public issue which gave us the Rs.2824 Crores. RTL also this year we have raised lot of them and constitute around 25% of the total borrowing.

Niharika: Okay that was helpful. That was it from my side. Thank you.

Moderator : Thank you. We have our next question from line of Sarvesh Gupta from Maximal Capital. Please go ahead.

Sarvesh Gupta: Good evening madam. Most of my questions have been answered. Just for the Q4 what is the expected disbursement and the kind of disbursement growth rate that you are assuming for the next year?

Parminder Chopra : See we have said that we will be able to maintain loan growth of 15% so we will be able to maintain that. This is what I can say.

Sarvesh Gupta: Understood madam and secondly on the infrastructure side you had said that the disbursements are only Rs.2000 Crores as of now so what are the plans for the next year in this particular segment?
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Page 24 of 28 Parminder Chopra : See as I told you that this year we have till now sanctioned around Rs.33,000 Cr ores in the infrastructure sector so we are excepting the disbursements to pickup may be few disbursements we will be able to make in this current quarter but most of them is going to go in the next financial year so it is going to take time for this converging into disbursements.

Sarvesh Gupta: Understood and finally you said that sanctions that you have done this year are Rs.1.44 lakh Crores and last year cumulative sanction which was not disbursed was Rs.1.5 lakh Crores so are we in total is there around Rs.3 lakh Crores which is sanctioned by not yet disbursed or what will be the value as of now?

Parminder Chopra : See I do not have the numbers. I told you I had just given my guess work. I do not have the numbers right now for the sanctions which are yet to be disbursed for the previous year.

Sarvesh Gupta: No as of now do you have cumulative sanctions which are not yet disbursed?

Parminder Chopra : No that number I told you that I do not have that number but current financial year Rs.1.44 lakh Crores has been sanctioned but for the previous year it is just my estimate that it is around Rs.1.5 lakh Crores.

Sarvesh Gupta: Understood madam. Okay thank you.

Parminder Chopra : The number may not be correct also because I do not have.

Sarvesh Gupta: Sure madam. Thank you.

Moderator : Thank you. We have our next question from line of Himanshu Dhyawala from Elara Capital . Please go ahead.

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Page 25 of 28 Himanshu Dhyawala: So basically I just want to know about like how going forward about the renewable portfolio , the traction we are seeing and good opportunity we are seeing in the future about the FY2025 or FY2026?

Parminder Chopra : I think if we see on overall basis as on date our renewable portfolio is approximately 12% so we are looking for I think in the next two to three years it may be around 20% of the total portfolio.

Himanshu Dhyawala: Okay great. Thank you so much.

Moderator : Thank you. We have our next question from line of Nilesh Jethani from Bank of India Mutual Fund . Please go ahead.

Nilesh Jethani: Good evening and thanks for the opportunity. My first question was on the MOU which we signed in July of last year for around Rs.2.4 lakh Crores in Goa what is the status of that? Where are we in that stages ?

Parminder Chopra : So that was a combination of equipment manufacturing, few of the borrowers were intending to borrow for the hydrogen. They were certain simple plain wind renewable projects so if you see our sanctions to the wind and disbursements is increasing day by day and so at that point of time MOU has been signed. Equipment manufacturing if we talk we have sanctioned the project even for the Adani , all the big players in the market we have sanctioned equipment

manufacturing facility which is going to be a big push for the Make in India so slowly, slowly all those MOUs and all those MOU we are sanctioning as and when the borrower is ready with the DPR .

Nilesh Jethani: So any number which you can quantify out of 2.4 what has been sanctioned till date?

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Page 26 of 28 Parminder Chopra : Right now I do not have those numbers. We will share with you separately.

Nilesh Jethani: Okay my second question was on the infra side so today of course we have sanctioned amount of Rs.33,000 Crores but on the softer aspect wanted to understand until sometime back you were improving or

increasing our capacity with hiring sector experts for the sanctioning, etc., for a deep understanding of the projects and sector so where are we today in that? Do you think have we filled the gap? Going ahead the FY2027 onwards can we expect a decent growth rate as far as infrastructure lending or sanctioning is concerned so what is happening on the ground level at PFC level?

Parminder Chopra : See at PFC we have been sending our employees for the advanced training programs to build their capabilities for appraisal for the infrastructure sector. If we talk about few of the sectors like biomass, we can talk of the refineries, and we can talk of the ethanol projects. Our employees have appraised a number of projects and have build the capabilities to appraise it. On roads we have sanctioned a number of projects so we are adding to the capabilities of the employees and wherever required we do take the help of the external experts as of now and we are planning to have those experts on our rolls also going forward.

Nilesh Jethani: Got it and my last question from my side is I just wanted to understand on the competitive intensity? Of course you touch based on it in the previous participants question but since five years before and a lot of the PSU banks balancing for a lot of its capacity to higher value versus today so can you help me understand five years back out of Rs.100 loan disbursed to power sector what was the PFC and REC or power financiers market share
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Page 27 of 28 what is today after five years and what is your assessment of this going forward?

Parminder Chopra : See earlier also I think the assessment was made when we acquired REC, Government of India holding in REC. At that point of time it was assessed that around 20% to 25% market share PFC has and a similar share is there for REC also. That is why if you remember we have taken the approval of the competition Commission of India at the time of acquisition and if you talk today also so today we have not assessed but that we may be maintaining the same market share as of now also.

Nilesh Jethani: The market shares are expected to be same so wanted to understand with this 50 gigawatt of renewable expected per annum for the next seven to eight years? Why are we anticipating a lower growth rate going forward because if I see solar capacities has been in the range of 40 gigawatt to 50 gigawatt additions per annum in the past but now you are talking about at least 50 gigawatt in renewable space so what is stopping us from giving that higher guidance or are you assessing something else which we are unable to understand?

Parminder Chopra : I am not assessing something else but the only thing is that whenever there is something on the ground and it is in my hand only then I will be able to share any guidance so giving any number and not able to fulfill the expectations of the investors I really do not want to commit any such number.

Nilesh Jethani: Okay but in general you expect market shares to remain similar?

Parminder Chopra : Yes. That is there and I have shared with the expected capex in the sector also the numbers that I have shared so this is what I can say at this point of time

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Page 28 of 28 Nilesh Jethani: No problem madam. That was helpful and thank you so much.

Moderator : Thank you. Due to time constraint that was the last question for today and I now hand the conference over to Ms. Shweta Daptardar for closing comments. Over to you madam.

Shweta Daptardar: Thank you Manav . On behalf of Elara Securities Limited, we thank the management of Power Finance Corporation to provide us the opportunity to host this earnings call. Thank you team. Thank you all.

Parminder Chopra : Thank you very much. Thank you.

Moderator : Thank you. On behalf of Elara Securities Private Limited that concludes the conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

PFC G2

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Madam/Sir, POWER FINANCE CORPORATION LTD.

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SUB: Transcript of analyst/investor meet held on May 15, 2024. (A Govt. of India Undertaking)

(ISO 45001:2018 Certified)

No: 1:05: 138: I: CS

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In continuation of our earlier letter dated May 6, 2024 and May 15, 2024 and pursuant to

Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, please find attached herewith transcript of analyst/investor

meet held on May 15, 2024. This is submitted for your information, record and further

dissemination.

Transcript of the above-mentioned conference call has been made available on 21.05.2024 at

<https://pfcindia.com/ensite/Home/VS/109> and the same is attached herewith.

Yours faithfully,

For Power Finance Corporation Ltd.

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Power Finance Corporation

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Power Finance Corporation Ltd

Q4/ FY2024 Results

Investor Meet

May 15, 2024

MANAGEMENT OF POWER FINANCE CORPORATION:-

- Ms. Parminder Chopra - Chairman and Managing Director with additional charge of Director (Finance)

- Mr. Rajiv Ranjan Jha- Director (Projects)

- Mr. Manoj Sharma- Director (Commercial)

- Mr. Ajay Tewari, Govt. Nominee Director

- Mr. Bhaskar Bhattacharya, Independent Director

- Ms. Usha Sajeew Nair, Independent Director

- Mr. Prasanna Tantri, Independent Director

Power Finance Corporation

May 15, 2024

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Comparer:

Good morning ladies and gentlemen, on behalf of Power Finance Corporation, we feel honoured and privileged to welcome you all to this Investor Meet. Today, the company announced its financial results for the year 2023-24. PFC is always aiming to connect with its investor and build a strong and positive relationship with the investment community. With this objective, today's event has been organised to discuss PFC's financial performance and future outlook with the current and prospective investors.

Now, I would like to introduce PFC's Management: On the dais, we have starting to my immediate left: Mr. Prasanna Tantri, Independent Director, Mr. Bhaskar Bhattacharya, Independent Director, Mr. Ajay Tewari, Government Nominee Director, Ms. Parminder Chopra – CMD with additional charge of D(F), Mr. Rajiv Ranjan Jha- Director (Projects), Mr. Manoj Sharma- Director (Commercial) And Ms. Usha Sajeev Nair, Independent Director
The programme for today's Annual Investor Meet will be in two parts: First, PFC's CMD will discuss the performance for FY 2024 followed by a Q&A session.

Then, we will have a presentation on India's energy transition outlook by USAID. USAID is an international development agency of the Federal Government of the United States and it has launched its South Asia Regional Energy Partnership Programme (SAREP) to improve access to affordable, secure, reliable, and sustainable energy in six countries – Bangladesh, Bhutan, India, Maldives, Nepal, and Sri Lanka. Recently, PFC has partnered with USAID SAREP Team to support in its ESG activities.

Now I would like to invite Smt. Parminder Chopra, Chairperson and Managing Director to address the gathering.

Parminder Chopra :

Good evening, and a warm welcome to all of you. This is our first investor meet one to one after the COVID time, and I am happy to see a good turnout from our investor community. Today morning, PFC's results for the fourth quarter and financial year ending March 2024 have been declared. And I am happy to share that we have again delivered a remarkable performance.

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I will start with PFC's consolidated performance. At the group level, PFC continues to deliver strong performance year on year. We continue to be the largest NBFC group in India with a consolidated balance sheet size of 10.40 lakh crore. For FY 2024, the consolidated PAT stood at 26,461 crores, that is 25% increase from the previous financial year. The group loan asset book registered a growth of 16%. On the asset quality front, we continue to see a decreasing trend in our NPA levels. The consolidated net NPA ratio for FY 24 stands at 0.85% as against 1.03% in FY 2023.

Now moving on to PFC's stand alone performance.

First of all, I am happy to share that we have closed the year on a high note by delivering an all-time high annual profit of 14,367 crores, a 24% increase from the previous financial year. With this, PFC is now the highest profit-making NBFC in India. I am satisfied to see that our bottom line is growing year on year. This is largely driven by our improving margins while ensuring prudence in provisioning, risk management, and governance.

Our steadily increasing profits enable us to maximize risk returns to our valued investors and shareholders year on year. I am pleased to share that the board has proposed a final dividend of 2 and a half rupees per share, the payout for which shall happen after the AGM approval. With this, the dividend for FY 24 has reached to rupees 13 rupees 50 paise per share. This dividend is complemented by the bonus of 1:4 already given out in this financial year. So if I talk on a pre bonus levels, the dividend per share would have been rupees 16 rupees 88 paise per share.

Now talking of the key financial ratios, we have been sharing that we are targeting a spread in the range of 2.5%. I'm happy to

share that we have achieved a spread of 2.64% with a net interest margin of 3.46% for FY 2024. The spread is mainly driven by stable yield and improvement in cost of funds in FY 2024.

The yield for FY 24 stands at 10.01%. On the cost side, there is a considerable reduction from last financial year and stood at 7.37%. The market since last year has been quite volatile, so we have been keeping tight control on the cost of funds. We are maintaining our costs through an active liability management strategy, which is focused on - replacing high cost debt as and when window of opportunity is available. Then maintaining a mix of floating and fixed rate borrowing. And lastly, the balancing between the domestic and the foreign currency borrowing.

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Last year, we have raised approximately 1 lakh crore in line with our strategic approach to maintain a diversified mix, 18% of our fundraising was through foreign currency borrowing, with a mix of short term and long term funding.

While talking about the foreign currency borrowing, I would like to mention that we have a very active treasury desk for managing the risk. Right now, 88% of our portfolio is hedged for the exchange rate as against 66% last year. More than 90% of the exchange rate risk is hedged for portfolios having a residual maturity of up to 5 years. And if I talk of the residual maturity up to 5 years, for US dollar-denominated portfolio, 100% of the exchange risk is covered. These numbers give us the confidence to say that we can hold on to our bottom line in a situation of wide foreign exchange currency fluctuations in the future.

Also, our strong capital adequacy ratio of 25% and a robust net worth of more than 79,000 crore build financial resilience and give comfort in managing future uncertainties.

While talking about resilience, I would like to discuss our asset quality. For more than a year, we have not added any new NPA. We continue to maintain 74 % provisioning on the NPA portfolio, which is at the similar level as that of the last year. Owing to our prudent provisioning and active efforts for resolution, our net NPAs have reduced to 0.85% from 1.07% in the previous year. Here I would also like to mention that in last 5 years, our NPA book has reduced by nearly 50%. Our current gross NPA levels are at 3.34%.

Right now, we have a total NPA book of 16,000 crores, which comprises of 21 projects. Out of this, 13 projects worth approximately 14,000 crores are being resolved through NCLT, of which 7 projects amounting to 2,600 crores are under liquidation. The remaining 8 projects worth 2,200 crores are being resolved outside NCLT. Out of these 21 stressed projects, 2 projects with outstanding amount of 2,900 crore, i.e. 18% of the total NPA books are in the advanced stage of resolution.

First is the Lanco Amarkantak project, with an outstanding amount of 2,400 crores. It is a 1920 megawatt thermal generation project. The resolution has been submitted for NCLT approval in March 2024, and the approval is still awaited. As a prudent practice, we continue to maintain 76% provisioning for this project. As per the resolution plan, we expect more than 35% principal recovery.

The second project is the Shiga Energy Project with an outstanding amount of 522 crores. It is a 97-megawatt commissioned hydro energy project. For this, the resolution is being pursued outside NCLT. The restructuring plan has been finalized. PFC has given its approval for the plan, and other lenders

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are in the process of obtaining approval. Currently, we have 31% provisioning on the asset, and we expect 100% principal recovery out of the resolution plan for this asset.

With the resolution of these two assets, we expect our NPA 's to come down under 3%.

I would like to share the developments in the other two stressed assets where the resolution process has progressed.

One is t

he KSK Mahanadi project with an outstanding of 3,300 crores. It's a 3,600- megawatt coal-based project. This project is under NCLT. Last month, an expression of interest was issued, and active participation has been seen with twenty six expressions of interest being received. And we will be launching an RFP soon. For this project, we are already maintaining 55% provisioning.

Another asset is the Sinar Thermal Power Project with an outstanding amount of 3,000 crore. It is a 1350 megawatt coal based plant. The project was admitted under NCLT in September 2022, and resolution proceedings were stayed in the same month. Now the stay has been vacated, and expression of interest was published in March 24. 16 expression of interest has been received. And in this also, we will be launching RFP soon. We are maintaining 80% provisioning in this project.

On the overall provisioning front, there is no change in the stage 3 provisioning during the year. And we have continued to maintain 74% provisioning similar as last year. We believe that these provisioning levels are adequate.

As a prudent measure, management exercised its discretion for ECL overlay. Accordingly, we have additionally created provisioning on standard assets that is stage one and stage two assets to the tune of approximately 800 crores during the year. Currently, we have provisions of around 0.85% on standard assets.

Now I would like to discuss on two key areas impacting PFC. First is the PFC's loan book, and second is the impact of the recent RBI directed RBI guidelines for projects under implementation.

On the loan book front, I am delighted to share that in FY 24, we have successfully delivered on our promise.

PFC has registered a double digit growth of 14% in the loan assets. Here, I would like to share that our renewable book has achieved 25% year on year growth. With this, the renewable loan portfolio is around 60,000 crores. The loan asset growth was driven by the strong disbursements of 1,27,660 crores during the year.

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While talking about the loan book, I would like to emphasize that PFC's earning asset book is close to 4,95,000 after considering investment of rupees 14,500 crore in REC.

The investment in REC is akin to our loan assets as it is not part of our routine investment. It represents capital which would have otherwise been deployed for lending. The REC investment has provided a return of around 15% this year. If we consider the total returns on our earning book, including REC Investments, our yield is at 10.18 percent and the spread is at 2.81%. From the overall earning perspective, PFC's asset book is delivering strong returns. This is further reflected with our position as India's highest profit making NBFC.

Now let's shift gears to our future loan growth strategy. Here, I want to emphasize on our strategy for building resilience. PFC is a systemically important NBFC managing asset book of 4.95 lakh crore on a standalone basis. For a company as big as PFC, it's important that the growth we achieve today enables the company to sustain and grow for decades to come.

Now, if we see the operating environment is becoming increasingly complex and challenging over the years. Interest rates are at the highest level in over a decade. Inflation continues to rise, Market volatility persists, and the geopolitical environment is ever changing. These recent challenges have brought forward the importance of maintaining long term financial stability for an organization. Therefore, today's environment demands that companies should have a steadier financial foundation with a stable profit growth, which is resilient to handle uncertainties.

With this in mind, in PFC, we are guided by the motto of "3R": Realistic, Resilient, and Robust loan growth. We are focused on expanding our loan book in a way that continues to sustain over the years, delivers a steady bottom line, and maintain robust asset quality.

The goal is to strike a balance

between value and volume, enabling us to achieve consistent year on year growth and build a stronger and more resilient PFC. With this approach, we expect to have a similar loan book growth in the next financial year also. Key drivers for growth will include business in energy transition space, such as traditional solar and wind and energy storage solution coupled with lending in the distribution space, majorly under RBPf scheme.

Also, unconventional renewable reaches critical masses to meet energy demand and energy stability. Funding for conventional generation will be needed for energy security. This will be another potential lending area for PFC. Till now, we have supported 50% of the installed capacity and we expect to maintain our market share in a similar range. Additionally, lending in the infrastructure sector will also contribute incrementally to our loan asset growth. Overall, our growth in the next few years will come from a diversified mix of opportunity within the power and infrastructure sector.

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To give an overview on the energy transition, Mr. Mayank from USAID will make a presentation today, this evening. However, I would like to briefly touch upon the improvements happening in the distribution space, which is a critical link to the value chain.

As you may be aware, PFC, as part of its developmental role, has been partnering with government of India for bringing in improvement in the sector and is acting as the nodal agency for government reform schemes. PFC has been undertaking the rating exercise for past many number of years. Recently, the 12th integrated rating and ranking of the power distribution utilities has been released. This is an annual exercise being done to assess the performance of the DISCOMS. If we compare the results with the 11th rating report, there have been significant improvements.

AT&C losses have decreased to 15.4% in FY 23 from 16.2% in FY 22, inching closer to the national goal of 12 to 15%. Billing efficiency has improved to 87% from 86% in FY 22. With the implementation of the late payment surcharge scheme, the number of days payable to DISCOMS to GENCO and Transco have reduced from 166 days to 126 days in FY 23. Here, I would like to share that after the implementation of the LPS rules, 72 % of the legacy dues have been paid. Timely tariff orders are issued for 26 states and union territories for FY 24 as compared to 20 in FY 23 and 14 in FY 22. So the results of the reform measure and financing schemes implemented is visible. This is positive for the overall health of the power sector.

Let's now turn to the draft RBI circular for projects under implementation. We understand that one of the key concerns of the investors on these regulations is the potential impact on the provisioning. On this first thing, we would like to clarify that for the purpose of asset classification and provisioning, PFC is applying IND-AS methodology of expected credit loss. As per RBI guidelines, any incremental provisioning required under ICAP over and above in the AS norms needs to be created through impairment reserve and not through P&L. So any provisioning impact under these draft guidelines will not have any immediate impact on company's profitability. Right now, the nuances of the circulars are still being discussed among the financial institutions.

So to assess the impact in medium to long term, we need more clarity. Just to give an idea, if we see our current outstanding book, around 25% of the total book is under construction. Now based on our preliminary understanding, the provisioning requirement primarily for projects under construction phase where DCCO extension has been opted. In the under construction portfolio, around 45% are conventional generation projects, which are generally long gestation, and where DCCO usually gets Power Finance Corporation
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extended. The balance is towards renewable and transmission and distribution projects, they are comparatively of shorter gestation.

So if RBI clarifies on this understanding for applying provisioning only on cases where DCCO extension has been opted, the potential impacted portfolio would be much less. Here, I would like to mention that currently we are maintaining an average combined provision of nearly 0.85% on stage one and stage two assets.

Now the next concern is that the additional provisioning may require higher capital to be maintained for the project. So first question is how we will manage this and whether this increase in capital would increase the project lending cost.

On this, I would like to share currently we have a robust capital adequacy level of 25% as against the regulatory requirement of 15%. The Tier one capital is at 23% against the requirement of 10%.

These numbers give us adequate comfort for future credit growth. On the future impact on capital, the situation is dynamic as the implementation of the draft circular is still being discussed. But RBI is focused on protecting the capital levels of financial institutions and is open to understanding the concern. The circular is being discussed among the financial institutions, and if something material emerges, the same will be taken up with RBI.

Having said that, if any need arise to shore up capital, PFC is well equipped to raise perpetual debt from the domestic and international market. And we have sufficient and adequate cushion available under RBI limits for this. Given our ability to raise capital, I expect the business to go on as usual without impacting the growth.

Now any additional capital would impact the lending cost, But it will all depend on future clarity and financial guidance from RBI and also how the interest rate regime is playing. The situation is still evolving, and we will share impact as and when more clarity is received.

Before I conclude, I want to emphasize that PFC is actively taking steps to support the growth of the power sector in India, including the energy transition goals. In this direction, in FY24, PFC has set up its subsidiary PFC Infra Finance IFSC Limited in IFSC GIFT City, Gujarat. We are the first government owned NBFC to set up operations in the IFSC GIFT City. This subsidiary will provide foreign currency lending to drive the power sector's growth. We have already made a capital infusion of 100 crore in the subsidiary. We see IFSC subsidiary as a promising avenue to finance India's growth.

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To conclude, we believe that our commitment to excellence combined with robust fundamentals positions PFC well to leverage future growth opportunities. Thank you very much. And now we are open to questions.

Chairman:

Thank you, ma'am. Ladies and gentlemen, we will now have the Q&A. As you raise your hand, we will have a volunteer come up to you with the mic. You are requested to kindly introduce yourself and the name of the company.

Shreya Shivani:

Thank you. My name is Shreya. I'm from CLSA. I have 2 questions. First is on the RBI regulation and the current loan book. So, wanted a clarification on that of your DISCOM and short term loans, how much would be considered as project finance? Will all of your DISCOM loans be considered as project finance? I mean, our LPS and our loans ideally shouldn't be considered, but what is your view and understanding on the same? And second, Ma'am, is on the Thermal Capex. So we have, based on media articles and peer commentary we have heard is about 94 gigawatt of, thermal capex being planned of which 74 would be non NTPC. So, your loan growth guidance of 12% to 15%, does it account for this thermal capex coming in? What is your view on it and when do you think the thermal capex will actually start moving on ground?

Parminder Chopra :

With respect to the DISCOM lending, especially under these LPS, LIS and RBP

F, these are non-Project

loans. So as per our understanding, the RBI circular, the recent draft guidelines shall not apply to

them.

Shreya Shivani:

Ma'am, how much would be this of your total DISCOM?

Parminder Chopra :

I think substantial part that is around 70 % of DISCOM portfolio would be of these schemes. On your second question about the addition in the thermal Generation Capex for that part. So we are open to funding that, but as you rightly said most of it is coming under NTPC, and NTPC is a central sector, and they are not a borrower from PFC. So if something is coming up in the states, we are open to Power Finance Corporation

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that, and we would be funding that, that may be coming in there are certain projects on which it is an ongoing disbursement. Projects have been sanctioned, but the capacities are yet to come or the project are yet to be commissioned. So on that front, we will be disbursing right now also. But if new schemes are coming, then we will be planning accordingly.

Shreya Shivani:

Ma'am, just to follow-up on the traditional or the thermal, Genco book, so a peer analysis simply shows that there are these electrical and mechanical kind of projects which also get clubbed in the thermal, in the book for our peer. So, do we not participate in such projects or because the trend is PFC's, thermal genco or the traditional genco book has been either flat or declining while for a peer, that book has been growing? And the main reason for growth there has been participation in these E&M kind of loans. So, are we not participating in those? What are our views on the same?

Parminder Chopra :

See, what I understand, I can't say about the peers, but for PFC, the generation portfolio which we are showing is the purely generation portfolio. No E & M portfolio has been clubbed.

Shreya Shivani:

So the E&M portfolio, you don't participate or it's not even in the other loan book.

Rajiv Ranjan Jha:

No, definitely, we participate under E&M, but it doesn't appear into the book because it doesn't lead to generation. There are electromechanical component in some of the schemes where we participate.

Parminder Chopra :

So that is appearing in the other loan book.

Shreya Shivani:

Got it. Very useful. Thank you, ma'am. Yes.

Andre Purushotham:

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Hi. My name is Andre Purushotham. We are part of a family office, me and my wife. And we are shareholders in your company. First of all, ma'am, can I congratulate you and your team for an outstanding performance. It's really heartening to hear.

I had two questions. one was on the cost front and if you can break it up both into borrowing costs and operating costs. As far as operating costs are concerned, are there any levers that you have to drive further efficiencies either in terms of resources of senior and expensive personnel or cost, reductions that can happen with the aid of technology? That's one part of the question. And as far as the borrowing cost are considered, you referred to the renewal of high-cost debt. So are there significant opportunities that you see in the next one or two years in that area? And, therefore, can we see a significant, reduction, either as a percentage or otherwise of costs going forward in the next 1 or 2 years? That's my first question.

Parminder Chopra :

On the operating cost, cost you are say referring, so considering the PFC's overall revenue, So that portion is negligible. What I can share the maximum amount is the CSR expenditure 2%, which we have to incur. Otherwise, our costs are very miniscule because as far as the manpower is concerned, we are a very lean organization. So that doesn't contribute to major operating costs for us. On the other side what was your next question?

Andre Purushotham:

On the borrowing cost, Ma'am of high cost debt and any other measures that could be taken to reduce, your

costs and therefore improve your margins.

Parminder Chopra :

The borrowing consists of 2 types of loans. one is the bonds which we borrow from the market and is at fixed rate, but there we don't have any prepayment option. The other part is the loans from the

banks where the rates are floating but along with the prepayment option, and generally, they are priced a bit higher than the bond prices since they have the prepayment facility. So the replacement of expensive loan or high cost loan we were referring, that was primarily the term loans we have borrowed from the banks. Either banks have decided to reduce the interest rate for lending to PFC in the existing loan, or a later prepayment, they have lent to PFC at a lesser rate later.

Andre Purushotham:

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And one more question I had, Mam, was on risks. You've done very well in the last 2 years are there any significant risks that you can foresee the next year or two that could be confronted in the next two years?

Parminder Chopra :

See, one, that on the credit cost, I think provisioning front, we have sufficient cushion built in both on stage one, stage two, as well as on stage 3 asset. So we are not seeing any additional major risk on that front. But as we grow and as our regulator increases the compliance, so that could be one of the risks we can like these draft guidelines. So everybody, all the investors are concerned that what sort of impact it's going to have. So that is one risk that can be that is always open from the regulator point of view. And the other could be if any major fluctuations in the exchange rate is happening. I think these are the 2 major risks as far as our understanding that is there.

Andre Purushotham:

Thank you very much, ma'am.

Shweta:

Hello, Ma'am. Shweta here from E lara Capital. Ma'am, I have couple of questions. So one, your peer has already taken provision reversals on the biggest account that is Lanco Amarkantak contact. So is it that our LGD/ PD, assumptions are different and that's why, so why, you know, like, despite having similar accounts, why the, accounting period on provision reversals is differing and therefore, are we expecting this to come by in Q1?

Parminder Chopra :

See, what I would request all of you that you may not ask the question with reference to immediate peers. You can ask why reversal has not been done by PFC. That would be a better way to ask a question.

Shweta:

Sure.

Parminder Chopra :

So as per our policy, when we get the final approval and when the resolution plan is implemented. So we have been consistently reviewing the provision at that stage. So NCLT approval is still pending. We are waiting for the NCLT approval to be received and resolution plan to be implemented, after which

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we will be doing the reversal. And obviously, when we do the reversal, then we will both we will be at the same platform.

Shweta:

Right. and Ma'am, just a related question. So you mentioned in your commentaries that, we have made an additional 800 odd crores of standard asset provisioning on stages one and two. So this is in line with the new draft norms or, is it, exclusive of that? And if so, then, what led you to put up extra provisioning?

Parminder Chopra :

See, this management overlay, what we were talking, we have already done till Q3. So it is not in this particular quarter we have done any management overlay. So the draft guidelines have come much later than that. So this was done. We had some reversals. But as a prudent measure, we thought that let us have a strong asset book and additional provisioning to take care of the any future uncertain issues. So on that account, we have exercised that option, and you are seeing that on overall basis, we have reversals of just 134 or 124 crores.

Shweta:

Also, again related, should we imply that the private exposure on the renewable side is slightly expanded

and are we coming from there?

Parminder Chopra :

See, it is once the management, overlay is exercised so you can it said in order to build the overall cushion on all the stage one assets. We have increased the provisioning to a minimum of 0.4% individually, not on the portfolio level. So this was the call management has taken.

Shweta:

Ma'am, one last question and I'll be harping on growth. So correct me if, my understanding is correct. So we are guiding 12 to 15 percent loan growth. Talking about the power sector value chain opportunities. So even though you answered in the previous question that on the thermal side, largely, NTPC is gonna pick up, from the 94 gigawatt, installed capacity that is expected. But, since we are in initial stages of emerging technologies like battery and storage, so there is ample opportunity with thermal coal back in reckoning.

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Point number 1. Point number 2 on the renewable side, we are also expecting 313, extra incremental requirement, and we are very low today around 187. And, if I take it annual basis, we are only 12 gigawatt and I am not even talking about rooftop solar financing opportunity. On the DISCOM side, distribution capex is still ongoing And we have still not explored fully the infra side of the book. So we, despite this kind of funding opportunity and potential on the across the entire power value chain, what is leading to slight conservatism in our growth estimates? And just, part two of my question, so while you clearly explained that the new RBI draft, norms, given the fact that we are high on capital adequacy, it might not even burn our capital to that extent. So, if you can touch upon these two and tell us, where we are coming from on the growth targets where, you know, where you have more than 15% growth potential? Thank you.

Parminder Chopra :

See, we have always been talking about that we will be growing at somewhere between 12 to 15%. So you need to appreciate that our base is growing on which we are talking of the growth. So base has increased from 4,57,000 to 4,81,000. So accordingly, the numbers are we want to give realistic targets which we can achieve and we can sustain over a longer period. It is not that whatever is coming to us, we are funding. We have to build our book to sustain the future of PFC. So that is the motto by which we are going. For you, it may seem to be a conservative number, but actually, whatever we can think of, we are giving. If there is more potential, we are always open to do to it that if we are finding more commercially viable projects. So we are open for that.

On this, your second question about the impact on the of the draft guidelines, I think a lot of clarity is required on these guidelines. Still, everybody is interpreting in the more you read, I think more confusion it gives. So on what portfolio you need to apply, how you need to apply, how forward to take it. So all those things need a lot of clarity. We will be giving our comments to RBI and let us see what RBI is coming out whenever they come for the final guidelines. So this much only I can say.

Ramesh Bhojwani:

Madam, Ramesh Bhojwani from Mehta. We saw your AV presentation before you came. It was playing continuously. And it was so heartening to see that what we have achieved, the capacity of power generation of about 230 to 240 gigawatts. We are likely to double going forward in the next 5 or 7 years. And you are positioned exactly at a point from 86 when you started to 2024. This asset base and funding will double in the next 5 years is what I see. Just your thoughts on this. And second, a small thing, the T & D losses have very heartening to see have come down to 15.43%. With the help of installation of smart meters, can we not reduce it to a single digit loss so that we are generating Power Finance Corporation

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power, but we are losing it? Essentially,

my reading is we are losing it because of power theft. We put it in nice way T & D losses, but it is nothing but a power theft. And with smart meters, we can arrest this power theft. And this T & D loss can come down to a single digit. Maybe because of long distance transmission, there is a loss. Your thoughts on both

Parminder Chopra :

So on doubling the capacity, I would like to share that PFC has supported 50% of the total installed capacity in the country. And if I talk of the renewable capacity, we have supported 25% of the installed capacity. And we hope to continue with our share in the increased capacity of the country. So this could be one. The other thing that there has been substantial reduction in the T & D losses. And in some states, this is the average for the country we are discussing. But however, in some states, we are already experiencing T & D losses coming in the single digit.

Ramesh Bhojwani:

Excellent.

Parminder Chopra :

So there are few states for which this particular average is distorted. So we will think once those states also perform, then overall on the country level, we will achieve in single digit.

Ramesh Bhojwani:

And, one thought came to my mind with the renewables which you mentioned we need to accelerate and lay extra focus on hydropower. We have a lot of waterfalls whenever there is heavy

rainfall in the northeast. That water causes destruction. By way of flooding and overflowing and, you know, whatever other infrastructure we created gets destroyed. If we can channelize with the waterways of India, not only we can see the destruction or the destruction, we can also reach the water down in the four southern states because in every summer, there is a report that people buy a bucket of water for 20 bucks. But hydro power is something which we can generate and put use to, an asset.

Parminder Chopra :

I would like, our government nominee director, Mr. Ajay Tiwari, to reply.

Ramesh Bhojwani:

Yes.

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Ajay Tiwari:

This is actually a question directed to the government rather than PFC.

Ramesh Bhojwani:

Yes.

Ajay Tiwari:

So, as on today, we have a hydropower of around 47 gigawatt in the country installed capacity, which includes few projects of PSP also. From 47 gigawatt, now we are trying to, there was a lull in between, as you all know it, because of solar and wind coming at cheaper tariff. So there was a lot of lull in the hydro sector. But now the government is giving extra emphasis on the hydro power because it is very stable, it supplements your peak power requirement which also balances your RE interdependency into the grid.

Ramesh Bhojwani:

Yes.

Ajay Tiwari:

So it's a very quality, power, electricity. So we have put extra emphasis. And in the last, during last year itself, in the month of August, if you would have heard or read in the newspapers, that in the Arunachal Pradesh itself, the government of India signed 13 memorandum of understanding for 13 projects of 13 gigawatt. Yes, Thirteen projects of around 13 gigawatt in one day.

Ramesh Bhojwani:

And in one state?

Ajay Tiwari:

In one state.

So that is Arunachal has got so much hydro potential as you said.

Ramesh Bhojwani:

Yes.

Ajay Tiwari:

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In the northeast, Arunachal Pradesh has almost has 60%, power potential. So that is what we are tapping apart from that in the other states also. We have taken a new scheme, which is going to be, approved very soon, which will be like central financial assistance in the form of equity to the state governments up to so that they can participate in each hydro projects up to 24 percent. So that they also get involved into the project fully, and they also get the revenues later on. So similar, steps are being taken in other states also. Like Jammu and Kashmir, lot of projects are coming up. And, you will soon see a rise of hydro plants a

gain in the country. But in terms of percentage in the energy mix, that is about to that is to remain around 12% even till 2047. Because solar and wind RE is coming up. We have taken a target of 500 gigawatt in the country.

So, that is all.

Ramesh Bhojwani:

And, Sir, one thing you did not address correctly is that when we have excess water, say, in the northeast causing damage and destruction to whatever infrastructure or living we have created. But the same water, if we can channelize through by forming a waterway or a river ways of India From north, northeast to complete south, we can eliminate this water shortage forever for the entire nation.

Ajay Tiwari:

So that will be taken care of if the projects are multipurpose projects apart from the hydro. So our idea is basically to go for multipurpose projects, which will also add into irrigation, into the flood moderation downstream. Also, restoring your flora and fauna biodiversity. There are so many other, unstrategic importance as we all know in the northeast. So these are the things and the, damage that

you are saying is caused downstream.

This can all be taken care of if these big projects come up in the upper reaches, middle, and lower reaches as we have planned. And there'll be more plans coming up, basically. More projects are being taken up, within the higher regions towards the border areas.

Ramesh Bhojwani:

Thank you, and all the best.

Comparer:

We'll take one more question, And we'll take one from behind because we have another presentation.

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Yeah. Go ahead.

2nd largest, stressed asset for us is the thermal power project. So you just talked about, there is a process that started again after court cases. So would it see in next one year's project being started, fully? Because it's so it was a near completion when everything went out of the way. So can you throw some light? Because our provision is largest in also in this Sinnar power projects.

Rajiv Ranjan Jha:

That Sinnar power project is around 1350 megawatt, 5 units of 270 megawatt. So this project has been taken into NCLT. And you may be aware. So our first instructions from the COC side to the RP is to make the units operational, at least 2 units operational. So that, because the coal transportation, there is a limitation. The coal siding railway siding is not available really. So by road only, the coal can be transported. So the first instruction is to make 2 units operational. So RP is working towards that. That's what I would like to do. And the resolution process is on the way.

How much is the provision created?

Parminder Chopra:

80%.

Comparer:

We'll take one last question over there before we move on to our next presentation.

Manoj Chandani:

Very articulated talk and you answered all the questions very very well. A couple of thoughts for Mr. Tiwari. Yesterday, the Finance minister talked about a \$20,000,000 in flow, because of the inclusion in JP Morgan index. How PFC is poised to capture that. She also talked about, the rupee advantages of the rupee. So apparently, the cost, of hedging is also come down, and it's a great opportunity. And Mr. Tiwari and also the CEO, if you can mention it, how we are poised for that. Point number 2. Again, Mr. Tiwari, what are the thought. We are the largest NBFC. You are very clearly said, but apparently very undervalued with a high yield and very low price to book. It can improve further if there is a consolidation. Today, there are 2 companies and there's a lot of cross holding. So Mr. Tiwari, how you can influence the biggest shareholder that is government. Because I know you can answer that and it can further improve the valuation from just 7, PE or, you know, forecasted just 5 PE and being the largest one that does not reflected clearly. But you have come post COVID. You

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answered everything and wish you all the best. My name

is Manoj Jalim Chandani. Thank you so much.

Parminder Chopra:

I think you have, raised 2 questions. 1 was on the JPMorgan index. So we have already seen valuations going up after the declaration, and we expect that it will further be post result and looking at the overall power sector scenario. On the rupee, yes, I agree that the government has announced, but the market is still to be developed. So it is not only that we desire to raise funds from outside market in rupee, But it is also important that for the other party lend the person or the institution lending to us, how does it make a commercially viable proposition.

Because we are raising purely on the strength of balance sheet, of PFC's balance sheet. We don't have any support from government of India in this regard. So it has to be a commercially viable proposition for both parties. On the if you allow me, I would like to answer on behalf of Mr. Tiwari. On the consolidation front, yes, there is an issue of hold co discount and how you are seeing that the stock is underpriced.

You know, at that time of acquisition, the intent, the logical conclusion for the acquisition was the merger of the two companies. But somehow due to lot many other priorities of the government, be it COVID, be it economic situation or other factors. Somehow this issue was put on the back burner and we are waiting for our, honors or the majority shareholders whenever maybe in the times to come, whenever a thought process is put on this, so we will get the direction in this regard. You know

that there are certain issues also with the deal which are required to be addressed. So I think a lot of thought process is required before taking any further action.

Comar:er:

Thank you. Thank you very much for your active participation in this Q&A. Now I would like to invite Mr. Mayank Bharadwaj from USAID SAREP to deliver a presentation on India's energy transition outlook. Mr. Mayank Bharadwaj is an energy and infrastructure expert with more than 15 years of experience in financial appraisal and transaction advisory and is currently leading the clean energy investment mobilization vertical of SAREP.

Mayank Bharadwaj

Thank you. First of all, I would just like to thank PFC for giving SAREP this opportunity to, you know, present this compelling case, as we call, for clean energy investment in India. I'll, primarily cover the growth story. How the power sector has grown over the years.

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What are the future drivers for growth? Some of the targets that the government has already, announced the policies. And, some assessment on what the investment potential looks like. So this is how the power sector has grown in India. If you see, about 4x growth in the installed capacity over the last 20 years, there has been, almost a 2.4x increase in per capita consumption.

And, similar, growth we have seen in the transmission and distribution lines. So last 20 years, this is the story. And it gets much, very more interesting, like, I think, from here on it's expected to double, in the next 10 years or so. Now, if I look at some of the drivers, some of the growth drivers, now, if I look at some of the growth drivers that are there, for this, one is the policy. The government policies that have created this conducive atmosphere for investment. You can look at that India's ratio is at about 1.2, in per capita consumption. There's a huge potential there. We are still about 50% of the world average. That is the second one the population growth, again, expected to put a CAGR of around 7% in the overall electricity consumption.

As I mentioned, current capacity of 442 gigawatt, expected to become 900 gigawatt in the next 6 to 7 years. Already achieved the COP 21 target, which was there, 9 years ahead of schedule. So, again, a good market, growth drivers everything in place. The government has already announced, the target. So it's a push that has

come, a voluntary push that has come, net zero by 2070. Second, as Sir also mentioned on 500 gigawatt of capacity, non fossil capacity by 2030. Reduction in GDP emissions capacity by 45%. We have already reached, or we're nearing the 200 gigawatt capacity in non fossil, which is there, which is about 45% of the current, installed capacity of India. Already, the 33% reduction in GDP from 2005 levels have been achieved. So we are well entrenched. We are well on our path to get and possibly get onto that energy transition. So the energy transition is real. It's happening. It's just a question of scaling it up further, just taking that extra push.

These are, some of the sectors, which will drive this growth. Renewable energy, most of us know about it. The EV and the charging infrastructure, the E-mobility, that will come in. The green energy corridors, the RE linked transmission system that is there and the as we call it, the new kid on the block, green hydrogen, which is there. If I look at the RE, the renewable energy, we are looking at almost 24%, 15%, large amounts of growth annual CAGR that are there. Around a 3.5x growth is required in solar, a 2x growth required in wind, a 6, or a 12x growth required in the storage segment. Again, storage, as you know, very important to get the RE penetration or to get RE integrated into the system. Government policies, they have been there. The PLI, the production linked incentive schemes for manufacturing of solar, which is there. The Kusum scheme and recently the Surya Yojana that

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was, announced especially for the rooftop solar. Expected to drive the growth further into this, into the RE segment.

Energy storage, VGF, the viability gap funding has been announced. It is there. The tenders are already out. Also, there is a promotion. There is, the incentive scheme going on for manufacturing of battery that is also in place.

The advanced cell chemistry, as we call it, the battery manufacturing, the pieces of the puzzle are actually climbing up. Also, some of the policies which were expected, like the RPO obligation for the DISCOMS they have been notified till 2030. And, the national repowering wind policy also actually came into the picture. That is no need again to revive the wind sector to have because wind, again, location specific. And, requires a lot of assessment. So that is one. It's expected to, push and revive the wind sector. Onshore is another one that will expect you to come up later this year, or maybe at the start of the next year.

Green energy corridor, the RE linked transmission system, as we see the interstate waivers on the interstate energy charges, transmission charges, is already in place, for RE and now also for the green

hydrogen sector. The open access rules for green energy also no longer, contracted capacity reduced from 1 megawatt to 100 kilowatt hour. This is what the story looks like. \$337 billion required in the next 7 to 8 years. Most of it, 50 percent in the solar space.

And additionally, about \$29 billion are required for the green energy corridor, that is there. If I move on, e-mobility. Electric mobility, the government has already announced a target of EV 30 at 30. So new vehicle sales should comprise of 30% of electric vehicles by 2030. We have seen growth, in this area. So about 50 percent, of there's been a 50% rise in 2023 in the sales, as compared to 2022. Right now, we have charging stations in the range of about 16,000 - 16,500. And increase of about 80 times is required by 2030. So to reach a figure of 1,300,000 charging stations. Again, a very, promising opportunity.

On the electric bus segment, it's, again, a USD 10 billion investment right now as per the national electric bus program, where about 50,000 electric buses are to be deployed. India has about 23 lac, buses,. So you can imagine the market potential for the electric bus segment. Government of India,

in collaboration with the US government, also has, is, you know, planning to set up a payment security for mitigating the risks associated with payment delays by the state transport undertakings.

This, again, will mitigate investor risk, make more projects more bankable, and get the banks and the financing institutions to finance those projects.

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FAME, scheme one and two, a gain, capital subsidy was provided for setting up charging infrastructure for buying 2 wheelers and 3 wheelers which were there. Overall, 192 billions investment opportunity in the next 6 to 7 years. About 3 billion dollars expected to come in charging infrastructure and, around 177 in the vehicle production place, which will also include a lot of or a majority part of the electric bus.

Green Hydrogen, again, big opportunity. USD 100 billion in next, 8 years, which is required.

Government has already come up with a National Green Hydrogen Mission, already put in around 3 billion dollars on the table under the SIGHT program, as we call it, wherein they have come up and put up the grant the subsidy on the table to attract this 100 billion dollars in the next 6 to 7 years. 5 millions metric tons domestic capacity by 2030 that is required. Electrolyzer manufacturing and, hydrogen projects growth, hydrogen production projects are already awarded. Incentives are already rolled out around 1500 megawatt per year for electrolyser production and about 4 lakh tons of green hydrogen product, green hydrogen projects. Production projects already, have been awarded by the government under the scheme. Primarily, the hydrogen, sector, the use cases are in the areas of chemical manufacturing, industrial uses, fertilizers, petroleum, and, energy storage. So this is what we're talking about 656 billion dollar investment.

Again, 8 years. So you can imagine the quantum of investment that we are talking about. That's why I was calling it a compelling investment, opportunity. Something which, people should not miss, something which people should participate in to become a part of the India's energy transition story. Again, most of it, expected to go into the renewables, about 50%, around 336 billion dollars followed by, electric mobility, another 190 billion dollars.

Now I have talked about all the good stuff. What's the challenge? So, some of the challenges that are emerging is that we have, been able to achieve those 10 gigawatts, those 12 gigawatts, those 15 gigawatts of renewable capacity addition year on year. And we are very comfortable in doing that. The question remains, can we actually scale it up to 40 gigawatts or 45 gigawatts annually? If you look at the last 2 years, in 2022, FY 23, we were able to achieve around 15 gigawatts, 15 to 16 gigawatts of RE capacity. Last year, FY 24, we were able to reach 20 gigawatts. But now the question is, can we further scale it up to 40, 45, and reach that, target of 50 gigawatts or not? As RE penetrates, as the composition of RE increases in the energy supply, the integration of storage becomes very crucial. So, again, the question is on how, where the storage can come in, and what are the opportunities and how the go and how the government policies actually, implements on the ground. That is one area.

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So, again, development of adequate storage capacity becomes very, very crucial for more and more RE penetration to come in. And last piece, the low cost funds for the emerging technologies. Again, very crucial for enhancing the adoption, accelerating the adoption of, such technologies, making them more competitive in respect to the conventional, you know, ice vehicles or conventional hydrogen, production, processes that are there. So that, again, remains a challenge. One of the biggest challenges to really, come up and, you know, reach those 2030 targets.

This becomes one of the major issues, one of the major parameters which needs to be looked at. So

why transition? I mentioned, and I've covered that piece together on there's already an enabling

policy environment, ambitious goals, the NDCs have been announced by the government. It's a strong domestic demand as I mentioned, there is export competitiveness, which is there. The support infrastructure already is there in place. For example, a lot of RE linked transmission that I mentioned already in place so that more and more RE can come up. So those are some of the major factors, some of the major you know, support that why, the India's energy transition story, is there and why, one should actually invest in it.

So, where is PFC?

And I think, if we have discussed that today. So PFC has always been, at the forefront and is actually in a way contributing and driving this energy transition story, of India. More than 30 years, 3 decades of experience, in power sector and now diversifying into the infra space as well. The long tenure loans, which are there 10 years 15 years actually gel very well with, the overall, concept of asset-liability mismatch.

I think we all know about that. Leading RE lender, it's there, supported almost 25% of India's RE, capacity. And lastly, it has, helped or it has, lend to sectors like RE. It has lend to sectors like e-mobility and energy efficiency. And now it's in a good position or a great position, actually, to put it all together and scale up further, into these sectors, giving or pushing the clean, energy transition or the India's energy transition story forward. That's it.

Thank you. And, in case there are any questions, I will be happy to take those questions here.

What's the downside to the story this time?

Question: I had 2 questions. One is of green hydrogen, where are we in terms of cost competitiveness of green hydrogen today and if are not there right now, how long will it take to come down?

Yeah.

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You heard my question?

Mayank Bharadwaj

Yeah. Yeah. I heard your question. So, right now, the green hydrogen, we are somewhere in the region of USD 4 to 5, dollars, per kg that is there, which is, again, you know, when you need to be at least less than 2 to, you know, make it more competitive. So those, you know, the, what I mentioned about the policies, the incentives that the government is providing, those are expected to drive it down. If you look at US, the Inflation Reduction Act that came in, the target is to take it below 1 dollar in the next 6 to 7 years. So that is what the US is targeting. There is no such target or no timeline for India, but, in the next 3 to 4 years because it is expected to, you know, I will bite the bullet.

It may, reduce to those levels of, 2 to \$3 here. But it will happen over a 3 to 4 year period. Yeah.

Question: You also made an important reference to export competitiveness. Right.

Could you just describe in some detail as to where does this export competitiveness arise from in terms of India's capabilities? And, how do we see this, being exported given the fact that there would be considerable barriers towards importing dirty energy, so to speak. Right?

Mayank Bharadwaj

Correct. So, export competitiveness, I was, you know, if I look at, primarily green hydrogen or green ammonia pieces, there are 2 or 3 factors. One factor which is very, important is land. Right. If you look at Japan and Korea, again, land is a major issue. So that is that is one piece where it comes in, second is the renewable energy tariffs. Right. So India's, tariffs, the renewable energy tariffs are one of the lowest in the world right now, which is a major component of actually producing green hydrogen. It constitutes about 40 to 45 percent of the cost. And third is, you know, the labour cost, which is there, which we harp on a lot of things. So I think these are some maybe three factors, that you can consider which will have that export competitiveness factor.

ctor.

Ajay Tewari:

I can give you a little bit of idea on this, on export competitiveness. We are targeting to export green hydrogen to Japan, to Singapore, to Germany and similar other countries, even Korea, because they have a problem, as he's just explained, and, we have advantage there. And these countries are very keen on green hydrogen, For which, they are also likely to share the carbon credit generated out of it. Some of the carbon credits, they will adjust on their NDCs. And a portion of it, we will put it on our

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NDCs, nationally determined contributions. So this kind of agreement are going to be signed between these three countries.

We are actually processing it, pursuing it. And, very soon we'll see that carbon credit will also be one of the factors for competitiveness. So I think other factors he has already explained. So these are the major markets we are actually looking at.

Mayank Bharadwaj

So you had a question?

Question: Yeah. This is a great, fantastic story. All positive. So what's your view on the downside?

Mayank Bharadwaj

This I will, not, you know, answer be on behalf of PFC. I can just give you my perspective that, the downside is there, in a way, because, the RE interdependency, is one of the biggest challenges, which is there and if you are not able to have adequate storage capacity in place, this is going to be somewhat of a challenge. That is one, second piece is obviously the growth factor of India. Right?

Now if the growth factor of India is outpacing your capacity addition or the other pieces, then you'll have to look at it from that perspective.

Third is E- mobility. Right? Now when you start to transition from your normal ICE to electric mobility, there's going to be a lot of demand, you know, which is generated. Now how do we cater to that and whether we are ready? So just some of top of the things, you know, that come up, which may have a negative impact on, on this story maybe, if, this is from my, expert's, you know, perspective. Rest if ma'am wants to add to something like that.

Ajay Tewari:

Let me just add to his what he's saying. The storage is the biggest challenge as of today. And what you are asking is the downside. It is not a downside but a challenge which we will meet. Already with the US, Indo US Taskforce has been created to look into the chemistry of this battery storage.

Whether it is for the greatest scale battery storage or for the mobility for this scooters and 4 wheelers. So this battery, which actually uses lithium, which is a rare earth material or critical mineral, this is a challenge for us. So we are also exploring alternative chemistry, sodium based and other kinds of battery storage, for which India and the US both are working together.

And this is a very unique kind of energy storage task force, ESTF, which has been created during our Prime Minister's talk with the U. S. President, last time when our Prime Minister visited. So this is at Power Finance Corporation

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the very high level which has been decided. So I think this task force is already working in the industry.

It is housed in the Indian industry, not with the government. So this is working overnight and we are going to come up with those solutions. And we have a lot of startups in our country. So I think this challenge will also be. And, USAID is also the part of the story of the entire work that the way we are working on the storage part, battery part, basically.

Question: Your take.

Parminder Chopra:

We as a financial institution, I think lot of work is being done on the technological improvement to make these technologies as viable. So we are already there. And as I think earlier also our director project said that we are waiting, these technologies to be commercially viable. So initially we will go with a caution. And once these are fully commercially viable, then we are open to fund

ing all these opportunities.

Perfect. Thank you. All the best.

Ajay Tewari:

Tell about the start up, which is already worked upon the storage based technologies in India. IIT Bombay, IIT Roorkee and this energy storage task force, the industry, they are working together to create, to scale it up from the start up in IIT Roorkee campus and also IIT Bombay.

So that is how we have actually worked out. And very soon you will see that we are scaling it up, making it commercially viable and India will show the way in the alternative chemistry of the batteries.

Sure. Thank you.

Comparer:

Thank you, Sir.

I think that was really a very active participation over there, and I am sure a couple of people behind were deprived of asking questions because we were only looking at the ones in the front. Ladies and gentlemen, we would like to take this opportunity to thank each and every one of you for taking time out of your busy schedules to be here with us. Thank you very much. Do join us for high tea, and have a lovely evening. Take care.

Call: Aug 2024

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MANISH KUMAR AGARWAL

Company Secretary

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(ISO 45001:2018 Certified)

No: 1:05:138: I: CS

Dated : 12.08.2024

BSE Limited,

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SUB: Transcript of Earning call with analyst/investor meet held on 6th August 2024.

Madam/Sir,

In continuation of our earlier letter dated 1 st August, 2024 and 6th August, 2024 and pursuant to

Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, please find attached herewith transcript of Earning call with

Investors/ Analyst of PFC held on 6th August 2024. This is submitted for your information, record

and futiher dissemination.

Tr

anscript of the above-mentioned conference call has been made available on 12.08.2024

is attached herewith and can also be accessed at <https://pfcindia.com/ensite/Home/VS/109>.

Thanking you,

Yours faithfully,

For Power Finance Corporation Ltd.

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(Manish Kumar Agarwal)

Company Secretary & Compliance Officer

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Call: Nov 2024

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Company Secretary

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(ISO 45001:2018 Certified)

No: 1:05:138: I: CS

Dated: I 4.11.2024

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SUB: Transcript of analyst/investor meet held on November 08, 2024.

Madam/Sir,

In continuation of our earlier letter dated November 05, 2024 and November 09, 2024 and

pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and

Disclosure Requirements) Regulations, 2015, please find attached herewith transcript of

Earning call with Investors/Analyst of PFC held on November 08, 2024. This is submitted for your information, record and further dissemination.

Transcript of the above-mentioned conference call has been made available on November 13, 2024

at : ·up,. pl■india.com ensitc Home VS I 09 and the same is attached herewith.

Thanking you,

Yours faithfully,

For Power Finance Corporation Ltd.

(Manish Kumar Agarwal)

Company Secretary & Compliance Officer

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"Power Finance Corporation Limited

Q2 H1 FY '2 5 Earning Call"

November 0 8, 202 4

MANAGEMENT : MRS. PARMINDER CHOPRA – CHAIRMAN AND
MANAGING DIRECTOR

MR. RAJIV RANJAN JHA – DIRECTOR PROJECT

MR. MANOJ SHARMA – DIRECTOR COMMERCIAL

MR. SANDEEP KUMAR – DIRECTOR , FINANCE

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

Power Finance Corporation Limited

November 08, 202 4

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Moderator: Ladies and gentlemen, good day, and welcome to Power Finance Corporation Limited Q2 /H1 FY '25 Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen -only mode and there will be

an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone telephone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Falak. Good evening, everyone. We have the management of Power Finance Corporation to discuss the Q2 /H1 FY '25 performance of the company and sector trends. The management is represented by M s.

Parminder Chopra, Chairman and Managing Director; Mr. Rajiv Ranjan Jha, Director (Projects); Mr. Manoj Sharma, Director (Commercial); and Mr. Sandeep Kumar, Director (Finance). I would now hand over the call to Parminder Ma'am for her opening remarks, post which we can open the floor for question and answer. Over to you, Ma'am.

Parminder Chopra: Thank you. Good evening, and a warm welcome to all of you. We have declared our Q2 and H1 '2025 results today, and I'm happy to connect with all our investors to discuss PFC's quarterly and half yearly performance.

To start with , I would like to highlight some of the key milestones which we have achieved this quarter. In this quarter, we have achieved the lowest Gross Power Finance Corporation Limited

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NPA ratio of 2.71% since FY 2019, which was then at 9.39%. This has been achieved with our active resolution efforts. Since 2019, we have resolved around 55% of our stressed asset book. On resolution of these stressed assets on an average, we have achieved a recovery of more than 60%, which is among the highest in the infrastructure financing space.

Also this quarter, I'm happy to inform that PFC has become the first Indian PSU to successfully execute the largest ever foreign currency term loan deal of USD1.265 billion. This landmark transaction was executed through a facility agreement with multiple banks based in IFSC GIFT City, Gandhinagar.

In earlier calls, we had expressed our vision to expand PFC's global footprint. And in this direction, we had shared that we were in the process of setting up a subsidiary in IFSC GIFT City Gujarat. I'm happy to share that our subsidiary PFC Infra Finance IFSC Limited, has received approval from the International Financial Service Center Authority to commence operations as a finance company in IFSC GIFT City Gujarat.

PFC Infra Finance IFSC Limited is the first finance company in IFSC dedicated to power and infrastructure lending. As earlier shared with you, the company will provide foreign currency loans to domestic as well as international power and infrastructure projects , catering to both government and private players. This strategic move reinforces PFC's position as a leader in the infrastructure financing space.

Now coming on to the numbers, and if we talk of the consolidated performance. For H1 2025, the consolidated profit after tax stood at INR14,397 crores, a 14% increase year-on-year. The Group loan asset book registered a growth of 13% on year-on-year basis. The consolidated loan asset book as on September 30, 2024, stands at INR10,39,472 crores.

On the asset quality, we continue to see a decreasing trend in the NPA level. Th

e consolidated gross NPA has reached below 3% and is at 2.62% in first half Power Finance Corporation Limited
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of financial year 2025, compared to 3.40% in 2024 first half. The consolidated net NPA ratio for H1 '25 is at 0.80% compared to 0.98% in H1 2024.

Now moving on to stand-alone performance.

In Q2 2025, we have registered the highest ever quarterly net profit of INR4,370 crores, 14% increase on a year -on-year basis. For H1 '25, the net profit stands at INR8,088 crores, an 18% increase from previous H1. This increase is mainly driven by healthy growth in the net interest income. The net interest income for H1 '25 saw a 21% increase on a year -on-year basis and is at INR8,736 crores. On the ratios front, we saw a positive trend over H1 '24. The yield rose by around 19 bps from 9.92% in H1 '24 to 10.11% in H1 '25. The spread also improved from 2.51% in H1 '24 to 2.61% in H1 '25. The NIM also improved by 20 bps over H1 '24. The NIM for H1 '25 is at 3.57%. These ratios continue to remain within our guided range. Further, the cost of funds also continues to be within our expected range at 7.50%. Also, our balance sheet remains exceptionally strong with a capital adequacy ratio of 24.38% and a net worth of INR85,924 crores. Continuing with our endeavor to share our success with the shareholders this quarter also, the Board had declared interim dividend of INR 3.5 per share. With this, the cumulative interim dividend for FY '25 stands at INR 6.75 per share. Now moving on to asset quality. In line with the guidance shared in earlier calls, this quarter, the Lanco Amarkantak loan of INR2,376 crores has been resolved pursuant to receipt of NCLT approval. We saw a provision reversal of around INR200 crores on resolution. In addition to above, two loans with a cumulative outstanding of INR 313 crores has been moved out of Stage 3, that is the NPA category. One loan of INR304 crores has been technically written off. There was no impact of this on the P&L as 100% provisioning on this was maintained.

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The other loans has been upgraded from Stage 3 on account of resolution. With this, the gross NPA ratio has reduced by 96 basis points from 3.67% in H1 '24 to 2.71% in H1 '25. The net NPA ratio has come down from 1% in H1 '24 to 0.72% in H1 '25. The outstanding NPA book has reduced from INR16,487 crores in H1 '24 to INR13,377 crores in H1 '25, mainly due to resolution of Lanco Amarkantak loan. Now we have 18 stressed projects of INR13,377 crores under Stage 3. Of these projects, six projects worth INR1,861 crores are being resolved outside NCLT. Out of this, two projects worth INR1,661 crores, that is Shiga Energy with a loan of INR522 crores, and TRN Energy with an outstanding loan amount of INR1,139 crores are in advanced stage of resolution. On Shiga Energy loan, I would like to share that we have received approval from all the lenders. Subsequent to this, documentation and implementation of resolution will be undertaken. We expect the asset to be resolved by the end of the financial year. Currently, we have maintained sufficient provisioning of around 31%. Further, 12 projects worth INR11,515 crores are being resolved under NCLT. Out of which, seven projects of INR2,612 crores are under liquidation process on which 100% provisioning has been made. Further five projects worth INR8,904 crores are at various stages of resolution in NCLT. Of these five projects, KSK Mahanadi project of INR3,300 crores has the highest outstanding amount. It's a 6*600 megawatts partially commissioned project. The evaluation of the bid is underway, and we expect more than 100% recovery against the project basis the current bids received. We have maintained around 55% provisioning on this project. On Stage 3 as sets, we continue to maintain a healthy provisioning of 74%. So now coming on to the loan asset growth this quarter. In last quarterly results, we had shared that PFC from 1st April had been implementing a BCG

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suggested transformation strategy for improving its business processes. This has resulted in subdued disbursement in Q1 '25. I'm happy to share that we are progressing well on the transformation

strategy. And from this quarter onwards, we are back on track on our disbursement trajectory. This quarter, we have disbursed INR 46,663 crores and cumulatively, our disbursement in H1 '25 is at INR 66,146 crores. With this, our loan asset growth registered a 10 % year -on-year increase. The loan asset book for H1 '25 is at INR 493,363 crores. I would like to share that in H1 '25, we have sanctioned around INR160,000 crores worth of projects. So we have a healthy pipeline going forward also.

For FY 2025, we expect to maintain similar growth levels as last financial year.

Thank you very much, and now we are open for questions.

Moderator: Thank you very much. The first question is from the line of Raghu from Travis Capital. Please go ahead.

Raghu: Yes. Actually, my question is regarding the Gujarat IFSC branch which you have opened. What is the projected growth we foresee from that over the next 1, 2 years? And do we really have a plan to fund foreign companies or Indian companies in their abroad projects?

Parminder Chopra: See, we have just received the certificate for commencement of business and being a financial company, so we are expecting that we will be disbursing loans to the various infrastructure sector, including power sector. There, we are intending to target domestic as well as the foreign companies.

From IFSC, we can disburse only in foreign currency. And once we infuse capital more and then definitely, we raise debts as funds are the stock in trade for any NBFC. So we will start our operations.

And we have a healthy pipeline, but it will all depend on the -- basically, capital, what we are infusing that how much business we can pick up. But otherwise, we have a lot of interest from various especially power sector

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developers in India for taking a foreign currency loan from our GIFT City project.

Raghu: Just a follow-up to that. I understand there are some tax benefits if we do that. So generally, our profit margins and all will be much higher once the business there takes off? Is that something I can assume?

Parminder Chopra: See, there is a tax holiday of 10 years in IFSC GIFT City. So it's very difficult to answer this question that how our profit margins are going to be there in the IFSC GIFT City subsidiary.

Raghu: Okay. And just the last question regarding the same thing. Can we expect maybe something like a 10% loan book at the end of 10 years? Do you foresee something like that from the -- for the foreign borrowings?

Parminder Chopra: See, 10%, I couldn't get, 10% of what?

Raghu: Of the total loan book.

Parminder Chopra: Of the total loan book, see, PFC has a INR5,00,000 crores plus loan book. So it's not a branch. It's a separate independent subsidiary, which will be functioning. So even if we infuse, hypothetically say if we infuse INR1,000 crores as capital, so we can take there are always exposures which we need to take and the capital adequacy we need to maintain. So to start with, I think we have to go a bit slow till the time we build on the capital.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have two questions. First is on the disbursement side. So while disbursements have picked up well after the glitch we saw in 1Q, I wanted to understand, have there been

higher repayments in the renewable or the distribution sector because in spite of the disbursements picking up, the loan growth has been at 10% only. So that's my first question.

And second, on the asset resolution, you mentioned about Lanco and two other companies -- two other loans forming up to INR313 crores. But one of

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your peers has reported that there were some cash recovery from KSK project approved by NCLT. And that -- doesn't that flow in -- didn't that come to you guys and wouldn't we see some negative credit costs from that as well? These

are my two questions.

Parminder Chopra: I would like to answer your second question first about some cash recovery from one of the stressed assets. We have not accepted that, and that has remained unallocated, and we are waiting for the final resolution to be achieved before we do allocation in the particular asset. So that is lying in the unallocated funds for PFC.

Shreya Shivani: And what's the reason for -- I mean, I didn't understand, what's the reason for not accepting it?

Parminder Chopra: See, how much recovery is there, it will all depend on the final NCLT order. Once we receive the NCLT order, then only we can decide that how much is the principal to be adjusted and how much has been accounted for as the interest. So till such, in our view, we can't allocate it right now. It will not be prudent. So we have not done any provision reversal to that extent.

Shreya Shivani: Understood. Understood. Sure. And on the loan book ma'am?

Parminder Chopra: On the loan book, see, our recoveries were scheduled a bit higher in the first half as compared to in the second half. So that is the reason that you are not seeing the growth coming in the first half even despite we are having disbursed around INR64,000 crores.

Shreya Shivani: Got it. So the repayments -- the bigger chunk of repayment happened in the 1H?

Parminder Chopra: In the 1H, yes.

Shreya Shivani: Got it. Got it. And ma'am just a last follow-up question, a follow-up question.

On the conventional generation book, that book has been steady at the same level for the past couple of quarters. Are we seeing any movement on ground in terms of thermal capex, any sanctions that you could talk about?

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Parminder Chopra: Yes, definitely, the focus of the government is to almost double the capacity by 2030. And for that, a major chunk, maybe around 84 gigawatts is going to be contributed from the thermal or the conventional part. So this, if we talk of the first half of FY '25, we have sanctioned around INR50,000 crores worth of loan to the conventional project. So there is a movement, and it's picking up.

Shreya Shivani: Sure. But it's very difficult to give the timeline on disbursements for the INR50,000 crores. Is that fair to say?

Parminder Chopra: See, now you can very well understand that if the projects are being sanctioned at this stage, it always takes some time even though, I think the basic infrastructure because these are mostly the expansion projects. So basic infrastructure being always the re. But in any case, it's going to take another 3 to 4 years for disbursement to have complete in this aspect.

Moderator: The next question is from the line of Manish from PhillipCapital.

Manish: I have a couple of questions. I will start with can you quantify the Stage 2 assets? And when is the Andhra Pradesh discom expected to be regularized?

Parminder Chopra: I couldn't get your second question.

Manish: So it was about Andhra Pradesh discom. We understand that it was in a part of Stage 2 last quarter. So is that account regularized now, like overdues are repaid or still under stage 2?

Parminder Chopra: Andhra Pradesh utility, they are regular now in payments. And the Stage 2, as you already

know, that we always have most of the 80% of our book is from the state sectors. And in the state, we have never experienced any of the NPAs coming out, there is slightly delays.

So a few of the states, there are around that they may fall in 1 quarter in the Stage 2. But in the next quarter, they are upgraded to Stage 1. So this off and on is happening, and most of the Stage 2 projects are in the state sector.

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Manish: Okay. Would you want to quantify this number right for the end of Q2 or...

Parminder Chopra: I think that it doesn't make much relevance because if all the government sector projects.

Manish: Sure. Ma'am next question is on your full year disbursement target. So you have given some sense on loan growth. Can you give us the disbursement target for the full year?

Parminder Chopra: See, disbursement, I think it -- why you want to have the disbursement target? It ultimately boils down to the growth. And we have given a very clear -cut guidance that we are expected to have the similar level of growth as we have in the previous years, and it's around 14%.

Manish: Got it. And finally, on the renewable side. So.

Parminder Chopra: Hello?

Moderator: Hello, Mr. Manish? Are you there? As there is no response from the participant, we will move to the next question. The next question is from the line of Shweta from Elara.

Shweta: A couple of questions. Can you provide colour on the infra portfolio, infra and others? Yes. Ma'am, I wanted to know if you can provide some colour on this INR21,000 -odd crores of infra plus other projects. Like what are these? Are these pure core infra -assets and the like? Can you just allude to these?

Parminder Chopra: See, infrastructure around -- we have an outstanding book of around INR21,000 crores. And the major outstanding balances are, one is the HPCL Rajasthan Refinery. And there are, we have also funded the manufacturing facilities to the various private sector developers. And there are small, small other infrastructure segments where the outstanding is around INR9,400 crores. That majorly consists of the various ports, which are there.

Shweta: Okay. Okay. Also, ma'am, just a follow -up question. So Q1, you mentioned that the due -diligence process is underway for Shapoorji Pallonji Group Loan.

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And you also mentioned that the finalization will depend upon completion of the processes. So what is the colour on that? And plus, are we lending to Vodafone Group?

Parminder Chopra: Shapoorji Pallonji, we have done a detailed due diligence, but somehow the Board in its wisdom has decided that since it's a new sector for us, so we may not take that high -end exposure.

So finally, we have decided not to go ahead with the sanctioning of the loan for Shapoorji Pallonji. And the other known loan, Vodafone, it was never in the consideration zone in PFC. I don't know from where all these media news are coming from.

Shweta: Okay, ma'am. My third question is can you provide sanction breakup across key segments?

Parminder Chopra: Sanction in the generation, we have sanctioned, in this financial year, we have sanctioned around INR160,000 crores. Around 60% is in the generation. And distribution constitutes to around 17%, infrastructure, 15%; transmission and other sectors, maybe around 8%.

Shweta: One last question. So what is our incremental cost of funds? And the latest FCB borrowings, which you also mentioned in the opening remarks, what is the blended cost?

Parminder Chopra: See, blended cost for the raising made during the H1 is around 6.27% if we consider the foreign currency loan. And of that, the foreign currency borrowings without hedging if we consider is around 3%.

Shweta: Okay. And the incremental cost of borrowing?

Parminder C

Chopra: This is the incremental cost of borrowing I said, otherwise, the weighted average cost of borrowing is around 7.5%.

Moderator: The next question is from the line of Alok Srivastava from UBS.

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Alok Srivastava: Ma'am, firstly, on assets under resolution. Could you help me with this number on KSK, how may be 100% recovery is on principal or admitted claims in NCLT? Because I understand your admitted claims are higher versus the principle that is there.

And also on Sinnar Thermal Power plant, could you let us know what is

happening over there? And what could be the likely recovery from that one?

Parminder Chopra: The recovery -- hello?

Alok Srivastava: Yes, ma'am.

Parminder Chopra: Your first question was on KSK, right?

Alok Srivastava: Yes, yes.

Parminder Chopra: So in KSK, our recovery is more than the claim amount. And your second question was on?

Alok Srivastava: Yes.

Parminder Chopra: I couldn't get your second question.

Alok Srivastava: On Sinnar, what kind of write-back are we expecting? And is there any timeline when that can happen?

Parminder Chopra: Sinnar, we have invited the bids and at one stage we have received the bids but the evaluation process is still on. So I think in a month or so, we may finalize the evaluation and then we will submit it to NCLT after the approval of NCLT only that will be able to adjust it.

Alok Srivastava: Okay. Okay. Got it. Ma'am, secondly, on infra projects, as you mentioned that for that particular project, it went to the Board and decided not to do it. But ma'am, how does it work? Do all infra projects go to the Board? And if the Board, whatever Board is saying, is it mandatory for you to stick to what the Board is saying in these kind of projects?

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Parminder Chopra: See, as per our internal delegation of power, infrastructure project sanctions will go to the Board. And in Board, a collective decision is always done for whatever proposal has been made by the concerned appraising units, then it will go to the Board and Board takes collective decision.

Alok Srivastava: And then is it mandatory then for the company to accept what the Board is saying, right?

Parminder Chopra: Yes, definitely. Board is the competent authority to approve projects.

Alok Srivastava: Yes, sure. Just one more question, ma'am, on the generation disbursement of around INR15,000 crores during this quarter. How much will be renewable?

Parminder Chopra: See, generation diverse mix you are asking?

Alok Srivastava: Yes. Because the last quarter, I believe you had said 18% of the total was renewable.

Parminder Chopra: See, with respect to disbursement, this particular quarter, we have disbursed around 32% to the generation, out of which 13% is towards the renewable and 19% is towards the conventional project. This is about the Q2 2025.

Moderator: The next question is from the line of Abhijit from Motilal Oswal.

Abhijit: Ma'am I had 3 questions. The first thing is, I mean, a clarification. You already said that for FY '25, we are expecting loan growth to be similar to last year, which is around 14% levels. Again, I mean, I assume that this is in the context of first half where you were implementing a transformation program now that it is over and like you said in your opening remarks, we're going to be embarking on a stronger disbursement trajectory from the second half onwards. So next year onwards, what is the loan growth that we have in mind?

Parminder Chopra: See, the loan growth, I think as our base is expanding, so any higher percentage of the loan growth may not be possible. And at this stage also, if

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you see the last year disbursements were to the tune of around INR125,000

crores and that's a huge sum.

So it will all depend on how the economy grows and how the infrastructure sector picks up within the overall economic growth of the country. So as you are already aware that we are one of the largest lenders in the infrastructure and especially for the power sector. So our contribution is going to be accordingly.

Abhijit: Got it. And the second question I had was on margins. Given that our expectations that, very soon we might be heading into a declining interest

rate environment in India as well. Can you just explain with regards to our assets and liabilities. When you look at assets, what proportion of your assets are fixed and what proportion of them are floating? Within floating, at what frequency they come up for repricing? Likewise on the liability side, what proportion of our liabilities are fixed and floating?

Parminder Chopra: See, on the liabilities front, we have around 27% as the floating rate liabilities and around 72%, 73% as the fixed rate liability. As you know, that most of our borrowing is from the bond market, and bond market doesn't have the depth and the appetite for the floating rate bonds. Whereas on the asset side, we have around 95% of the assets are on the floating rate as in most of the asset lending, we have either a 3-year reset clause or a 1-year reset clause. So based on our overall cost of weighted average cost of borrowing, we do fix the lending rate and whatever is the current lending rate, our repricing of the assets is going to happen at those rates.

Abhijit: Got it. Ma'am, just to clarify on that. When you say 3-year reset clause or a 1-year reset clause, those resets will depend on your internal card rate, which again is depicted by your cost of borrowings. Is that understanding correct?

Parminder Chopra: The average cost of borrowing will be the basis for the internal card rates.
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Abhijit: Yes ma'am. So ma'am, from a sensitivity perspective, if there is a 25 basis cut in the repo rates, what will that translate into the impact on our margins?

Parminder Chopra: See, it's very difficult to say, one, because we are -- our borrowing is not linked to the repo rate, and we have already seen that there has been a downward trend in the bond market. Whereas, if we see that on the bank loan book front, the loans which we have taken from the bank, banks marginal costs are either steady MCLR rate or is increasing.

So there has not -- we have not witnessed any decline in the bank rates, especially in the MCLR rate of the bigger -- and there, we have around 30% of our borrowing from the bank. So how that mix is going to be there and how the market benchmarks are going to be affected with the any cut in the repo, that we have to see before we work out any impact.

Abhijit: Got it. And then just 1 last question. I mean, within your infrastructure and others book, if you could just share 1 data point with me, that as part of the outstanding infrastructure and others move that you have, what is the mix of public and private? And likewise, if you look at H1 sanctions that you have given in the infrastructure sector, what is the mix between public and private?

Parminder Chopra: For the infrastructure sector, 96% sanctions are for the government sector and only 4% is for the private sector. As we have earlier also shared that we are following a bit, we are following steady and slow process for funding of the infrastructure sector. And we are cautious because it's a new sector for us. And out of the H1 book, if you ask me, so the total sanctions for H1 is around INR23,000 crores, maybe INR24,000 crores, and that too, again, the percentage may be the same.

Abhijit: Got it, ma'am. In the interest of time, I just wanted to squeeze in 1 last question. You'll recall that RBI circular on ECL provisions for project financing

recently,

recently, there has been media coverage. I just wanted to hear from you, I mean, any update that you heard either from the power ministry or from the finance ministry on the RBI circular on ECL provisions on project financing.

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Parminder Chopra: See, as we understand that PFC, as well as other lenders through their respective ministries and banks also to the Ministry of Finance has taken up the issue with RBI on the infrastructure provisioning circular, what you are mentioning. So we have to see whatever suggestions have been given what finally comes out in the final version of the circular and only then, we will be able to say something. Because there were numerous, I think, suggestions which were made as a part of -- by various lenders on this circular.

Moderator: The next question is from the line of Romil Oza from Romil Oza Company.

Romil Oza: Ma'am, congrats on a great quarter. So 1 thing that I have been calculating is that on a consolidated basis. Hello?

Parminder Chopra: Yes, yes.

Romil Oza: On a consolidated basis, our recoveries from the nonperforming assets might be upwards of INR8,000 crores, INR8,500 crores pre-tax. And that is between REC and PFC. Because between KSK Mahanadi, Hiranmaye, and Sinnar, what bids we've been seeing in the new papers, it means that our provisioning has been quite conservative. So that would add like almost 1/4 of earnings to PFC's earnings for the year. It would be like an additional quarter of earnings.

I mean that would increase our capital adequacy rate, which is already hovering around 25% to a much higher level. And if you go by projections for electricity demand, I think we are lagging as a country in terms of putting up the demand. So should we either -- aren't you going to pay a very large dividend, which I think might be a second priority, given that the growth required, especially from PFC and REC, Power Finance Corporation and Rural Electrification Corporation. Shouldn't that be much higher? Like I know you'd love being conservative, but isn't 14% a very low number?

Parminder Chopra: See, I think your observation is correct. We have been conservative in provisioning. And as a result, we have -- we are expecting our recoveries to be good as compared to the provisioning whatever we made.

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But on the other side, that we require capital for growth. As you have seen that in the previous quarter, we were at around 27%. And this quarter, we are at 24.5%. And that all depends on capital adequacy. The risk rate, which we assign, that is required to be assigned to each of the asset is very important. We had disbursed a lot of money under various schemes like LPS, LIS, where it was all backed by government guarantee, and a 20% risk rate was required to be assigned to those assets.

If we go for the growth in the current scenario, where a lot of capital works are happening and our disbursements are going to be towards the capital works, that is going to attract and not backed by government guarantees, that is going to attract a 100% risk rate on those assets.

For that purpose and maintaining the capital, I think, for a consistent growth going forward, we need some capital for -- on the regular basis. But yes, to some extent, during the intervening period, we may have some reversals resulting in higher profit. And as you know, what is our dividend policy, we always follow the government of India guidelines for the dividend, and we paid 30% of the profit after tax for 5% of the net worth as dividend, whichever is higher. We are going to follow that policy in the coming future years also. So in any case, if something is added on to that and that we will be giving as - - rewarding our investors and giving them the handsome return.

Romil Oza: And

ma'am...

Moderator: Sorry to interrupt you, sir. May we request you to return to the question queue.

Romil Oza: Sure. It's only 1 question. I think my question is very relevant in that I think our company is being quite conservative in its projections, and it's performing far better than the analysts are projecting. So I wanted to ask 1 more question.

Parminder Chopra: Yes, tell me.

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Romil Oza: I think, ma'am, I know you've been here for 30 years. You've helped grow the company and the country. But I think your growth projection, it's too conservative given the total addressable market. And given the need from the country, to add the power generation.

And what's happening is that the market is not discovering the true value of Power Finance Corporation. And I know you like being humble, but at a certain point, you'll have to reveal that Power Finance Corporation is 1 of the

best companies in India right now and probably 1 of the best investments in India right now. And so that's why I was asking you this question.

Parminder Chopra: I think you observed that there is a lot of potential for infrastructure and power sector financing in the country. And looking at the overall target for funding of the power sectors, like it is expected that a 30 lakh crores is expected to be the funding requirement in 2030. So there is going to be a huge requirement.

But with a lot of institutions coming up for infrastructure financing -- in the infrastructure financing space, as you know, that now PFC, REC in any case is there, IIFCL is there, now NA BFID is coming up.

Apart from that infra, traditionally, other than power sector, all infrastructure sector is being taken care by the banks. So I think all the institutions have sufficient headroom available for the growth. And that is why we are saying that, okay, we wanted, for the infrastructure sector, as per our earlier guidance, we wanted to be a bit slow and cautious in our approach because it's a new area for us.

The power sector, we agree that we understand the power sector, and I can assure you that the power sector business as much as we can do, we will definitely be doing. And right now, I can say only this much.

Moderator: The next question is from the line of Jigar Jani from B&K Securities.

Jigar Jani: Congratulations . Just data keeping questions, so could you share...

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Moderator: Sorry to interrupt, Sir. Can you please use your handset?

Jigar Jani: Just a moment, is this better?

Sandeep Kumar: Yes, yes.

Jigar Jani: Yes. So I just wanted to check to data keeping questions, one, on TRN Energy. What would be your PCR here?

Parminder Chopra: TRN Energy, we have around 50% provisioning.

Jigar Jani: And just confirming, Sinnar would be 80% and KSK would be 55%?

Parminder Chopra: Yes.

Jigar Jani: And what would be the recovery expectations on TRN and Shiga given that we are very close to resolving them? Any recovery expectations or percentages that you could share?

Parminder Chopra: See, I think our provisioning will be sufficient to take care of resolution process. And there would be slightly write-back also.

Moderator: The next question is from the line of Nikhil from Bernstein.

Nikhil: Just had 1 question. If you -- Adani Power plant supplying power Bangladesh, if you could give some colour on that, what is the exposure? And what is the loan security mechanism? And if there is any stress foreseen on that asset?

Parminder Chopra: I don't remember upfront what is the outstanding. But definitely, we have funded the project in the Jharkhand, which is supplying power to the Bangladesh. But there has not been any delay of a single day in our recoveries from this project. And I think the promoter is taking care, and we have heard

that they are going to get all their payments from the Bangladesh government soon. But otherwise, there is no delay for the PFC servicing. This is what I guess .

Moderator: The next question is from the line of Sanket Chheda from DAM Capital.

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Sanket Chheda: Yes, congrats on a very good quarter and a strong comeback. My question was on disbursement. This quarter disbursements have been pretty strong.

So was it like some disbursements of Q1, which could not be done because of the system change that you went through? Or should we see this run rate sustaining going ahead as well whatever we did in Q2 in terms of disbursement?

Parminder Chopra: I think we will be able to keep the pace what we have achieved, and we will be able to get the growth numbers in line with the previous year.

Sanket Chheda: Okay, okay. And this is after deciding not to go ahead with Shapoorji, you still think 13%, 14% would be doable for this quarter?

Parminder Chopra: You're right, right.

Moderator: The next question is from the line of Raghu from Travis Capital.

Raghu: Just last thing confirming. Next 2 quarters, so what is the expected write -back we can expect if the KSK Mahanadi and all gets resolved in the next 6 months?

Can we assume something around INR1,000 crores?

Parminder Chopra: See, the only thing is that once the evaluation is complete, we will be submitting it to NCLT, but we can't say that when the NCLT approval is going to come. Once we received the NCLT approval and the restructuring plan is implemented, what has been approved by NCLT only then we can go for reversal of the provisioning. And I can share you the number that in Shiga, have INR159 crores of provisioning, in TRN we have around INR550 crores provisioning and in KSK, we have around INR1,800 crores provisioning.

Raghu: Okay. So I think next 3 quarters, can we expect around INR1,000 crores, maybe including the -- would it be fair?

Parminder Chopra: I have given you. It all depends on the stage of resolution. And we are expecting that in TRN and Shiga, we will be able to conclude within this financial year.

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Moderator: The next question is from the line of Shreepal Doshi from Equirus Securities.

Shreepal Doshi: Just a question on margin front. So how do you see the margin trending for us for the second half in case of -- just wanted to understand that part.

Parminder Chopra: See, we always have given guidance -- we have always given guidance that our margins are going to remain at around 3% to 3.5% range. And we expect that we will definitely be within these levels.

Shreepal Doshi: But ma'am given the current situation, will we be towards -- will we be near to the upper band side of it? Or there could be -- or it could be lower side of the band?

Parminder Chopra: It all depends on the growth numbers. And if you see that in first half, we are slightly above 3.5%.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: Thank you everyone for being part of the call and thanks to the management of Power Finance Corporation for giving us the opportunity to host this call.

Thank you everyone, and have a good weekend.

Parminder Chopra: Thank you. Thank you very much.

Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

National Stock Exchange of India Ltd,
Listing Department, Exchange Plaza,
Bandra -Kurla Complex, Bandra (E)
MUMBAI -400 051.

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(■-■-3TT. 45001:2018 w=nfura-) (ISO 45001:2018 Certified)
BSE Limited, No: 1:05:138: I: CS
Dated: 19.02.2025
Department of Corporate Services, Floor -25,
PJ Towers, Dalal Street,
MUMBAI-400 001.

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SUB: Intimation of Transcript of Earning call of Investor/Analyst meet held on
Wednesday, February 12, 2025.

Madam/Sir,

In continuation of our earlier letter dated February 7, 2025 and February 12, 2025 pursuant to
Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015, please find attached herewith Transcript of Earning call of
the company with Investors/Analyst held on February 12, 2025. This is submitted for your
information, record and further dissemination.

Transcript of the above-mentioned conference call has been made available at
<https://pfcindia.com/ensitc/liome/VS/109> and the same is attached herewith.

Thanking you,

Yours faithfully,

For Power Finance Corporation Ltd.

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(Manish Kumar Agarwal)

Company Secretary & Compliance Officer

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"Power Finance Corporation Limited

Q3 9M FY '25 Earning Call"

February 12, 2025

MANAGEMENT : MRS. PARMINDER CHOPRA – CHAIRMAN AND
MANAGING DIRECTOR

MR. RAJIV RANJAN JHA – DIRECTOR PROJECT

MR. MANOJ SHARMA – DIRECTOR COMMERCIAL

MR. SANDEEP KUMAR – DIRECTOR , FINANCE

MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

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MODERATOR : MR. SHREEPAL DOSHI – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Power Finance
Corporation Limited 3Q FY '25 Conference Call hosted by Equirus Securities.

As a reminder all participant lines will be in the listen -only mode and there
will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi from Equirus Securities. Thank you, and over to you, sir.

Shreepal Doshi: Thank you, Steve. Good afternoon, everyone. I welcome you all to the earnings conference call of Power Finance Corporation to discuss the 3Q performance of the company. Today, we have the senior management of the company represented by Ms. Parminder Chopra, Chairman and Managing Director; Mr. Rajiv Ranjan Jha, Director Projects; Mr. Manoj Sharma, Director Commercial; and Mr. Sandeep Kumar, Director Finance.

I will now hand over the call to Parminder ma'am for her opening remarks post which we can open the forum for question and answer. Over to you, ma'am.

Parminder Chopra: Thank you. Good evening, and a warm welcome to all of you. We have declared our Q3 and 9 months FY '25 results today, and I'm happy to connect with all our investors to discuss the performance. For 9 months '25, the consolidated profit after tax stood at INR22,157 crores, that is 17% increase
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year-on-year. The consolidated loan asset book stood at INR1,069,436 crores, a 12% year-on-year growth.

On the asset quality front, the consolidated gross NPA has reached below 3% 2.30% in 9 months FY '25. The consolidated net NPA ratio is at 0.73% for the 9 months of the current financial year.

Now turning on to PFC's standalone performance. For 9 months, for the current financial year, the net profit stands at INR12,243 crores, that is a 20% increase from the previous 9 months. On the dividend front, the Board has declared an interim dividend of INR3.50 per share, bringing the cumulative interim dividend for FY '25 to INR10.25 per share. If we talk of the ratios for 9 months '25, that continue to be within our expected range. The yield is at 10.07%. The cost of funds is at 7.47%. The spread and the NIM continue to be range bound at 2.60% and 3.65%.

Now coming on PFC's foreign currency portfolio, which is around US dollar equivalent \$9 billion. As you may all know, that forex markets have been witnessing volatility since January 2025, particularly with respect to USD/ INR exchange rate movements. So considering this changing scenario, I want to share that the USD/ INR closing rate for 31st December 2024 is INR85.62. If the depreciation trend continues, there would be some additional impact on the profit and loss in quarter 4.

However, we are expecting some provision reversals on account of stressed asset resolution, which would provide sufficient cushion to set off the effect of exchange rate variation. Now if we talk on the asset quality front. This quarter, we saw no major changes. The gross NPA ratio for 9 months '25 is at 2.68%, and the net NPA ratio is at 0.71%. We continue to maintain 73% provisioning on our NPA portfolio. Talking about NPA assets, as shared in previous quarters, we are envisaging resolution in 3 projects of around INR4,961 crores.

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As we have earlier shared also, first is the KSK Mahanadi project of INR3,300 crores. It's a 6x600 megawatt partially commissioned project. The resolution plan submitted by JSW Energy Limited has been unanimously approved by CoC. Thereafter, the resolution plan application has been filed in NCLT on 17th of January 2025 for approval. We expect more than 100% recovery

against the project basis the current bids received. We have maintained around 55% provisioning on the project.

The other 2 projects are Shiga Energy loan of INR522 crores and TRN energy loan of INR1,139 crores. Both these projects are being resolved outside NCLT. Being a regulatory process, there have been certain delays in these resolutions. However, we are expecting some of these resolutions to come through in this quarter.

So now coming on to the disbursement and loan asset growth. This quarter, we have disbursed INR34,151 crores and cumulative disbursement for the 9 months in FY '25 is at INR100,297 crores. This translates to a year-on-year loan growth of approximately 10.24%. I would also like to share that PFC's disbursement typically ramps up in the last quarter of the financial year. Considering this, we maintain our guidance and expect to achieve similar growth levels as last financial year.

Before I close, I would like to share that our renewable book has been growing steadily. Our renewable energy portfolio saw 28% year-on-year growth and is currently around INR69,500 crores. We continue to have the largest renewable book in the country. Also, to further expand this portfolio, we have recently entered into largest green loan agreements and were executed by JBIC of JPY 120 billion. This further solidifies our position as a key financing partner for India's energy transition.

Thank you very much. And now we are open for questions.

Moderator: The first question is from the line of Avinash Singh from Emkay Global.
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Avinash Singh: Two questions from my side. The first one is, ma'am, on growth front, if I were to look at the kind of whole growth drivers, the conventional generation, renewables, loan to state utilities and the non-power infra. Now renewables and non-power infra, of course, on a smaller base seems to be doing fine, yet the challenge is more on the conventional generation and state utilities front. Now incrementally, there is certain noise on renewables PPA getting stuck and also, I mean, a bit look that the optimism could be kind of at least in the near term under cloud.

So in all this kind of backdrop, not just for Q4, for Q4 and FY '26, if you were to kind of highlight or provide some kind of guidance about growth in these four separate growth drivers that your conventional generation is over to pick up in say FY '26 or so, how is the renewables and even the loan to state utilities panning out, particularly state utilities because, I mean, the RDSS project progress has been slower than what one would have expected earlier. So I mean, how do you -- and when do you see that RDSS-related disbursement to pick up? So that's the more broader question on growth. And a second on your NPA side. If you can just quantify the kind of recoveries and resolutions that happened in this quarter that, if at all, that has kind of resulted in write-back and all? And how do you see the write-back panning out in Q4 and FY '26?

Parminder Chopra: Okay. Let me talk first on the growth front. You said that I think from the news, we have heard that there has been some PPA in the renewable front, which has not been entered into and there is a capacity which is not supported by the PPA. But let me assure you that we have not funded any such asset. And if you see during the current quarter, our disbursements are primarily, one on the renewable front and the other is on the distribution

side

what we have experienced.

So the disbursement, renewable, we have disbursed around INR6,000 crores. And out of the total, 28% disbursement on the generation side, the balance 63% is on the renewable and 37% is on the conventional side. Distribution still
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accounts for the major disbursement during the quarter at around 60% and the transmission and infrastructure at 7% and 4%.

So going forward also, in the next quarter, we are looking majorly on the distribution side that our disbursements are going to be there and followed by on the generation side. We have in pipeline good disbursement planned out for the current quarter for the financial year FY '25. So we are quite hopeful that this quarter also, we are going to have a disbursement on distribution as well as on the renewable side.

And yes, on the conventional side also we have certain sanctions on which the disbursements are ongoing. So you talked about the RDSS slowdown also. RDSS, as everybody knows that during the initial phase of RDSS scheme, the scheme was being conceptualized. There were a lot of modalities, which are required to be put in place. So at that point of time, there was a slow pace for the RDSS.

But now since most of the sanctions have already been done, and 94% of the sanctioned work under reduction and 90% of the works under smart metering has already been awarded, so we are expecting that now onwards, it's going to pick up for the disbursement as the execution is going to happen, contracting state has been over. So on that front also, we are seeing a positive momentum on implementation of the scheme.

On the NPA front, this quarter, we don't have any upgradation of any of the NPA asset as we have already shared that KSK we have filed final resolution plan in January 2025 in NCLT; Shiga and TRN is in advanced stage. So wherever we are doing outside NCLT, we are expecting that Shiga and TRN, we will be able to conclude in this financial year. And for KSK since now the plan has been submitted to NCLT, once we receive approval, then we will be able to implement it.

Avinash Singh: so I mean you expect AUM growth of about 12%, 13% for this year and next?
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Parminder Chopra: Yes. For the current financial year, we are expecting that we will be able to maintain the similar level as was done in the previous year.

Moderator: The next question is from the line of Raghu from Tra vest Capital.

Raghu : I have 2 questions. One regarding the foreign currency borrowings what we have. In the presentation, it was written 95% of the book is hedged, so something around INR4,000 crores will be unhedged. So what will be the rough provision we're going to make on the INR4,000 crores in Q4, if you can give us an idea based on the current rupee value?

Parminder Chopra: See the current rupee value, as on 31st of December, dollar closed at INR85.62, and now it is at around INR86.5. So maybe if you take INR 1, so unhedged portion, if it is at -- with INR1, out of \$9 billion, I say \$900 million is unhedged, so you can work out maybe around INR90 crores. It will be around INR90 crores for each INR1 for depreciation in rupee.

Raghu: Okay. No, because it was 5%, right? So it will be INR450 million, right? Because 95% effective is what...

Parminder Chopra: If at any -- what I have worked out is 10%. So it will be INR45 crores, as you rightly said.

Raghu: Okay, INR45 crores. So not that much of a material impact it's going to be, okay. And the second question is..

Parminder Chopra: It is for each depreciation in rupee.

Raghu: Sure, I get it. The confirmation is clarified. The second question is in KSK Mahanadi, the lenders are going to get 26% equity stake, right? So what is the share of PFC's equity stake? And what is the value you're going to re

alize out,

and the time line for that particular realization of the equity stake in the project?

Parminder Chopra: See, it will be too early to say anything in this regard. Lenders in total are going to get 26%, and proportionate to last year, we will also be getting. But initially,
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I don't think that it will be valued at any substantial amount. It will be at a negligible amount as far as RBI guidelines for accounting of the same. And in

future, it's very difficult to predict the valuation as on date.

Raghu: So I think we own 10% of the loan book, right, of the INR30,000 crore claims, so it's around 2.6. Can I expect that is the equity stake we're going to receive?

Is my calculation correct?

Parminder Chopra: Yes, we have around 12%.

Raghu: 12%, yes. Thank you so much for the clarification.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Ma'am, I have 2 questions. First is on the transmission book. I know it's a relatively smaller portion, but it seems like your repayments over there were a little elevated this quarter. Any color on that? And also, while we are talking about the repayment trend, would the repayments in fourth quarter be substantially lower because that could be one of the ways of you managing to achieve 13%, 14% loan growth. So I wanted a color on that.

My second question is on gross Stage 3. See the absolute amount, there's some slight increase in the GS3 between 2Q to 3Q, INR133 billion to INR135 billion. Any color on that? Any understanding you can help us on that bit.

Parminder Chopra: So the reduction -- to your first question about the transmission loan book, so there is some reduction, which is in the normal course of business, one, the repayments, which we are getting on a regular basis. So I think majorly it is on account of that only. And there is one loan, which has been prepaid also in case of transmission. So the net impact you must be seeing in the books.

And with respect to your other question about the slight increase in the Stage 3 asset, there has been one promoter for the waste -to-energy project. So that has slipped in the Stage 3, and it has a small amount of around INR130 crores, which has been categorized as stage 3 assets.

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Shreya Shivani: Okay. And this asset, which has slipped, this is from biomass waste energy project, is it?

Parminder Chopra: No, no. It's a waste -to-energy project.

Shreya Shivani: Waste to energy, okay, okay. Got it.

Parminder Chopra: There are some technological issues in the project, which is how we have seen that the slippage into the Stage 3 account.

Shreya Shivani: That helps. Ma'am, just one follow -up question. One of your peer had indicated that though it's a small amount there disbursement on RDSS loss and loss reduction plan has started. So you also mentioned that the work there has been quite complete. So have we started disbursements on the RDSS loss reduction bit? Or is that something we should expect from fourth quarter onwards?

Parminder Chopra: We have till now -- under RDSS, we have cumulatively disbursed around INR2,500 crores. And during the current quarter maybe around INR600 crores was the disbursement amount.

Moderator: The next question is from the line of Suraj Das from Sundaram Mutual Funds.

Suraj Das : My questions have been partly answered. Just a follow -up to Shreya's question, ma'am. That slippages, I mean, one project slipping into NPA. Was it 1 project or 3 projects because the number of outside NCLT cases has increased by 3 this quarter versus last quarter?

Parminder Chopra: It was 1 promoter, 3 projects.

Moderator: The next question is from the line of Shweta from Elara Capital.

Shweta: Ma'am, I have 2 questions. One is, can you provide some color

on the yields

in the backdrop of 2, 3 loans. So one, you had given one infra loan to BEML last quarter. So what could be the rate there? Second, you also extended loans just, I think, a couple of days ago to ACME Renewables. And given the

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fact that there has been quite competitive intensities on the renewable side, so what is the range of yields looking like there?

So against this backdrop, wherein we are seeing competitive intensity flaring up both on the plant renewable side, how are the yield is shaping up going

forward? That's question number one. Question number 2. So partially you answered this question, so you are maintaining full year growth targets at 14%, which is similar to FY '24 levels. But to achieve that 14% both target sequentially, next quarter, you should grow at 9%.

And does it mean then that -- and for that, your repayments also have to be substantially lower in Q4, but apparently historically, I see Q4 has been traditionally slightly heavier on repayments. So what gives you confidence or what are the levers to growth immediately in Q4 for achieving that 14% growth?

Parminder Chopra: I couldn't get your first borrower name, what you said, BEML or what it is?

Shweta: Yes, BEML on the infra side and ACME Renewables on the renewables side.

So what are the yields looking like for these kind of projects, say infra and renewables? And how then do you expect the yields to shape up going forward?

Parminder Chopra: See, BEML, we have not sanctioned any loan. It was an MoU, which we have entered into with BEML, so there was no sanctions. And with respect to the ACME Renewable, which project you're referring to because it will depend on the rating of the project that whatever is the rate of interest is being charged. For the renewable, our interest rates are starting from at around 9% and going forward.

And we are seeing -- slightly, we are seeing the mix disbursement of our loan book change -- mix is being changed. You must have seen from conventional generation, we are moving to renewable as well as the higher outstanding on the distribution sector also. But still, we are able to maintain our yield and spread as you are seeing.

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Shweta: Sorry, I'll correct myself. So you had extended loan to Juniper Green Energy couple of days ago. So what are the ways looking at now on the renewable side? So I think you answered that. That's around 9%, right?

Parminder Chopra: It starts at around 9%. I don't know about the rating of the project. So depending on the risk profile, it is slightly increasing. So that you can -- I don't know about exact rating of the Juniper Green, which you are referring to.

Shweta: No problem, ma'am. Ma'am, on the first question on the loan growth?

Parminder Chopra: Yes, growth front, whatever your question was. See, in Q3, we have grown on a 10% basis year-on-year, which is, I think, better than last year. And if you see that generally, our disbursements are more happening in the Q4, and you must have seen from the past trend that our growth is generally higher in the Q4. So if we compare on a year-on-year basis that we have disbursed 25% more in the -- as compared to the previous corresponding period.

If you see the last year trend, 37% of our total disbursement is happening in the Q4. So on that basis, we are expecting that we will be able to maintain our guidance, which we have given for the loan growth. The second thing you have talked about the repayments during Q4. What I can see is the expected repayment, which is there in the normal course of business is -- on quarter-on-quarter basis is lesser if we see this particular Q4 for FY '25.

So on an average around INR24,000 crores to INR25,000 crores of repayment we receive on a quarterly basis. However, against that,

this quarter, it is

somewhere around INR18,000 crores to INR19,000 crores. So it is there. So accordingly, you can work out whatever you were already working out repayment and disbursement taken together, what I can say that we will be able to maintain the target given by us.

Shweta: Sure, ma'am, just a follow-up question there. So which product segment particularly in Q4 is going to aid this kind of 9% and 14% growth?

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Parminder Chopra: See, we have done around INR252,000 crores sanctions during FY '24-'25, so this is nearly 62% for generation projects. So we are expecting that both on the generation as well as on the distribution front, we will be working during

FY -- the last quarter.

Shweta: Okay, okay, so generation and distribution. Thank you so much.

Moderator: The next question is from the line of Sarvesh Gupta from Maximal Capital.

Sarvesh Gupta: Just a clarification. So on the unhedged forex exposure, you are saying that given the current exposure, we will leave around INR45 crores for every INR1 of unhedged depreciation, so this has been around INR1 in this quarter. So as things stand now, it would be a INR45 crore hit to the P&L. Is that the right understanding?

Parminder Chopra: See, the question was specifically with respect to the unhedged portfolio. So unhedged portfolio for each INR1, as we have said, that considering our loan book of \$9 billion, so it is going to have an impact of INR45 crores. But there are certain other things that has an impact as the net impact on the profitability is change in the exchange rate less the mark -to-market valuation. And you know that mark -to-market valuation when we go for the hedged portfolio depends on lot many things, because of the forward premiums, because of the exchange rate, current exchange rate and the protection, so lot many other things are factored into mark -to-market. And that is how we will be seeing that how going forward it's going to impact during the current quarter.

Sarvesh Gupta : And on this \$9 billion book, how much is unhedged as of now?

Parminder Chopra: On the unhedged book it's going to be the similar way because there will not be any mark -to-market losses. So everything is going to the profit and loss account, whatever is the exchange rate, into the unhedged exposure.

Sarvesh Gupta : Understood. And for FY '26, I mean, given our current disbursement mix, do we expect to maintain the NIMs as it is? Or we see some decrease given that

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renewables are gathering momentum in terms of the total percentage mix or in favor of renewable?

Parminder Chopra: See, definitely, when we talk of the renewable, then we are earning slightly, our spreads are slightly lower. But as the profit increases and loan growth continues at the same pace, we are expecting that NIM will be revolving in the similar range. However, in quarters, there is an accelerated loan growth. So it all depends, so there could be some impact on the NIM.

Sarvesh Gupta : And ma'am, REC in its con call had given one number which was basically these resolutions, which were basically in advanced phases. They were expecting around INR2,200 crores of recoveries net of the provisions, excess recoveries. So what would be the figure in your case? What is basis the advanced cases, how much net recovery or net addition to the P&L we'll get because of provisions being higher than the recovery. What is that net figure from the advanced projects which are under resolution?

Parminder Chopra: See, the main is under the KSK where we have provided for around 55%. And as per the current resolution plan, which has been submitted to NCLT, we are expecting to recover more than 100%. So there, we are expecting that there may be reversals. And similarly, on the Shiga, in cas

e of Shiga also, we are

expecting that whatever resolution plan is under discussion, we may have 100% recovery.

Sarvesh Gupta : Do you have the absolute amount, ma'am?

Parminder Chopra: See, right now, I don't think that we should discuss any absolute amount because let all those things let come to a final conclusion, only then we will be able to share the absolute amount.

Moderator: The next question is from the line of Romil Oza, an Individual Investor .

Romil Oza: Ma'am, based on the exchange rate movement from last quarter, we haven't had an impact on the profit and loss statement. Whereas this quarter, there's -- with the RBI's, Reserve Bank of India's, interventions, the rupee has

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appreciated and there's only a INR1 difference. So you have to start explaining better not only in terms of foreign exchange, not only in terms of your non -

performing assets, recoveries because what you guys are doing is, first of all, with NCLT, you should be -- we've already discussed this offline before. You have to talk to the government and say, "Hey, this is for the energy security of the country, right? This is a basic need." And you guys are getting projects stuck in NCLT. We don't know which projects to greenlight, which are brownfield, et cetera, et cetera. So why is there no coordinated effort in telling the power ministry and the finance ministry and the law ministry that this is needed for the energy security of the nation.

And why are you guys not able to tell us what the recovery amounts are when the newspapers are telling us that this is the recovery amount. You guys have made the loan, so it's your loan, you guys are negotiating. We are the investors, it's our money, which we are investing. Tell us what the recovery amounts are, tell us what you are provisioned, tell us what is under liquidation and how much -- you are putting 100% liquidation, 100% provisioning out there.

You are not going to recover anything on those assets. So it's becoming -- you have to report stuff in a better manner because even you are reporting stand-alone earnings, then consolidated earnings, you are giving stand-alone book value, the consolidated book value matters. Why is it taking you guys so long to disclose stuff? It is -- forget me, it's the President of India who has invested 52% in you.

So you owe it to the public, you owe it to the population of India to report properly. Why are you not reporting stuff properly?

Parminder Chopra: See, I don't know that from where have you gathered that we are not disclosing the numbers.

Romil Oza: You're not. You're not disclosing the numbers. We are asking you what is the recovery amount on KSK Mahanadi, you don't have an answer. Rural

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Electrification Corporation is a subsidiary of yours. They are talking about Hiranmaye and Sinnar, where you are a lender too. They are reporting those numbers, you are not reporting those numbers. Like why is there no coordination?

I believe you're on the Board of -- at least you used to be on the Board of Rural Electrification Corporation, it's a subsidiary of yours. Why is there no coordination, and I know there is coordination between you guys. So why is it that there is no coordination in reporting the numbers? Why are you not giving me the Hiranmaye numbers? Why you're not giving me the Sinnar energy numbers?

Sinnar is being bought out by NTPC, which is Maharatna that you guys are.

And you guys have no coordination when -- I know you guys are working extremely hard towards the energy needs of the country. And you guys can't tell us that, okay, we will get it done in 1 month, 2 months, 3 months. This is a Maharatna company.

Parminder Chopra: See, I think you have some misunderstanding about the thing. You might not have heard it prop

erly. What we said that these are the resolutions we are targeting in this quarter. So we have never said that Sinnar is not there or any other project is not there. When we were talking, you have to listen it properly that this is only that these resolutions we are looking at in the current quarter. And we have clearly told you that we have 55% provisioning in KSK. We have provisioning. We have been sharing the number of provisioning for other assets on one-to-one basis also and in the falls also. I don't know why you are not aware of all these things, whereas PFC has always been telling all these things in the open forum. So this is what we said that exact number, what is there, we have said that we are expected to receive more than 100%.

So I don't know from where this disconnect is coming. So this, if you want, I think we can talk separately and you need to correct your numbers first.

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Moderator: Mr. Romil, please fall back in the question queue for further questions. The next question is from the line of Nishant Shah from Millennium.

Nishant Shah: Ma'am, just one question. I wanted a clarification. You've discussed adequately about the unhedged portion of the foreign currency borrowings. Is there any at all kind of like expense that we can expect or forex currency translation loss that we can expect from the hedged book as we'll, like do our hedges only protect us up to a certain level of currency depreciation? Or is it covered no matter where the currency goes? That's my only question.

Parminder Chopra: Yes, it's a mix. We have taken some cost-effective instruments also for the hedging, where we have an upper cap of the protection. And in that case, it all depends on the closing rate of exchange about the protection.

Nishant Shah: Okay. As a follow-up, if, say, theoretically the rupee goes to INR90, what kind of like total losses that we can expect on the hedged and the unhedged combined? It's a very theoretical -- yes, yes.

Parminder Chopra: It's very theoretical, and we have to see that in each individual case up to what level is the protection involved. But on a broad figure, if rupee is ranging somewhere around INR88, so we may have around additional maybe INR400 crores to INR500 crores of impact, which is going to be there on the P&L.

Nishant Shah: Okay. INR400 crores to INR500 crores of impact if the rupee goes up to INR88-ish.

Parminder Chopra: Yes, probably. It's a very rough figure.

Nishant Shah: Understood. This is useful. Just one small follow-up again. Would REC be similar like in their hedging strategies? Since it's your subsidiary, would you have any insight?

Parminder Chopra: I'm sorry, I don't have any figures for the REC in this regard.

Moderator: The next question is from the line of Ashish Sharma from Oaklane Capital.

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Ashish Sharma: Just wanted some color. We haven't shared the sanctions number in the presentation. If you can give some color on the sanctions part how they are trending? And then also, we used to give the exposure on the electricity board also, I mean even that is not in the presentation. Also one more question was on the rating upgrades for -- rating upgrades expected, would that lead to a provision release in Q4?

Parminder Chopra: See, on the sanction number for the year, we have sanctioned INR252,662 crores, of which INR93,000 crores was during the current quarter. So if we bifurcate INR252,000 crores, around 62% is towards generation, including renewable and conventional, around 16% is towards distribution, around 7% in the transmission and around 9% in the infrastructure. On your another question on the rating upgrade about the state utilities DISCOMs, which I understand that this is what you are asking.

Ashish Sharma: Yes, ma'am.

Par

minder Chopra: So that, I think we will be coming out -- completing the rating exercise for FY '24 soon, and maybe in another 10, 15 days, we will come out with that exercise. And what was your third question?

Ashish Sharma: The question was, say, if there is a rating upgrade, do we see any substantial write-back of provisions on these -- is there a write-back possibility if the rating is upgraded?

Parminder Chopra: See, the integrated rating when it comes only then we will be able to know that what is their rating and what is the likely impact because it varies with each individual utility and then the exposure which is there with that utility.

Ashish Sharma: I was just also referring that we used to provide the top 10 exposures in the presentation. It's not there in this Q3 presentation. And also, we have mentioned that if you can give some granularity on the private sector exposure, which is now close to INR100,000 crore, it would be great if you can provide it quarterly some granularity on the private sector exposure.

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Parminder Chopra: Okay. That we will keep in mind for the next quarter.

Moderator: The next question is from the line of Punit from Macquarie.

Punit: Just two questions from my side. One is on the NPA, the marginal increase you highlighted in the waste to energy account. What is the total exposure in this account? And are we seeing any like you mentioned, a technological issue is there. And anything we are seeing with respect to other players or any qualitative color on that? That's one.

And second, on the repayments bit, have we seen any balance transfers or anything to banks or any other such peers or anything? Because the repayment rates have been pretty high, not just this quarter, I'm talking like over the 9 months as well. So any comment on that?

Parminder Chopra: See, on the NPA account, the total exposure is only INR130 crores. And it's, I think, unique to that project. We are not seeing any other project, which is going to be impacted by this type of issues. So it is specific to this project only. And taken together, all the 3 projects, INR130 crores is the total exposure.

The other issue is about the prepayment thing. I think this is in the normal course of business. It's a common risk, which is in the financing sector. And this financial year, we have in total of around INR13,000 crores of prepayments during the current 9 months.

Punit: Okay. And just on the waste to energy, what is your exposure to a total book, if you could let us know?

Parminder Chopra: INR130 crore out of INR500,000 crores.

Punit: Okay. So that is this INR130 crores is also for the entire waste to energy book or there are more accounts like...

Parminder Chopra: I mean, there are more accounts. I don't have that breakup right now.

Punit: Okay. Got it. Got it.

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Moderator: Yes, Punit, does that answer your question?

Punit: Yes, yes. That does.

Moderator: The next question is from the line of Alok Srivastava from UBS.

Alok Srivastava: So ma'am, firstly, there has been some news article that there has been delay in PSA signing between SECI and certain DISCOMs, which is leading to overall renewable disbursements being slower, since are we ma'am seeing something of that kind on the ground? And secondly, in context to that, what will be our undisbursed portion of sanctioned loan book in renewable, if you can give some idea around that?

Parminder Chopra: See, what you are saying, we also have read in the newspaper, but we are not seeing right now in PFC any slowdown in the renewable disbursement. During the financial year, we have sanctioned around INR90,000 crores towards the renewable generation, I think out of which around 50% is during the current quarter itself.

And on the d

isbursement side, also, we have disbursed INR6,000 crores during the current quarter. And in the financial year, INR16,000 crores, we have disbursed during the financial year. So if we compare it with the previous year, it's more or less in line with the previous years. So we are not seeing, as of now, any stress on that.

Alok Srivastava: That's fair, ma'am. And just another one. In terms of REPO rate change, is there any portion of our liability or asset, which gets repriced in the near term?

Parminder Chopra: Around INR25,000 crores of our borrowing is linked to the REPO rate. And I think timing may be either it's a reset on a monthly or on a quarterly basis.

Alok Srivastava: Okay. And it's only on the liability side, not on the asset side?

Parminder Chopra: Yes, it's only on the liability side.

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Moderator: Ladies and gentlemen, that was the last question for today's conference call.

I now hand the conference over to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: Thank you, Steve. Thank you, everyone, for being part of the call. And special thanks to the management of the company for giving us opportunity to host

the call. Thank you, ma'am.

Parminder Chopra: Thank you. Thank you very much.

Moderator: On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

National Stock Exchange of India Ltd,
Listing Department. Exchange Plaza,
Bandra Kurla Complex. Bandra (E)
Mumbai -400 051.

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BSE Limited, (A Govt. of India Undertaking)

(ISO 45001:2018 Certified)

No: I : 05: 138: I: CS

Dated: 28.05.2025

Department of Corporate Services, Floor-25,

P.1 Towers, Dalal Street,

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Sl B: Transcript of analyst/investor meet held on May 21, 2025

Madam/Sir.

In continuation of our earlier letter dated May 14, 2025, May 19, 2025 and May 21, 2025 and pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith transcript of analyst/investor meet held on May 21, 2025. This is submitted for your information, record and further dissemination.

Transcript of the above-mentioned conference call has been made available at

<https://pfcindia.com/ensite/Home/VS/109> and the same is attached herewith.

Yours faithfully,

For Power Finance Corporation Ltd. 1 qcl

(Manish Kumar Agarwal)

Company Secretary & Compliance Officer

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Power Finance Corporation

May 21, 2025

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Q4/ FY2025 Results

Investor Meet

May 21, 2025

MANAGEMENT OF POWER FINANCE CORPORATION: -

-Ms. Parminder Chopra - Chairperson and Managing Director

-Mr. Rajiv Ranjan Jha - Director (Projects)

-Mr. Manoj Sharma - Director (Commercial)

-Mr. Sandeep Kumar - Director (Finance)

-Mr. Shashank Misra - Government Nominee Director

-Mr. Prasanna Tantri - Independent Director

-Ms. Usha Sajeev Nair - Independent Director

-Mr. Naresh Dhanrajbhai Kella - Independent Director

-Mr. Sudhir Mehta - Independent Director

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Comparer:

Good evening, ladies and gentlemen. May I request all of you to kindly ensure your mobile phones are switched to the silent or buzzer mode during the course of the event. Thank you.

On behalf of Power Finance Corporation, we feel honored and privileged to welcome you all to this

investor meet. Today, the company announced its financial results for the year 2024 -25. PFC is always aiming to connect with its investors and build a strong and positive relationship with the investment community. With this objective, today's event has been organized to discuss PFC's financial performance and future outlook with the current and prospective investors. Now, I would like to introduce PFC's management.

On the desk, to my immediate left, is Mr. Prasanna Tantri, Independent Director. M s. Usha Sajeev Nair, Independent Director. Mr. Manoj Sharma, Director Commercial. Mr. Shashank Misra, Government Nominee Director. Ms. Parminder Chopra, Chairperson and Managing Director. Mr. Rajiv Ranjan Jha, Director , Projects. Mr. Sandeep Kumar, Director Finance. Mr. Naresh Dhanrajbhai Kella , Independent Director. And to my extreme left is Mr. Sudhir Mehta, Independent Director. The program for today's annual investor meet will start with PFC's CMD speech, which will be followed by a Q&A session.

Now, I would like to invite Ms. Parminder Chopra, Chairperson and Managing Director to address the gathering.

Parminder Chopra :

Good evening , everyone , and a warm welcome. It's always a pleasure to connect with all of you again. We deeply value this annual interaction. It gives us an opportunity to engage directly with all our investors. Today , we have released our results for quarter 4 and financial year 2025. I am happy to share that PFC has once again delivered a remarkable performance. Starting with PFC's consolidated results, we continue to be the largest NBFC group in India with a consolidated balance sheet size of over Rs. 1.70 lakh crore. For FY25, the consolidated PAT stood at Rs. 30,514 crores with a 15% increase over previous financial year. The group loan asset book has crossed Rs. 11 lakh crore and registered a growth of 12%. On the asset quality front, we continue to see a decreasing trend in our NPA levels. The consolidated net NPA ratio for FY25 is at 0.38% compared to 0.85% in FY24.

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Talking about the standalone performance, I am happy to share that PFC has yet again delivered another record -breaking performance. PFC registered its all -time high annual profit of Rs. 17,352 crore, an impressive increase of 21% from FY2024. The profit increase is driven by a healthy net interest income growth of 24%, provision reversals and recoveries on account of resolution. With this, PFC continues to maintain its position as the highest profit -making NBFC in India.

At PFC, focus has always been on maximizing shareholders' return. In line with this, PFC's board today has declared a final dividend of Rs. 2.05 per share. Together with the cumulative interim dividend of Rs.13.75 per share paid earlier, the total dividend for financial year 25 is Rs. 15.80 per share. The payout of this final dividend declared today will happen after shareholders' approval in AGM. Our steadily growing profit enables us to deliver enhanced returns year after year. Reinforcing our commitment to share our success and to create value for our investors.

Now let's move to the key financial indicators. The ratios for the financial year 25 continue to be within a stable range. The yield for FY25 stands at 10.02%, with cost of funds at 7.44%, resulting in spread which continues to be within our guided range at 2.58%. We maintain our spread guidance range for FY26 at around 2.5%. The net interest margin for FY25 stands at 3.64%.

On the capital front, with our

steadily rising profits, PFC's net worth reached Rs. 90,937 crore as on 31 March 2025, reflecting a notable increase of 15% year -on-year. The capital adequacy ratio for FY25 is at 22.08%, which is well above the minimum regulatory requirements.

Our consistently strong financial position ensures resilience and allows us to deliver strong performance in the constantly evolving market environment.

Now I would like to share updates on our asset quality. As we have been guiding in our previous interactions, I am happy to share that we have successfully resolved the KSK Mahanadi project of Rs.3,300 crore in Q4 -25. KSK is a 3,600 megawatt coal-based project and has been resolved through NCLT. As against the admitted claim of Rs 4,448 crore for KSK, PFC received 100% principal recovery and we have also received Rs. 1,192 crore as against interest income. This has resulted in recovery of more than the admitted claim. Further, 55% provisioning maintained on this asset, which is around Rs. 1,815 crore, has been reversed in Q4 -2025.

With this, our net NPA ratio has reduced to less than half a percent , the lowest in the last 7 years

and stands at 0.39% as compared to 0.85% in previous financial year.
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Gross NPA is at 1.94%, reflecting continued improvement in the asset quality.

Post the resolution, the Stage 3 book stands at Rs. 10,517 crore with 21 projects. Out of these projects, 10 projects worth Rs. 8,209 crore are being resolved through NCLT, of which 6 projects worth Rs. 2,605 crore are under liquidation. While the remaining 11 projects worth Rs. 2,308 crore are being resolved outside NCLT. As previously shared, 2 projects of Rs.1,661 crore are under advanced stage of resolution. Both these projects are outside NCLT.

First is the TRN Energy project with an outstanding of Rs.1,139 crore. It's a 600 megawatts thermal plant. We have maintained around 50% provisioning against this.

Second is the Shikha Energy project with an outstanding loan amount of Rs. 522 crore. It's a 97 megawatts commissioned hydro energy plant and we are maintaining provisioning of around 31%. For both TRN Energy and Shikha Energy, the restructuring plan has been finalized and the documentation and implementation process are currently underway. On both projects, we have maintained sufficient provisioning.

Also I would like to provide an update on some other major stress projects. One of which is Sinnar thermal power project with an outstanding amount of Rs. 3,000 crore. It's a 1,350 megawatt coal based plant which is being resolved under NCLT. The resolution offers have been received for the project and the way forward is under discussion. Currently we have maintained 80% provision on the project.

The other is India Power Haldia with an outstanding amount of Rs.959 crore. It's a 450 megawatt coal based plant and is being resolved under NCLT. The application for resolution plan has been filed before NCLT on 23rd December 2024. Currently we are maintaining 50% provision on the project.

On the total stage 3 asset portfolio, we continue to maintain a healthy provisioning of 80%. Regarding provisioning, I would like to highlight the release of the 13th Annual Integrated Rating of Power Distribution Utilities which was done in February 2025. PFC has been serving as a nodal agency for this exercise for several years now. The report provides valuable insight into the operational performance of power distribution companies across the country and is seen as an effective way of bringing in operational reforms.

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For the purpose of provisioning, PFC is following the expected credit loss model, wherein operational parameters are also considered along with financial parameters. Accordingly the operational efficiencies achieved by DISCOM as reflected in these r

atings are also factored into the ECL provisioning. In this report, the rating of 15 DISCOMs were upgraded. While 13 DISCOMs experienced a downgrade.

Accordingly the provision reversals from KSK Mahanadi have been utilized to create additional provision of around 900 crores to account for these rating changes.

While talking about provisioning, I would like to mention about Gensol Engineering also. There has been a lot of talk about this project. PFC had disbursed 352 crore to Gensol for leasing of 3000 electric vehicles. Till date 2741 vehicles have been delivered and hypothecated to PFC. As informed by PFC in April, the outstanding loan amount of Gensol was Rs.307 crores. Further, after that we have realized Rs. 44 crores, including by way of security encashment of fixed deposit and TRA account balance.

In Q4, we have made 100% provisioning on Gensol Engineering, an NPA with current outstanding of Rs. 263 crores. I would like to mention that this is a promoter-specific event and we do not see it representing sectoral risk. This project does not reflect upon PFC's appraisal methodology nor the risk mitigation strategies adopted by PFC. I would like to reiterate that NPA are a normal business risk for any financial institution. The robust provisioning on our loan book asset reflects our prudent

and transparent approach to show true and fair financials.

Now, coming on to the loan asset growth. In the last year's investor meet, we had outlined the 3R strategy adopted by PFC for loan growth, which is growth in a realistic, resilient, and robust manner. Guided by these 3 pillars, I am happy to share that we have delivered a loan asset growth of 12.81% in FY25, aligning with the guidance we have been providing throughout the year.

Also on renewable portfolio, our portfolio has reached to Rs. 81,031 crore, an increase of 35% from last financial year, and we have retained our positioning of the largest renewable financing agency in the country. The main growth drivers were distribution and renewable, which contributed 55% and 17% of the total disbursements.

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Now, coming on to the loan growth strategy for FY26. As you know that India is steadily moving towards its 2030 energy transition targets. FY25 saw a record renewable capacity addition of around 30 gigawatt with solar power comprising 80% of these total additions.

Further, the PM Surya Ghar Muft Bijli Yojana, launched in February 2024, is also contributing to India's green energy goals. As of March 2025, the scheme has facilitated installation of over 3 gigawatt of rooftop solar capacity covering over 10 lakh homes. Additionally, 27 gigawatt is targeted by March 27 under the scheme. Currently, India has over 17 gigawatts of rooftop solar installed capacity. This brings the total installed capacity in India for renewable to 220 gigawatt as of March 2025, representing around 45% of the country's total installed capacity.

As India's electricity demand continues to rise, renewable energy is expected to be significant share of our total installed capacity. Considering the intermittent nature of the renewable, ensuring grid stability and reliable power supply will be critical to our energy security. The government is focusing on energy security in threefold manner. First is by making renewable energy firm and dispatchable by integrating it with energy storage solution. Secondly, by strategically complementing renewable power with capacity addition in the thermal generation space. And thirdly by exploring expansion of the nuclear generation capacity. Aligned with this focus, the new renewable power options are increasingly emphasizing integrated projects such as solar-wind hybrids and generation projects coupled with battery energy storage or pump storage projects.

For instance, in 2025, the Central Electricity Authority has mandated

minimum 2 hour of co-located energy storage systems in future solar tenders. In FY25, more than 50% of the total auctioned capacity was for integrated renewables.

I want to emphasize that grid-scale energy storage technology, especially battery energy storage, are still in their early stages of growth and adoption, not just in India but globally. As the rate of adoption increases, rapid technological advancements are likely resulting in cost reduction and increased efficiency. For example, the battery energy storage project tariff which were around 8 to 10 rupees per unit in 2022 has now come down to 6 to 7 rupees per unit. This decreasing tariff trend will help in achieving significant scale going forward. This situation mirrors the early days of solar PV projects in India. The evolution of energy storage technologies and surrounding ecosystem will be a key for future renewable energy growth. Just as we were pioneers in supporting RE generation projects, PFC is committed to being at the forefront of funding these emerging technologies.

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Now let's move on to the second aspect of energy security, which is the thermal capacity addition. Earlier this year, government has announced its plan to add 80 gigawatts of thermal generation capacity. Given the time-intensive nature of planning and executing thermal power project, we envisage that financing opportunities in this segment will materialize over the medium term, representing a significant medium-term growth avenue for PFC.

Coming on to the third area, which is expansion in nuclear generation space. For this, government of India has launched the nuclear energy mission for Viksit Bharat, wherein development of at least 100 gigawatt of nuclear energy by 2047 is envisaged. Accordingly, this will be another lending opportunity for PFC going ahead.

Turning to the power distribution front, funding in this sector over the past few years have been largely led by the government schemes such as LIS and LPS , which are now substantially executed. The RDSS scheme is ongoing , and we currently have sanctions of around 39,000 crore in hand. Over the last one and a half years, we have also focused on funding through bill payment facilities or RBPF to the state DISCOMs. We expect this to continue this year as well. For distribution sector growth, the progress in the RDSS scheme and any new government measures to support the sector will be crucial to watch out.

Given the current dynamics of power sector, we believe that the growth will be driven by multiple fronts rather than a single segment. The power sector remains our primary focus. On the infrastructure front, we will continue with our strategy of growth in a gradual manner. Accordingly, considering the current growth momentum across various segments and guided by our motto of 3Rs, realistic, resilient and robust loan growth, we expect a loan growth of 10 -11%.

In FY25, we delivered what we promised through the year. Currently, our loan book is around 5.43 lakh crore. For an incremental growth on such a large book, it's important that any new loan assets are added in a way to ensure sustained growth over the long term, delivers consistent bottom line performance , and maintains robust asset quality. These core principles will continue to define our loan growth strategy moving forward.

Now moving on to the borrowing front, last year we successfully raised funds to the tune of 1.11 lakh crore. Consistent with our strategy of maintaining a well -diversified funding portfolio, approximately 76% of our fundraising came from domestic sources, while 24% was through foreign Power Finance Corporation

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currency borrowing. Currently, we have foreign currency exposures to G3 currencies with around 70% exposure being in US Dollars . Speaking of foreign

currency borrowing, I would like to highlight

our proactive approach to managing forex risks through active treasury . Right now, 95% of our portfolio is hedged for exchange risk. Nearly 100% exchange rate risk is hedged for US Dollar denominated portfolio.

To conclude, I would like to emphasize that we are confident in our ability to navigate the evolving energy landscape, capitalize on emerging opportunities and deliver sustainable value to our stakeholders.

Thank you

Comarar:

Thank you Maam, Ladies and Gentlemen , we will have now Q & A, as you raise your hand, we'll have a volunteer come up to you with a mic. Kindly request you to introduce yourself and the company that you represent. And also request our participants to limit your questions to just one or two maximum to ensure everyone has an opportunity to engage. Thank you.

Yes, we'll start with you.

Abhijit Tibrewal:

Thank you for taking my question. I'm Abhijit Tibrewal from Motilal Oswal . First of all, thank you for hosting this session today, ma'am. The question that I had was trying to understand when we look at growth versus where we were, obviously , the loan book size is increasing. But somewhere we are also seeing that in terms of guidance, we as well as REC earlier, we have moderated our loan growth guidance. So what has really changed in the last maybe six, nine months, which is prompting this moderation in guidance? The government has not really changed its plans on how much installed capacity we want to add on thermal, renewable. So what is prompting that? And Maam a related question here is also the fact that, I mean, we keep hearing about land acquisition issues, right of way. So, I mean, these are delaying the commissioning of projects, right? And PPA signings are weak. I mean, are these some of the things which are leading to our guidance being moderated or is there something else we should think about? Thank you.

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Parminder Chopra :

As I told you in my remarks that the growth in the current financial year has come primarily from the distribution sector, which is 55% disbursements and followed by renewable sector, which is 17%. When we talk of the distribution sector, two of the major schemes - LIS was already over, but disbursements were being made under LP S scheme, which we are seeing is almost over and a very, very few disbursements are only which we are expecting in the current FY 26. So that is the major change going forward. And definitely, once the disbursements are low, the growth is also already going to be impacted.

If you have seen that last year, we have been seeing that we are going to grow at 12 to 13%. We have not substantially decreased our guidance for the growth. It is only 10 to 11% we have said and growing on the expanded denominator, I think you can very well appreciate that how it is going to go forward. So that's the only reason. Your next concern was about the land issue, right of way, PPA not being signing. These are I think yes, I agree these are the sectoral issues, but I don't think that these factors are going to hamper our growth in a major way. Thank you.

Abhijit Tibrewal:

Yes, ma'am.

Shreya Shivani:

Yeah. Hi. My name is Shreya and I am from CLSA.

My question is, if I see disbursement versus sanction a decade ago versus what has been the trend in the last three years, obviously the sanction, the disbursement have been much lower versus what you have sanctioned a three year period versus if I compare with FY, 14, 15, 16, etc.. So, I wanted to understand between sanction and disbursements, apart from the reasons that you just mentioned. What are some of the extra processes or extra approvals that we are waiting for, which we were not doing a decade ago? So just trying to understand, has operationally something changed in our processes in the way we are

dealing with how fast the sanction moves to, disbursement.

Parminder Chopra :

The earlier you were talking about that, we have a huge number of sanctions, but we need to appreciate that from where those sanctions were coming at that point of time, large number of thermal projects were being sanctioned, which were of high value. Each of the thermal project has a huge capital outlay. And the capacities also were, large as against those numbers. If we see in the present context, the most of the sanctions are coming from renewable, refinancing, where the Power Finance Corporation

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gestation period is very short. So and the quantum is low, we compare a renewable project versus a thermal project, renewable project - the capacities are low, and accordingly the capital cost is also project cost is also low. Number of sanctions may be more. But the quantum for each project and hence the overall sanction cycle.

Shreya Shivani:

Got it. So that's the main reason why the flow through. And just to follow up on that, all the issues that we spoke about PPAs low, slowing down, etc.. Will the solution really come more from, you know, the, sector entity, the government bodies or like, there has to be a solution to this, right? It will not be from one of the companies. It will more be from, the larger governing bodies. So is that the way out of this? I'm just trying to understand. How would this get resolved? Thank you.

Parminder Chopra :

I think that is being addressed at the, proper government level. Be the right of the way issue or PPA is not coming in, or the, evacuation facility for the renewable in particular, few segments leading to non signing of PPA that is that has been in the highest level, at what I would say at the Ministry of Power level, it is being expressed.

Shweta :

Thank you for the opportunity, Shweta here from Elara. Ma'am, you will just, just taking the sanctions question, point further. So in Q3, you had mentioned the sanctions number was around two lakhs, 50,000 crores. Right. So what is the number as of the end of FY 25? And if I, if I look at last year's number, it was around two lakh 80,000 crores. So going forward, what are the key

contributors to this or what are the key components to this sanctions number? Point number one. Point number two, in your opening remarks, you mentioned on the distribution side that the LP S is now behind almost behind, RDSS is something, which probably will drive, the disbursement ahead. But for the entire FY 25, we have seen RBPF, which was driving the distribution loan disbursement largely. You also mentioned that will sustain. So how is the progress on RDSS disbursements government grant component versus the PFC, REC component will sort of, act as a lever to growth ahead. And last but not the least, on the private sector stage three, which is around 1.94 has come down vis-a-vis last year from 2.7. So is this because of the, resolutions which are already happened? So, by that I imply, are these legacy assets or any new fresh additions happening? You know, which might have happened in the recent periods. Thank you.

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Parminder Chopra :

See, on the Discom side, there is a RDSS scheme. I told you that the counterpart funding, we have, undisbursed sanction to the tune of around 38,000 -39,000. So everybody knows that RDSS scheme was launched and there were some delay in placing the tenders. So now the tenders have been placed. So the work which is almost now is going to be in full swing. First the government grant will be released and subsequently the counterpart funding will come into place. So this is the way and we are expecting that we are going to have the disbursements competitive higher as compared to the previous year in the current financial year.

Comparer :

Yes, the gentleman over there

Shreepal :

Hi Ma'am, Shreepal, from Equi rus. So, my question was on disbursement so since majority of our disbursement is going to be towards renewable and towards DISCOMs in 26, do you see, the margins compressing, in FY 26 from here on or versus FY 25. And the second question was on repayments. So, this year repayments or prepayments have been one of the reasons behind little softer growth. So do you see that continuing in FY 26 as well. Thank you.

Parminder Chopra :

See on the spread front, I have already given in guidance that we are going to maintain it within our earlier guided range of around 2.5%. On your prepayment thing, Prepayment. What I understand is, is there in the normal course of business for each of the financial institution. Yes, I agree, in some years there are huge prepayments and in some years the prepayment may not be to that tune, but we have been given the guidance every time during the last financial year that our growth expectation is around 12 to 13%, and this is what we have delivered on. So I think considering all the facts, we are expecting that this is going to be the 10 to 11% going to be the growth this financial year.

Chintan Shah :

Yes. Thank you for the opportunity. And this is Chintan Shah, from I CICI securities. So, ma'am, over the last three years, we have grown at a CAGR of around 13%. It's, wherein the private sector has roughly grown at around 28 to 30% CAGR. Whereas the government sector growth is around 10%. And the asset quality has also been phenomenal over the last three years, aided by resolutions and
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no new slippages. But, how do we see the asset quality trending going ahead, given that we have, rose quite significantly, also this private sector growth the book, which has more than doubled in the last three years. So what would be the behavioral tenure of these loans? Yeah. Thank you.

Parminder Chopra :

See, on the private sector, everybody knows that, as I told you in the initial remarks that the growth is coming either from the distribution sector or from the renewable and renewable has primarily been in the private sector. So all those disbursements have taken place in the renewable private sector. And that is how you are seeing a shift in, our bifurcation between the government sector vis-a-vis the private sector. Going forward also, we are looking for funding for the clean energy in a big way and in line with the government, vision, more and more participation from the private

sector. Our financing is also going to go in that direction. So that is, if you talk of the government sector earlier, there were huge generation projects which were expected to come up were coming in the government sector, which PFC was part of the consortium funding. So now the major disbursements in the government sector is towards the DISCOM and the DISCOM - the major funding requirement is coming for the funding of the government schemes like LIS, LPS and in the recent past we have funded the RBPF. So this is how you are looking at the shift in the PFC book for more towards the private sector as compared to the government.

Prashant :

Prashant here from Millennium. Couple of just like follow up questions to what already asked here, talking about 10 to 11% growth with a 2.5% spread. Does that take into account that we are in, a repo rate cut cycle and a lot of the PSU banks are going to have like full pass through of repo linked loans. So do you expect some bit of pressure either on the margins or on the prepayments, which was discussed, from PSU banks, which this time, unlike in the past cycle, are much more capitalized, much cleaner balance sheets. So therefore, is there a pressure, either on your margins or on your growth rate from this? So that's question one. Question two, you talked about Gensol, being a promoter issue

. Would you want to flag any other potential, promoter issues or any other kinds of issues, any slippages that we can expect, we've gotten as an investor community to use to you having negative slippages, should we know of any, slippages, at least on a gross basis, coming through? And if so, you want to just, like, quantify some of them. And lastly, more of a macro question, like of late, you've had like the last year also being a government pivot away from Capex more towards consumption, whether it's a reallocation of the state budgets or the government budgets. And in the context of more than half of our disbursements being, to state governments for, distribution, do you
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worry that there is, lack of discipline now in the state governments to maintain their balance sheets and therefore, like, do the losses of this state electricity both start to go back up? Those three questions, if you could, give your thoughts around.

Parminder Chopra :

For any financial institution money act as a raw material. So when we borrow funds, at whatever rate we borrow funds, that is going to be a major cost of output also. So similarly for PFC, when we borrow funds, if we are able to raise at a lower rate, definitely. That is why I say that we are going to maintain our spread guidance. It's not that that we are not going to reduce our lending rate. But yes, I agree the way you said that for any bank, repo rate reduction has a larger impact in reducing the cost of borrowing as compared to us, where we have most of the commercial borrowings that too from the bond market, which is more or less fixed in nature. But still, since we have an average liability period of four, four and a half year, we expect our 25% borrowing to be repaid. And whatever borrowing we are making fresh, that is going to come back at current market rate. Okay, transition may be slow. I agree it has always happened and our borrowers know it very well. Whether it's an increasing interest rate scenario or a decreasing interest rate scenario, in both the case for PFC, the transition is slow as compared to the banks, but that doesn't mean that being an infrastructure finance company, the business can be taken away by the other financial institution. There are other limitations in the sector, which can always be. We are borrowing from the banks, so the banks can always lend at a cheaper rate as compared to PFC at any point of time, whether the higher interest rate scenario or a lower interest rate scenario. So I don't think that poses a challenge. Right. And we accept that prepayments are part and parcel of the business. So that is an expected thing. On your next issue about the slippages. I think we declare the slippages wherever it is at the earliest possible opportunity. In Q3, we have categorized the, Goodwatts as the NPA and in Q4 immediately, even though there is no default or no overdue against GENSOL, we had received all the payments which were due, but we have because of the fraud, we have already declared it as NPA. So that these things, when you talk for any of the financial institution, it can't be going to be that there is no slippages at any point of time. You have to see that out of the total book, how much percentage are the slippages? There are concerns. I can understand if there are some major issue we accept that if there is any major appraisal lapse or something like that, then it is a matter of concern for the investors. But on a 5,43,000 crore, an asset of 120 crore or a 260 crore getting an NPA, I don't think that should have a concern for the investors at this stage. And about the distribution sector, you said you need to appreciate the increasing requirement and size of the balance sheet of the distribution companies, whatever is being generated. If we are adding the generation capacity
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that is being distributed by the distribution company, they are the last leg connecting the power sector value chain with the public at large. So their size is also growing very fast. The government has taken under RD SS sufficient steps after LP S, you know, that there has been no defaults in payment of generator dues, which has improved the sentiments across the value chain for the power sector. We ourselves are witnessing that are funding for the generators. We are, they are, they are flushed with funds. They are thinking of expanding their capacities. And if RBPF is given, it's only a revolving type facility and it's a very short term mismanagement of funds. Under RD SS, we are insisting for payment of government department dues, we are insisting for payment of subsidy dues in a timely way which can help improve the viability of the sector. But however, there are still there are gaps which need to be addressed. So step by step the improvements are being taken for the distribution sector.

Prashant :

Also, not just a sorry, just a small follow up on the first reply. Should we interpret that as frictionally? You might have some bit of NIM compression. And then like a lagged improvement once your cost of funds also starts to go up. Is that how we should think about it? Because your asset side might get repriced down to prevent prepayment pressure, whereas your liability side will only get repriced down over time based on the maturity of your liabilities. Is that the way to interpret it, or, how should we think about it?

Parminder Chopra :

I don't think that you are going to see that in, in the near future we will be able to maintain our spread guidance.

Prashant :

Thank you.

Comparer:

Yes. The gentleman to my right. Yes, yes. Please go ahead. Yeah.

Puneet :

Puneet from Macquarie. Just on the spread compression bit. Assuming that, you know, you pass through once you start seeing a decline in the cost of funds. And banks have an advantage because the repo rate decline is immediate, they can offer so is that the reason we are guiding from like 14- Power Finance Corporation
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13% to 11%, because banks have an advantage in passing it through quickly and with, you know, retail SMEs growth, seeing some bit of a downtrend in the recent quarters. They will focus here or just want to understand the decline in guidance because the, Capex outlook is pretty positive. So yeah that's on the first bit. Secondly, what's the rate differential between what we charge and what the bank charges on a renewable project? If it's like in the previous cycle, I know it was over 100 bps. Well. And has it come down in this cycle, on that bit. And thirdly, on the, DISCOM front, you mentioned 55% of disbursements, you know, have been on for DISCOMS. What's the nature of this? Is it broadly mainly RBPF like, you know, REC highlighted that a lot of this was towards RBPF so that the repayments are quite volatile. And if that's the case, is the 10-11% also at risk. Yeah.

Parminder Chopra :

So this there are lot many reasons you can't attribute that thing to well one factor about the interest rate. So growth I told you that earlier we have been disbursing for LP S also. And gradually as the DISCOM is improving in their financial health, definitely they would also like to have a lesser of the working capital requirement, once they receive the money from the respective state government timely or their tariff is revised. So factoring that thing into account, we said that our growth margin growth, trajectory could be only 1% we said as compared to the previous period, it's not that we have come under a single digit or something. So I don't think that interest rate has any role to play in that. On the, difference between the bank and the lending by PFC interest rate scenario. It will always

be there. Banks have access to CASA, which we don't have. They have access to and they do invest in G sec, they do invest in other and they have another factor that they can charge retail at a higher rate. Generally, we have seen that retail lending by the banks, are at a higher rate. So they

can compensate that lending to give a very fine rate for the maybe infrastructure or for the project where revenues are streamlined. So it's a basic model difference in working between PFC and banks, whereas PFC doesn't have, we are borrowing from the bank in that case, where they are charging us at least MCLR or marginally below MCLR, that difference is there today. That was yesterday also. And I think going forward also, that difference is going to remain. But the business and the opportunities are so huge that any of the one financial institution can't take care of that. Banks have their own sectoral limits apart from the group norms and single company norms; they are lending for the different sectors to the same group, but they are capital groups. So all those factors will play and I think everyone has sufficient pie in the business to grow going forward.

Puneet :
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This could you quantify the difference, the rate differential between, say, what the public sector bank and what PFC would charge ?

Parminder Chopra :

See, there is no standard rate by the banks also to fund for the renewable sector. And for us, the rate starts at 8.75 and goes based on the rating of the borrower .

Compare r:

Yes. You can go ahead.

Bhojwani :

Bhojwani from META, First and foremost, before your presentation, there was an audio video clip which was being shown repeatedly. It's truly remarkable. In 39 years, the achievement made by your company and fully entrenched in all the aspects of the power generation, distribution and transmission sectors. And your presentation, you highlighted many things, but two important things one you said 15 discoms have been upgraded is upgradation because of the installation and usage of smart meters that was my thought and the second one was 13 discoms have been downgraded so the reasons for upgrade and downgrade and for the one part and the second part is on the battery energy storage capacity appears we are not fully equipped to enhance this capacity in line and in proportion with the renewable energy growth. So any thoughts on that?

Manoj Sharma:

About the downgrades and upgrades in the distribution sector . The rating is quite comprehensive and we have almost 75% weightage attached to the financial performance. so and that largely, consists of the subsidy support from the government, the efficiency improvements, the impact that has on their performance and also the reduction in their AT&C losses , all these combined factors, we have seen improvements largely the trend has been after the introduction of RDSS, we have seen improvement in terms of the gap and in improvement in terms of AT&C losses and that's the reason and also there are some states which have slipped or which are only maintaining that. So as a reason , we have seen some states or discoms, going for downgrades, but largely we have seen improvements happening in the distribution sector.

Parminder Chopra :
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So the downgrades and upgrades are worked out on the same parameters, because that is a standard mechanism where we say that if the performance of a particular discom has improved, then they will get higher marks. And if it is not better than the earlier year, then it is going to be downgraded. Apart from there are and I think lot of factors on which these are being accounted for.

Bhojwani :

About the battery and energy storage capacity on the renewable front, are we not seeing a limitation in the battery energy storage capacity

of renewables? That is possibly one of the reasons why the renewables growth is still not as we are capable of tapping for solar or wind.

Parminder Chopra :

As I told you in my initial remarks around as of date, around 45% of the installed capacity is the renewable capacity but the basic nature of the renewable capacity, the intermittent nature of the renewable capacity, which can impact on the stability of the grid, forced to rethink about the storage system that is how the Central Electricity Authority has mandated two hours of the storage be it through battery storage or through pumped storage. Battery storage is faster to implement as compared to the pumped storage, which may take gestation period, which has its own gestation period. Then the next factor comes the cost, so cost we have seen the costs coming down. What we are discussed that it has come down to 6-8. That is, without VGF. If we account for the VGF, it is now sub five but we expect with the technological intervention it is going to. Still there is a scope for still going to come down, but with more and more auctions coming with this storage facility, I think the supply factor is going to work in the favor of price, and then we can achieve some economies of scale like we have seen in the solar systems panels, which were originally coming at a very high cost and then gradually the costs were coming down. And similarly, we are expecting for the battery storage. It can go back.

Bhojwani :

Thank you Maam and all the best.

Comparer:

Thank you. Take one final question. Yeah. Thank you.

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Avinash:

Avinash from Emkay. Also a couple of questions. The first one, what explains this increased provisioning coverage on stage one and two, is it underlying asset, quality safe, or is it in some way preparing for any sort of a project financing provisioning? Not so that's the one. And second, in this 2.58% spread for last financial year. Is that case KSK Mahanadi interest recovery of 1200 crores being considered. If that is the case, then underlying, you know, your spread for even you gone by is lower than 2.5 in that backdrop. I mean, next year, 2.5 guidance is that at risk? Thank you.

Parminder Chopra :

We have increased the provisioning in the stage two from 0.58 to 1.85% on an average. So that is basically there was some guidance from Reserve Bank of India and there has been some prudent approach which PFC has adopted. So that is how we have increased on an average, the coverage in the stage two account. On your second question, while we work out the spreads, I can assure you we have not taken into account the case KSA Mahanadi the interest for that purpose. So that is not going to impact, our future spread guidance to that extent. Thank you.

Comparer:

Thank you very much, ladies and gentlemen, for your active participation.

And I would also like to take this opportunity to thank each and every one of you for taking time out of your busy schedules to be with us over here this afternoon to join us for tea and have a lovely evening. Thank you once again.

Parminder Chopra :

Thank you.

Call: Nov 2025

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National Stock Exchange of India Ltd,
Listing Department, Exchange Plaza,
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POWER FINANCE CORPORATION LTD.

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BSE Limited, (A Govt of India Undertaking)
{ISO 45001:2018 Certified)
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Department of Corporate Services, Floor-25,
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SUB: Intimation of Transcript of Earning call of Investor/Analyst meet held on Fridav,
November 07, 2025.

Madam/Sir,
In continuation of our earlier letter dated November 03, 2025 and November 07, 2025
pursuant to Regulation 30 read with Schedule III of the SEBJ (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find attached herewith Transcript of
Earning call of the company with Investors/Analyst held on November 07, 2025. This is
submitted for your information, r ecord and further dissemination.

Transcript of the above-mentioned conference call has been made available
at <https://www.pfcindia.co.in/ensite/Home/Vs/109> and the same is attached herewith.

Thanking you,
Yours faithfully,
For Power Finance Corporation Ltd.

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(Manish Kumar Agarwal)
Company Secretary & Compliance Officer
mk_agarwal@pfcindia.com e:-
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Call: May 2026

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Dated: 20.05.2026

BSE Limited,

Department of Corporate Services, Floor -25,

PJ Towers, Dalal Street,

MUMBAI -400 001.

SUB: Transcript of analvstlinvcstor meet held on May 13, 2026

Madam/Sir,

In continuation of our earlier letter dated May 8, 2026 and May 13, 2026 and pursuant to Regulation

30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find attached herewith transcript of Investors/ Analysts meet held on

May 13, 2026.

Transcript of the above-mention ed conference call has also been made available at

<https://, Vv.pfcindia.co.in/ensite/Home/VS/109>

This is submitted for your information, record and further dissemination.

Yours faithfully,

For Power Finance Corporation Ltd.

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(Manish Kumar Aganval)

Company Secretary & Compliance Officer

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Power Finance Corporation Ltd.

May 13, 2026

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Power Finance Corporation Ltd

Q4/ FY202 6 Results

Investor Meet

May 13, 202 6

MANAGEMENT OF POWER FINANCE CORPORATION: -

- Ms. Parminder Chopra - Chairperson and Managing Director

- Mr. Rajesh Kumar Agarwal - Director (Finance)

- Mr. V. Packirisamy – Executive Director (Commercial)

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Moderator:

We should be commencing shortly. In the meanwhile, may I also request you to kindly ensure that your mobile phones are switched to the silent or the buzzer mode during the course of

this event. Thank you.

Ladies and gentlemen, on behalf of Power Finance Corporation, we feel honored and privileged to welcome you all to this Investors Meet. Today, the Company announced its Financial Results for the Year 2025 -26. PFC is always aiming to connect with its investor and build a strong and positive relationship with the investment community. With this objective, today's event has been organized to discuss PFC's Financial Performance with the current and prospective investors.

Now, I would like to introduce PFC's Management on the dais. We have to my immediate left, Shri Rajesh Kumar Agarwal – Director (Finance), Smt. Parminder Chopra – Chairperson and Managing Director, and to my extreme left, Shri V. Packirisamy – Executive Director.

The program for today's Annual Investors Meet will start with PFC's CMD speech, which will be followed by a Q&A session. Now, I would like to invite Smt. Parminder Chopra – Chairperson and Managing Director, to address the gathering.

Smt. Parminder Chopra:

Good evening, everyone and a warm welcome to all of you and thank you for joining us today. We truly value your continued trust in PFC. At PFC, our investor communication is built on three T's : "Timeliness, Trust and Transparency" , and we remain fully committed to it. Today's investor meet is another step in strengthening our engagement with the investor community. Before I begin, I would like to introduce our newly appointed Director (Finance), Mr. Rajesh Agarwal. Mr. Rajesh brings in more than 31 years of experience across the power and the finance sector. He has handled the key areas like treasury , banking, taxation, fund raising and corporate accounts. We are happy to have him here at this moment, an important stage of Power Finance Corporation Ltd.

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PFC's journey. On my left, Mr. V. Pa ckirisamy – Executive Director (Commercial), is there. As you know, our Director (Commercial) also retired on 31st of March 2026 and he has been shortlisted and we are awaiting the formal appointment for him. He also has more than 30 years of experience in the power sector and infrastructure financing.

Now coming to the highlights for Financial Year '26. Financial Year '26 has been an important year for PFC. It was a year of strong performance, big milestones and also global uncertainty. But despite this, PFC remained steady, resilient and growth focused. If I have to describe Financial Year '2 6 in one line, it was a "Year Where Resilience Met Results" .

With this, I would like to start with one of the landmark strategic development , which is the restructuring of PFC and REC . As you know that this was announced by Hon 'ble Finance Minister in the Union Budget on 1st of February 2026. And as you all know, PFC already holds 52.63% stake in the REC since the acquisition in 2019. We believe this is a defining step which can create long -term value for all stakeholders.

As India moves towards the vision of "Viksit Bharat 2047 " , the power sector will be a key growth engine . A unified institution will help unlock better scale, strong capital efficiency, faster decision -making, deeper sector reach and larger financing capabilities. The combined entity will be positioned as a single window financing partner for India's power sector.

We have already started the process. Both PFC and REC boards have already given in -principle approval for restructuring in the form of merger of PFC and REC. We have also appointed legal advisor, transaction advisor , merchant bankers and registered valuers. On the government shareholding front, for the merged entity, it's intended to mai

ntain its status as a government company . And the detailed structure is currently under discussion. Further, we are also working on the valuation and the draft merger scheme. We are targeting for the merged entity to come into existence by 1st of April 2027. And this shall be subject to regulatory approvals from MCA, RBI, SEBI, cabinet approval, presidential approval, which is required in terms of our Articles of Association.

Further, from a business integration perspective, there is already large alignment between PFC and REC. Both the companies have a very similar business model and similar regulatory Power Finance Corporation Ltd.

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frameworks across all functions. Over the last few years, we have aligned many of our policies across lending, pricing, accounting and operational processes. So, the foundation is already strong. Further, as we progress on this journey, we will continue to update investors on the key milestones.

With this, I would like to share some highlights on the consolidated performance for Financial Year '2 026. On a consolidated basis, we have the largest NBFC loan book at around INR 11.64 lakh crore. As a group, we continue to maintain the leadership position in the renewable

energy financing with one of the largest renewable book of INR 1.65 lakh crore. Our consolidated PAT is the highest among NBFCs at INR 33,625 crore. At the same time, our asset quality continues to remain strong with net NPAs at around 0.13%. With this size, balance sheet strength and sector experience, we believe that PFC and REC restructuring will create a financial institution of significant scale and strategic relevance.

Coming on to the PFC's standalone performance. I am happy to share that for Financial Year '2026, we reported our highest ever net profit of INR 20,051 crore with a 16% increase year-on-year basis. This was driven by a healthy net interest income growth of 13% along with provision reversals of around INR 1,800 crore during the year. With this, PFC continues to remain the highest profit making NBFC in India.

Further, even in a challenging environment on both assets and liabilities side, PFC maintained business resilience supported by strong capital base. As on 31st March 2026, CRAR is at 23.44% with Tier-1 capital at 21.93%. These levels give us a comfortable headroom for future growth. Our net worth also crossed a major milestone of INR 1 lakh crore, with a 13% year-on-year growth.

Our strong financial performance has also enabled us to consistently reward our shareholders. The Board has proposed a final dividend of INR 3.95 per share with this total dividend for Financial Year '2026 stands at INR 18.55 per share. The final dividend shall be paid after the shareholder's approval at the AGM.

Now, coming on to the key financial indicators. The yield for Financial Year '2026 is at INR 9.96%. Cost of funds at 7.50%. The spread at 2.46% and NIM at 3.55%. All of these are within Power Finance Corporation Ltd.

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our expected range. Looking ahead, the trend of these indicators need to be seen in the context of current market environment. Keeping in view the business environment, PFC from time-to-time has been continuously calibrating its lending rate strategy. In Financial Year '2026, due to lower interest rate cycle in India and increasing competition, we consciously priced our lending at competitive rates to support business growth. As a result, the impact of this will be reflected in our yields numbers in Financial Year '2027. On the cost of funds side, while we did benefit from the lower domestic interest rates, the impact of volatility in forex market led to some pressures on the overall funding cost. Going into Financial Year '2027, keeping in view the movements in yield and uncertainty in the forex markets, we expect our spreads to be in the range of 2.40% to 2.50%.

Now moving on to the asset quality. In line with the guidance being shared earlier, we have successfully resolved Sinner Thermal Power Project of INR 3,001 crores under NCLT route. We have recovered 42% of the principal amount. Further provisioning of 80% was provided on this asset. So, the resolution resulted in provisioning write back of nearly INR 670 crores during the quarter. In addition to this, as shared earlier, we have resolved TRN Energy Loan of INR 1,139 crores wherein we saw a provision reversal of around INR 160 crores. With successful resolution of both Sinner Thermal and TRN Energy during Financial Year '2026, our asset quality has further strengthened. Our net credit impaired asset ratio is at new low at 0.15%. Gross credit impaired asset ratio is at 1.09%.

Here I would like to mention that 80% of our NPA book has been resolved from its peak level. With this, our Stage -3 book is now at INR 6,323 crores comprising of 19 projects. And out of these 19 projects, 10 projects worth INR 5,469 crores are being resolved under NCLT of which 6 projects of INR 2,603 are under liquidation. The remaining 9 projects of INR 854 crores are being resolved outside NCLT and of which one of the major projects is the Shiga Energy loan of INR 522 crores, where approval from co-lender is awaited. I would also like to share that out of these 19 projects, on 16 projects of INR 4,680 crores we have already created 100% provision. Also, on overall basis, coverage on Stage -3 assets remain healthy at around 86%. Talking about provisioning in Financial Year '2026, we saw provision reversals of around INR 1,800 crores. As mentioned earlier, INR 800 crore reversals were due to resolution of Sinner Thermal and TRN Energy. The other major provision reversals was around INR 1,000 crore. In Power Finance Corporation Ltd.

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January '26, 14th Annual Integrated Rating of Power Distribution Utilities was released. In the report, ratings of 18 DISCOMs have been upgraded while 9 DISCOMs have seen a down grade. Accordingly, based on the improvement in DISCOM rating, a provision reversal of nearly INR 1,000 crore on PFC's DISCOM book has been done under ECL framework.

Now let me turn to the loan asset book. During Financial Year '2026, we disbursed INR 1,65,414 crores. In renewables, as India is moving towards firm and dispatchable green power, major

disbursements were in hybrid solar wind projects. On distribution front, lending was driven by short - and medium -term funding requirements. In conventional generation, we capitalized on refinancing opportunities, especially in the government sector. With this, our loan book closed at around INR 5.8 lakh crore, reflecting 7% growth during the year.

You know that starting February 2025, RBI started with rate cut and the repo rate saw an overall reduction of 125 bps, leading India into a lower interest rate cycle. For a NBFC like PFC, in a low interest rate cycle, generally there is a prepayment pressure, which is a well accepted and known risk.

In Financial Year '26, with the strategy of 3 'Rs', "Realistic, Resilient and Robust" loan growth, we had shared our loan growth guidance. However, considering the declining interest rate cycle, competitive pressure from banks, the prepayments were disproportionate to that which was factored in, particularly in the commissioned segment, as banks aggressively refinanced these assets. Without these prepayments, our loan asset growth would have been within our guided range of 10 -11%. For FY27, we do not expect any further rate cut from RBI. This is reflected in the fact that RBI has kept repo rate unchanged at 5.25% for the second consecutive meeting and maintained a neutral stance during its first MPC for FY27. Therefore, we believe that prepayment pressures should moderate going forward.

On the sectoral front, I am proud to share that India ranks third globally

in terms of renewable

energy installed capacity. The power sector continues to remain one of the strongest growth stories. India's total installed capacity has now crossed 530 GW, primarily driven by renewable additions. During FY26 alone, India added around 55 GW of non -fossil fuel capacity, and this is the highest increase in any year. The electricity demand in India continues to remain strong. Peak power demand touched all -time high of 256 GW in April '26.

Power Finance Corporation Ltd.

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At the same time, rising electricity demand is creating the need for firm renewable power.

For this, focus is on adding hybrid renewable projects, renewable energy with storage solutions such as battery and pump storage, etc. In Financial Year '26, nearly 40% of the tendered renewable capacity included storage component while another 30% related to hybrid project. I am happy to share that PFC has already started sanctioning energy storage solutions. Cumulatively, we have sanctioned around INR 16,000 crore s towards battery and pump storage projects. This gives us an early mover advantage in financing new and emerging technologies.

On the distribution side, DISCOM performance continues to see improvements. AT&C losses have reduced to 15.04%, moving closer to 12 -15% target under the RD SS scheme. Further, for the first time at an all -India level, DISCOMs have reported positive profit after tax of approximately INR 2700 crore .

From the lending perspective, currently we largely see opportunities in short to medium term loan requirements of distribution companies. In conventional energy space, we see opportunities emerging across thermal and nuclear capacity expansion aligned with the national goals. Additionally, lending in the infrastructure sector will also contribute incrementally to our loan asset growth. Overall, our future growth will be driven by a diversified mix of opportunities across the sectors. Accordingly, considering the above and keeping in view the incremental lending on our large asset base and the payment cycle, we are targeting a loan growth of around 10% in Financial Year '27.

Now moving on to the borrowing side . As of 31st March '26, the total outstanding borrowing stood at INR 4,88,500. The domestic -foreign outstanding mix continues to be 80 :20 respectively. Further, out of the total borrowing, 65% are fixed rate liabilities. This provides stability to our balance sheet even during volatile market conditions. As on 31st March '26, our outstanding foreign currency borrowing is at USD equivalent to 10.3 billion. The foreign borrowing portfolio remains well diversified, with 61% being US -dominated, 23% JPY and 16% EUR. If we see, around 97% of our total foreign currency portfolio is hedged against exchange rate. The hedging is being done through various derivative structures with defined protection ranges.

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FY26 was one of the most volatile years for global currency markets in the recent year. Trade tariffs, delay in India -US trade deal, emergence of Middle East war, all these have led to sharp depreciation in Rupee as against USD and EUR during the financial year, which resulted in higher translation losses. Currently, the critical event to monitor is the Middle East crisis. Any positive movement of resolution of this conflict is likely to support Rupee. I would like to

assure you that we are closely monitoring the situation and taking appropriate risk mitigating actions as required from time -to-time.

Now to conclude , I would like to reiterate that our balance sheet remains strong, our liquidity remains robust and our funding access remains well diversified across domestic and international markets. We remain focused on sustainable growth, prudent risk management, operational excellence and long -term value creation.

Thank you once again

n for joining us today and for your continued trust and support. We can now go ahead with question and answer session.

Moderator:

Thank you Ma'am. Before we go ahead with the Q&A session, I would like to first raise your hand, we will have somebody come up to you with the mic, identify yourself and the company that you represent. Try and stick to one to two questions so that others also get an opportunity to engage. Thank you.

Abhijit Tebrewal:

Abhijit Tebrewal, Motilal Oswal , two questions from my side. First thing is during your opening remarks you said that this year in a declining rate environment, repayments were elevated which is where we saw lower loan growth than what you had guided in the beginning of the year but more importantly we also saw disbursements this year also declined YoY in FY'26. So, what has changed in the last 12 months where disbursements are weak, repayments as you explained are elevated, is it competitive intensity? Other players who were earlier not doing power financing, infra financing, have started doing these loans now, which is where the pressure or is it predominantly some of the larger PSU banks which are leading to disbursements also remaining weak?

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Smt. Parminder Chopra:

On account of disbursements, I think we are more or less at par with the previous year. Last year it was 168,000, this year it was 165,000, so it is not a major. The main issue is the nature of disbursements which have been done. Earlier the DISCOMs were more and more were taking the RBPF loan, which has a shorter tenor, 6 months average maturity and they keep on revolving that, so automatically disbursements gets elevated, if you see. So, that has changed this year, now they are resorting to taking medium term loans, so that has maturity ranging from 3 to 5 to 7 something like that. So, you will not see that rolling over of those facilities, so RBPF loan has majorly reduced.

On the front of competition, yes, I agree competition is there, banks are looking at the commissioned assets, so are we. We have also refinanced few of the major generating assets specifically of the state DISCOMs. But I think there is sufficient scope in the market and looking at the overall funding requirement of the power sector that there is sufficient headroom to grow for all the institutions if I exactly say.

Shreya:

Hi, this is Shreya from Nomura. My question is on the sanction pool, if you can give some details about FY26 particularly segment wise. And a follow up on that is a big portion, almost half of our sanctions between last 3 -4 years remain undisbursed. So, there are a lot more files that we have which are yet to be disbursed. So, in that context the loan growth guidance of 10%, if you can help us understand why do we feel that a big chunk of that we may not be able to disburse in the coming year. And my second question is actually to do with the merger. Now both the entities had some 600 -700 employees doing similar roles. So, what is the trajectory over there, how are we planning to as a combined entity the same person, there will be two people looking at the same account. So, what is the plan over there and any details around that would be useful. Thank you.

Smt. Parminder Chopra:

See for the current year your question was first about the sanctions. Let me address this first.

The current year sanctions are around INR 2.85 lakh crore . For any infrastructure financing ,s

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I think sanctions to convert into disbursement always takes time. It could be we sanction the loan, we put certain pre -commitment conditions, which are required to be fulfilled before documentation. Then certain approvals are required for the disbursements. So, when we talk of the infrastructure loans , lot many environmental conditions and other now y

ou have the

land acquisitions to be done. All such conditions are required to be fulfilled before the disbursement starts. And in the initial year of construction, the disbursements are generally at a lower pace which picks up as the project progresses and coming to the commissioning. So, that is the reason where you will see the difference.

If I talk of the current year sanction, out of INR 2.85 lakh crores I think around INR 80,000 only has been disbursed. So, everything is spilling over to the next year. It's not that we are not going to disburse it in the future. So, that is a normal trend I think. If we do refinancing, then definitely I agree that immediately disbursements happen. But for a construction project, it takes time. On your next question of merger can you repeat that? About the employees you said.

Shreya:

Yes, I mean it's same set of 600, 700 employees on both sides probably looking at similar profiles. So, I know the combined entity will be 11 lakh crore loan book, etc. But what kind of structural changes will employees be moved around across departments, etc. Any details on that?

Smt. Parminder Chopra:

See right now till now we have not worked out on the broader portfolios. But what I can say that PFC and REC both have lean man power. If you compare with any other organizations, we are just 520 and so is the number for the REC. So, we are just 1000 employees and looking at the portfolio. We would try to strengthen our functions where we need more focus. As we grow and since we are going to have the larger loan book there has to be specific focus on monitoring. On I would say the relationship management. So, all these are going to be the focus area where both of us were already planning to hire more man power. So, beyond a certain stage I agree that you can't have a proportionate to the loan book. But there are areas

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where you need to strengthen. Compliances we need to strengthen as you know that regulatory compliances are increasing day by day. We have a GIFT City subsidiary. Over a period of time, that GIFT is going to pick up. So, the staff will be aligned there. Also REC has number of regional offices. So, if we want to have the regional presence and more focus and decentralize our sanctions and disbursement. Then definitely more staff need to be posted there also. So, I think we will be able to fully rationalize the man power.

Piran Engineer:

Piran Engineer from CLSA. My question is also regarding the merger. So, first thing you mentioned ma'am that after the merger you will try to maintain the status as a government Company. But in a share swap scenario the government shareholding will fall to 41 %-42%. So, how are we thinking about maintaining that 50% limit as per Companies' Act. And second is as a combined entity and this is more probably for D F sir. That when we are borrowing from capital markets or banks as a combined entity. We might hit the limits that our creditors have the internal limits. So, are we thinking about borrowings from that point of view also. That's it, thanks.

Smt. Parminder Chopra:

On your second question about the exposure to be taken for the combined entity. In 2019 when PFC has acquired Government of India stake in REC. We both were individually borrowing exposure was 20% for the majorly for the banks. So, after that we formed a group. So, 20 plus 20 -40 has reduced to 25%. And now if from the two entities the merged entity comes into picture, the borrowing limit is going to reduce from 25 % to 20%. I would like to clarify that as on date if you see the overall capital of the banking sector. We have exposure only with few banks which has been utilized till now. With the increase in the banking you know that the network are increasing. They are financially becoming more and more sound. So, they have the with some repayment

ts and with the new exposures being available. I don't think that is going to be the challenge in this regard.

Government Company status, yes, everybody knows that the plain swap ratio application and SEBI rule everybody knows. So, the Government of India stake is going to be below 50%. But

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the Government has committed that they are going to maintain the status of the merged entity as the government Company. So, modalities and how, when all these things are yet to be decided. Whenever we have more clarity definitely, we will be sharing with the investor.

Manish Bedia :

Hello. This is Manish Bedia from Family Office Saswat Vridhi. So, my first question is you have

guided for 10% AUM growth here. But seeing the power demand I mean can this be the wall or it can exceed from here in the medium term. The second is on the dividend policy. So, if you look at you have 30% payout ratio, but you have to pay on the standalone. So, basically you paid 9% of REC dividend that you received because 30% and 30% standalone is counted. So, when the merger will be done so basically PFC dividend will go up in that sense. I mean of course there will be more share count but still I mean. So, this is second one. And the third one also wanted to check on your ROE profile. Because in the past I mean you have issues the gross NPA and things like that. Obviously, you got back most of the money. But now I mean things are improving on the distribution side. So, from that perspective, plus also on the merger the cost benefit will be there. And also I think the leverage can go up I mean it's 7.7x, 7.8x. So, that can also help you strengthen the balance sheet. So, in that sense what is the ROE profile that we should look at something like 17%, 18% or you can guide here. The fourth one basically wanted to check the spread between the cost of borrowing on the domestic side and the foreign side. So, basically with the hedging cost of course. So, now I mean things are changing here. So, do you still want to have 20% exposure from the foreign borrowings here. Thank you so much.

Smt. Parminder Chopra:

Lot many questions in one question. So, on the guidance front as I told you that there is always more and more competition. Our loan book is growing and on the growing loan book we expect that our guidance is that around 10% growth will be there. On the dividend front right now yes dividend is taken as a part of PFC's income directly adding to the profit and 30% of profit is going. So, effectively 9% is coming to the investors. And once the merged entity is there profitability of both the companies are there. Larger group of shareholders will be there. But you will see, we are going to follow the DIPAM dividend policy and whatever are the Power Finance Corporation Ltd.

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consolidated profits or the merged entity profit, dividend will be declared on that. And DIPAM policy says 30% of the profit to be shared as dividend. But this is subject to the RBI guidelines also because for the NBFCs RBI has also issued guidelines for declaration of dividend.

On the NPA recovery we already shared that of the total 80% of the NPA has been resolved from the peak. And now we are left with very little number - out of the major portion is already under liquidation. We are not expecting much from that. And 100% provisioning has already been done against that.

For NBFC we generally focus on the spread. So, for the spread we have already given guidance of 2.40% to 2.50%. And the volatility remains I agree about the foreign currency numbers.

That how the global market or how the rupee behaves over a period of time. For borrowing by PFC we generally diversify our sources. And as of now 60% has been borrowed from the bond market, 20% from the term loan from the banks and 20% from the way of foreign currency.

For each borrowing we do consider what is the scenario in the domestic market and what is the scenario in the bond market. So, we have in consideration one the cost optimization and other is the diversification of the funds. These we try to balance between these two aspects before we decide borrowing from any source. And going forward also we are going to continue with the same practice. So, spread is being worked out on the weighted average cost which constitutes both the domestic as well as the foreign borrowings.

Chintan Shah:

Thank you for the opportunity. This is Chintan Shah from ICICI Securities. So, there are two questions. Firstly, on the cost of hedging reserve. So, that has kind of substantially moved to around 34 billion versus 1 billion in FY25. So, given that on the hedging cost was quite substantial in this year and so assuming another depreciation of 4%-5% in FY27. So, are we accordingly well positioned or we could see some similar sizable hedging cost in FY27 as well. And also, if you could give some impact Rs. 1 or Rs. 2 movement in the INR how much that could impact your P&L. So, that's question 1. And secondly ma'am as you mentioned there were around 2.5 lakh of sanction versus which there was 80,000 disbursements towards that which is around one-third. So, kind of how much time would it take for the remaining sanctions or is it possible that once the projects which we have already sanctioned and given Power Finance Corporation Ltd.

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the loans, once they are commissioned it could be refinanced, does that risk also persist?

Those were the 2 questions. Thanks.

Smt. Parminder Chopra:

To start with your last question first, there is always a risk of competition which is there. This

is the market. So, everybody is free to refinance any of the assets. But what we are seeing that banks are more willing to take or do refinancing on the renewable portfolio. Reason being the gestation is low, it turns out commissioning happens early, cash flows are certain and specifically these are the low-ticket size loans. So, you will see most of the refinancing happening in the renewable space. So, if you are in the market you have to face competition. So, that threat will always be there. On the hedging cost, there are various instruments of hedging. We have hedged 97% of our portfolio. But yes, because the risk has been covered in the specified range. Whenever there is an abnormal movement in the exchange rate, it is always happening this way. However, the actual loss is depending on the date of the maturity of the liability. If I say that whatever we are booking it is a notional loss in most of the cases, except where it is on the maturities which are falling within the financial year. So, actual loss or gain will be known only at that time. But we are regularly monitoring and wherever required the coverage range is being expanded to take care of the future volatility. So, that regular monitoring is being done. So, I think that answers your question.

Namit Arora:

Thank you for your detailed comments. I am Namit Arora from InGrowth Capital. I have two questions. One is in terms of your target market. Are you looking at expanding that in terms of other sectors? For example, nuclear is supposed to be promising over the next 5-10 years. And also, within the whole solar value chain, there is a lot of attempts by players for backward integration, forward integration, etc. So, just trying to look at your target market, how do you look at that over the next 5 years? And my second question was the impact of the geopolitics over the last 3 months. There might be a lag effect over the next many quarters. So, in terms of your loan portfolio, have you done some analysis of there might be some stress which might come up because of the delayed impact of the geopolitical situation on the companies that you lend to? Thank

you.

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Smt. Parminder Chopra:

On the target market, our mandate allows us to fund for the power sector, backward and forward linkages, energy efficiency, energy transition and also the infrastructure. So, when we talk of the nuclear, solar value chain, all these are nuclear I think for the financing, any proposal is yet to come. Because a lot of groundwork is being done for the nuclear projects. Solar value chain, we are already into the manufacturing of the solar and wind equipment where we are focusing on the Honorable Prime Minister focus for the Atmanirbhar Bharat so that the value chain is available within India. So, we are there. We are funding for the battery, battery equipment as well as the battery storage projects, pump storage projects. Apart from that, we are also working on the bioethanol side which helps to reduce on the basically petrol and more and more reliance on the petrol and diesel. And with the recent announcement by the Honorable Prime Minister that the focus is going to be on the electric vehicles, we are already there in funding of the electric vehicles and with this announcement, I think the requirement of power is going to increase substantially. Because as on date if we see, we are self-sufficient in coal, solar and wind, we have the equipment manufacturing lined up. We have the storage, we have the hydro where all equipments are majorly indigenous. So, power sector is one which can take care of the future requirement and replace energy wherever possible. So, we are open to all this and other infrastructure we are already funding even though we are taking small, small steps. We are not going in a big way and in a rush to fund for the infrastructure projects. On the geopolitical situation, again it comes to the same thing. I would say, shouldn't say but it's positive for the power sector. Because power sector is going to help take out of the crisis situation for India as a whole. So, on the borrowing, yes, something negative is there because of the volatility of the exchange rate. Otherwise, we don't see if some of the promoters have lined up some equipments or some supplies from other countries, that could be adversely impacted but that's not going to have huge impact. And we are funding for the projects within India. So, we don't see any major challenge.

Namit Arora:

Thanks a lot for your detailed thoughts and all the best to the entire team. Thank you.

Moderator:

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Thank you so much. And yes, please go ahead.

Ananya Shukla:

Hi, I'm Ananya Shukla from Quest Investment Managers. So, my question is related to how

are you seeing loan asset mix changing in medium term? It will be very helpful if you can please give the figures as well. Thank you.

Smt. Parminder Chopra:

So, on the medium term, what we are seeing is that we have been funding since our inception. So, our focus area was the conventional generation at that point of time. And the conventional generation you see was majorly focused in the thermal area. Hydro, we still have not much capacities within India. So, we are seeing our mix changing from the fossil fuel to the non-fossil fuel category and next is to the distribution sector. There was at one point of time PFC's overall lending may be around 75% was towards the conventional generation. Now we have moved from there to around 50% to the generation of which 16% is the renewable and the balance is the conventional generation. And major next is the distribution sector. So, there has been a shift and going forward also if we see the installed capacity which is coming up in future, we can easily say that it's going to be around 70-30 mix of the conventional or we say thermal projects vis-à-vis renewable. And so will be the focus of PFC.

Ramesh Bhojwani:

Yes. Madam Ramesh Bhojwani

ani from Mehta & Vakil. You have made an all-encompassing presentation today touching every aspect of power generation, distribution, renewables and so on. You have mentioned one thing that the transmission and distribution losses have been now contained to 15.04%. I think this has happened because of the deployment of smart meters. Going forward, can we look to a distribution and transmission loss getting halved from this 15%?

Smt. Parminder Chopra:

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See, I agree as a part of RDS S Scheme there were two portions. One is improvement in the distribution infrastructure and the other was the installation of the prepaid meters. Prepaid meters have come up only in few states. Others have ordered but the installation is yet to be done. The DISCOM losses were majorly coming from, apart from the collection and the billing efficiency, were coming from the legacy subsidy dues and the legacy dues where the government departments were using the power. So, they were huge and as a part of RDS S scheme, the nodal agencies and the criteria for RDSS scheme puts a condition that subsidy has to be received in advance by all the DISCOMS. So, I can't say that everybody is paying in advance but it is not being delayed in general beyond one quarter. So, that has helped them to reduce their operational costs. On the government department dues, most of the government departments have been instructed to put prepaid meters because then in such case there will be no issue of recoveries. So, that is one part. And more and more solarization. There is a KUSUM scheme which is solarizing the pump sets in the agriculture area. Even though initial capital outlay is required, but however in the longer run it is going to reduce the burden of the subsidy of the state governments also. So, all these are the collective reasons and improvement in the infrastructure under RDSS scheme. So, these are the collective reasons for improvement in the AT&C process.

Moderator:

That gentleman in the front.

Ashok Shah :

Thanks for taking my questions. I am Ashok Shah from Eklavya Invesco. Madam, last year RBI reduced interest by 100 basis points. So, due to that I think our profit has increased. So, currently geopolitical situation and war and everything, next year if the RBI increases again interest rate by 100 basis points and our all the loans has been restructured to lower rates. So, what will be situation and how Company will be facing the situation?

Smt. Parminder Chopra:

For PFC, 65% borrowing is at fixed rate and that too at a longer tenor. If we say 60% borrowing is from bonds, so the reduction in the interest rate doesn't help us. Because there we don't

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have the flexibility to reset our rate. On an average the liability period is around 5 to 6 years. So, our liability, which has been as on date, which is at a higher rate, it will take 5 years to retire. For PFC it is always the impact of whether you talk of increasing interest rate scenario or decreasing interest rate scenario, it's not sudden like banks, it is always a gradual movement. So, the decreasing interest rate scenario that is why we were saying that we have a huge prepayments because our interest liability figures are not that flexible in line with the market. So, that was the reason we have to face in the decreasing interest rate scenario huge

prepayments. So, being 65% at fixed rate that gives us stability also. That even when the increasing interest rate scenario is there, so the gradual transformation of the rates is going to happen.

Ashok Shah :

So, how you are going to face the next year interest rate, RBI may increase because the situation is different.

Smt. Parminder Chopra:

So, when RBI increases , it will slowly come on our balance sheet to the extent our repayments are ha

ppening. Our interest rate is not going to immediately react to the RBI rates, only the fresh borrowing, I agree , the marginal borrowing which we are going for year -on-year basis, that is always on the current rate, whether it is increasing or decreasing. However, two -third of my book is going to be at the older rates. So, this is and whatever is our weighted cost of borrowing, our lending rates are decided on that. So, we, for any I think for all the financial institutions this has been the trend. That the lending rates are based on their overall cost of borrowing , so is ours.

Moderator:

Yes, the lady over there behind.

Asha:

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Ma'am, Asha from Shubhkam Ventures. Ma'am, my question is particularly for the repayment. What is the repayment in FY26 and it will be helpful if you split between renewable energy and the other parts. And my second question, the same with the last one, is like as you mentioned about the spread for FY27, 2.4 to 2.5, vis-à-vis earlier we used to guide 2.5. So, I just wanted to know, as you mentioned like we have liabilities like repayment in between 5 to 6 year. So, going forward in FY27, 2.4 spread is just because of the cost of fund, because marginal cost of fund is right now increasing. And like we see the pressure on the lending rate as well. It's like competition bidding from the PSU and the other NBFC as well. Thank you.

Smt. Parminder Chopra:

Definitely, there is a competition pressure and prepayment pressure. That is where we are seeing that our new guided range is going to be somewhere around 2.4 to 2.5. And I don't think that it has drastically reduced. This year we have 2.46 in spite of the huge volatility in the forex . So, had that not been there, so that would have been a different scenario. On the repayment fronts, we have, during the financial year, we have INR 1,28,000 crore worth of repayments from our borrowers. So, I don't have the bifurcation between the renewable and the other segments.

Moderator:

Yes, go ahead.

Shreepal Desai:

Hello ma'am. Shr eepal Desai from Equirus Securities. My first question was on credit cost of provisioning. The last few years, we have seen benefit of our NPAs resolving and that's why the provisioning has been negligible. However, incrementally, wherein large number of NPA accounts are broadly resolved, how do you see the credit cost moving? Especially on, let's say, standard accounts provisi oning.

Smt. Parminder Chopra:

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Standard account provisioning, we have an ECL policy where we say on an average, we provide for 0.4 %. On under construction, we have 1% and 0.4, that is the minimum, subject to ECL. So, we work out the expected credit loss also and that. So, eventually, that is, I think, broadly in line with the RBI guidelines. So, I agree that we do have resolved all the NPAs and brought it to the lowest level. So, going forward, we will not have the benefit of, like you were saying, that this year we have INR 800 crore benefit from the resolution of the non -performing asset. But definitely that the spread which we are working and managing of our borrowing cost is going to help us.

Shreepal Desai:

Got it. Madam, second question was on the disbursement front. So, what is our target for FY27 in terms of the disbursements?

Smt. Parminder Chopra:

See, it's very difficult to say about the disbursement figure because it all depends on the

nature of the loan being disbursed. If suppose any of the distribution companies is coming to me for disbursement under RBPF. So, it will be once they take and after 6 months they roll it over. So, the disbursement will be counted twice.

Shreepal Desai:

Got it. But madam, this year we have taken the borrowing limit approval, if I am not wrong, INR 1,60,000 crore. So, is it fair to assume similar disbursements for the full year?

Smt. Parminder Chopra:

See, this year we have, as compared to the earlier years, the scheduled repayments are comparatively lower. So, that is how you are taking, seeing that we have taken INR 1,60,000 crore, considering that there is going to be a 10% growth.

Sagar:

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Good evening. Sagar here from CleverWeight Capital. A couple of questions. First, I wanted to know what is the total unsanctioned book? Not for FY26 but total, whatever the spillover from FY24 -25. So, total unsanctioned book today and out of which how much are you looking to get converted, let's say next 3 -4 years because of the gestation time of the projects. And the second one would be the new ECL norms which would come from next April. What would be its effect on our books and the way we are accounting stuff?

Smt. Parminder Chopra:

So, on your second question of ECL, RBI norms are, if we say since we are under IndAS, so they are not applicable to us directly for the purpose of profitability. But definitely RBI says that IRAC norms are to be followed for creating, that IRAC provision is required to be maintained. But however if we see our current policies, broadly they are overall basis, as of now they are in sync with RBI. But we have been calculating ECL project wise separately. And our ECL provisioning is going to be governed by that policy. And whatever is the additional provision or appropriation from the profit we need to maintain, that we will be maintaining. I don't see much of the difference. And I think it's very difficult for us to give the sanctioned but not disbursed amount. But broadly if I say it may be around 2.5 to 3 lakh crore s will be the figure. But I am still not sure, I am broadly saying.

Moderator:

We will take one final question before we wind up for the day.

Analyst:

Ma'am, there was certain media articles which talked about some virtual PPA and then in the middle of the year there was an Electricity Draft Bill by the Government which said CERC will be appointed to find a solution to the PPAs. Now that we are no longer financing long -term projects, there are shorter -term projects as well etc. So, if you can help us understand what is happening from the regulatory government front on making PPAs more flexible because that obviously helps you in disbursing your sanctioned loans faster.

Smt. Parminder Chopra:

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See, I think on the PPA front there has not been any major change. Virtual PPA is for the solar project where they want to have the renewable energy certificates and all those things. I think few of the multinational agencies have entered into such type of virtual PPAs. But on an average, there is the practice which is earlier also, the PPAs are being signed by the respective states and the states somehow are in a realignment mode. Earlier it was purely solar and wind projects. Now we are talking of the hybrid projects. Now we are talking of the compulsory storage. So, all these changes in the regulation. So, states are also trying to align those requirements and that is how it is taking some time. But I don't think that from the policy perspective there has been any change on these PPAs.

Analyst:

And we are still only disbursing those which have PPAs, right? Not the ones where those projects are linked to the network, but they don't have a PPA. Our rule is still the same, right? We want PPAs for disbursements.

Smt. Parminder Chopra:

We have exposure on some merchant powers also depending on the strength of the promoter. Not all but yes on case -to-case basis we are concerned.

Moderator:

Thank you very much. Thank you ladies and gentlemen for your active participation and thank you ma'am. And a very big thank you to the PFC Management Team as well. And ladies and

gentlemen I

would like to take this opportunity to thank each and every one of you for taking time out of your busy schedules to be with us this evening. Thank you once again and do join us for tea.